

ECONOMY — Fundamental Principles & Microeconomics

Batch 1 of 10 · Sources: Parmar SSC Fatman 2nd Ed. 2026 (Economics Ch.1–2, full) + Lucent's GK 2026 (Ch.06 §2, full) · Complete source coverage, not just PYQ-tested facts · ★ = tested in a real past SSC paper (exam+date+shift cited in A.1) · PYQ bucket "01 Fundamental Principles of Economy" (47 Qs)

1 Economics — Definitions & Branches

Economics = study of how people/businesses/governments use limited resources to produce, distribute, consume goods & services → split into **Macroeconomics** and **Microeconomics**.

Aspect	Macroeconomics	Microeconomics
Definition	Studies the economy as a whole	Studies individual consumers, firms, markets
Approach	Top down	Bottom up
Focus area	Govt/country actions influencing aggregate demand/supply, prices, etc.	Individual/business actions — demand, supply, etc.
Scope	Large-scale, entire economy	Small-scale, specific sector
Father	J.M. Keynes (England) — <i>General Theory of Employment, Interest and Money</i> ★	Adam Smith (Founding Father of Modern Economy) — <i>The Wealth of Nations</i>
Examples	GDP, inflation rates, fiscal policies, national income, unemployment rates ★	Pricing of a product, consumer behaviour, market competition

HOOK PESTEL/PESTAL analysis — **E = Economic** ★ (interest rates, inflation, growth); 6 factors: Political, Economic, Social, Technological, Environmental, Legal.

Economy vs Economics (Lucent)

Economy = the state of a country/region re: production & consumption of goods/services and money supply. **Economics** = branch of knowledge concerned with production, consumption and transfer of wealth.

Economic Systems

Classified on the basis of **Ownership, Motive and Government Role**: 1. Capitalist Economy 2. Socialist Economy 3. Mixed Economy.

	Capitalist	Socialist	Mixed
Ownership	Private	Public/State	Public + Private
Economic motive	Profit	Social welfare	Both
Government role	No role	Complete involvement	Limited role
Income distribution	Unequal (high inequality)	Equal (theoretically)	Less unequal
Economic freedom	Complete	Lack of freedom	Limited freedom
Example	USA	USSR, North Korea	India ★

HOOK **Socialist Economy = "Centrally Planned Economy"** ★ — govt controls/decides production, exchange, consumption; objective = social welfare, not profit. Eg: USSR.

Spillover Effect — macroeconomics considers this: an event in one part of the economy/world impacts others. E.g. the Great US Depression affecting others.

Types of Economy — Lucent's Fuller Treatment

1. Capitalistic Economy — origin in Adam Smith's *Wealth of Nations* (1776). Adam Smith (1723-1790), Scottish philosopher-economist, professor at University of Glasgow, whose writings formed the basis of classical economics. He opposed heavy-handed government regulation of commerce/industry; stressed '**division of labour**' and '**laissez faire**' (non-interference by government); proposed the '**invisible hand**' of market forces (price mechanism) brings equilibrium and general well-being — while still acknowledging the need for *competition* in the market. Once the USA gained Independence, Smith's

ideas became public policy just one year after *Wealth of Nations* was published; by 1800 'capitalism' was established in Euro-America — later known as Private Enterprise System, Free Enterprise System, Market Economy. Decisions of what/how much/at what price to produce are taken by the market/private enterprises; the state has no economic role.

2. State Economy — rooted in ideas of historical change by German philosopher **Karl Marx (1818-1883)**; first came up in the erstwhile USSR after the **Bolshevik Revolution (1917)**, and got its ideal shape in the People's Republic of China (1949). Two versions: USSR's *socialist economy* and pre-1985 China's *communist economy*. Socialist economy = collective ownership of means of production + large state role; communist economy = state ownership of all properties incl. labour + absolute state power. For Marx, socialism was meant to be a transitional stage to communism — this never happened in reality. Socialist/communist economies criticised capitalism as exploitation-based; capitalist economies in turn called them practitioners of 'state capitalism' where states were the sole exploiters.

3. Mixed Economy — the self-correcting "invisible hand" belief took a setback in the **Great Depression (1929)**, which spread from the USA to Western Europe (mass unemployment, demand collapse, industrial lockouts); Smithonian macro ideas failed to check the crisis. New approach: *The General Theory of Employment, Interest and Money* (1936) by **John Maynard Keynes (1883-1946)**, English economist at Cambridge University. Keynes questioned laissez-faire and the invisible hand — arguing it brings equilibrium but by "strangling the poor"; prices/wages aren't flexible enough to ensure full employment. He suggested **strong government intervention**: increased government expenditure, discretionary fiscal policy (fiscal deficit, lower interest rates, cheap money supply) to boost demand. Keynesian policies successfully pulled economies out of the Depression. Essential goods/services once bought as 'private goods' were made available 'free-of-cost' by the state, freeing up spending money for market demand — this is how the **mixed economy** arrived, challenging classical capitalism.

DOUBT **Prof. Oscar Lange (1904-65)**, Polish philosopher/economist — in the 1950s suggested for the socialist economy what Keynes suggested for the capitalist economy (move a few steps toward the other system); advised state economies to adopt '**market socialism**' (a term he coined). His suggestions were rejected by state economies as compromises seen as blasphemous at the time (this amounted to a suggestion toward democracy from dictatorship). Democracies, being flexible, later benefited from similar experiments. (This Lange/Keynes convergence point is printed twice in the source — once as a pink box, once in running text.)

Some Important Books/Theories of Economics (Lucent table, in full)

Book / Theory	Author
The Wealth of Nations	Adam Smith
Money Illusion	Irving Fisher (printed "Irwin Fisher")
Capital and Growth	Sir J.R. Hicks
General Theory of Employment, Interest and Money	J.M. Keynes
A Discourse on Political Economy	Jean Jacques Rousseau
Planned Economy for India	M. Visvesvaraya
The Value and Capital	Sir J.R. Hicks
The Canon (theory) of Consumer's Surplus	Marshall
Big Push Theory	printed "A.R. Rodon" (usually credited to P.N. Rosenstein-Rodan — as printed, not corrected)
Datt & Sundharam's Indian Economy	Gaurav Datt and Ashwani Mahajan

2 Key Historical Figures & Quotes

Economist	Known as	Key work / idea
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Adam Smith	Father of Micro Economics / Father of Modern Economics	<i>The Wealth of Nations</i> (1776) — Invisible Hand ★ (markets self-regulate via demand/supply → efficient outcomes); Market Economy (self-interest → "Animal Spirit" per Keynes → unintended overall welfare); Laissez-faire Policy (minimal govt interference)
Alfred Marshall	Father of Microeconomics	<i>Principles of Economics</i> (1890) — modern theory of demand/supply; elasticity of demand, consumer surplus, partial equilibrium analysis
J.M. Keynes	Father of Macroeconomics	<i>The General Theory of Employment, Interest and Money</i> (1936) — govt intervention needed to manage "Animal Spirits" during downturns; supported fiscal policy/public spending for demand and employment
Lionel Robbins	Scarcity definition ★	Economics = science studying human behaviour as the relationship between limited resources and unlimited wants

HOOK Key wordings quoted verbatim in the source: *"Most of the decisions are taken as a result of animal spirits"* — John Maynard Keynes. *"Managing animal spirits requires active role of the government"* — Robert J. Shiller (Nobel Prize-winning economist). *"We need to revive the animal spirit in the country's economy"* — Manmohan Singh.

3 Classification of Goods & Public Goods

Goods classified on two criteria: **Excludability** (can a non-payer be prevented from using it?) and **Rivalry** (does one person's consumption reduce availability for others?).

	Rivalrous	Non-rivalrous
Excludable	Private Goods — paid for, consumption reduces availability. Eg: food, clothing, cars, parking spaces	Club Goods — paid for, shareable without reducing supply. Eg: cinemas, private parks, Netflix subscription
Non-excludable	Common Pool Resources — free access, finite supply, depletable. Eg: ocean fish stocks, forest timber, coal	Public Goods ★ — free to all, one's use doesn't hurt another's. Eg: national defence, street lights, free-to-air TV

TRAP **Public goods** are *non-rivalrous + non-excludable* — benefits available to all, no one easily excluded ★. **Non-rivalrous** specifically = one person's use doesn't reduce availability for another (e.g. street light) ★. Clothes are a *private* good, not public.

Opportunity Cost ★ (yellow box) = value of the next best alternative given up. Natural resources like sunlight often have zero opportunity cost for the consumer. **Free Rider Problem** (black box) = a challenge with Public Goods where people benefit without paying (e.g. using a street light without paying taxes).

4 Sectors of the Economy

Sector	Collar	Nature	Examples
Primary ★	Red	Directly dependent on the environment ★; mostly agricultural activities in India	Agriculture, fishing, hunting, forestry, mining ★
Secondary ★	Blue	Manufacturing sector — adds value by transforming raw materials into products ★; "backbone of a country" for industrialisation (Eg: China); India hasn't developed this fully as it leapt directly to tertiary	Manufacturing, processing, construction, electricity
Tertiary	White	Service sector; mostly intangible	Teaching, transport, advertising, retail, hospitality, healthcare

Quaternary	Gold ("Knowledge Sector")	Knowledge-based activities/intellectual services	Senior [Executive], Business Executive, Teaching, Manager, Banking, Chartered Accountant, Lawyer, Scientists
Quinary	Gold	High-level knowledge-based activities requiring expertise/advanced skill — all decision-making activity is here	Media, Financial Services, Education, Research Scientists, IT, Policy makers, Politicians

HOOK During British colonial rule, ~85% of India's population lived in villages, ~70-75% engaged in agriculture directly/indirectly. **"Agriculture Sector is considered the backbone of Indian Economy."** Blue-collar jobs = physical work/practical skills (construction, manufacturing, maintenance). Extraction of oil from groundnut = **Secondary** sector ★ (processing/manufacturing).

2011 Census	Primary	Secondary	Tertiary
LFPR	54.6% (highest)	24.3%	21.1%
% in GDP	14.39%	31.46%	54.15% (highest)

LFPR = Labour Force Participation Rate. Percentage of women engaged in Primary Sector: **62.8%** (as printed, no year/source given).

Sectors on the basis of employment

Organized sector	Unorganized sector
Regular terms of employment; registered by govt; follows Factories Act, Minimum Wages Act, Payment of Gratuity Act, Shops & Establishments Act; paid on prescribed scale, on time; gets annual increment, PF, paid holidays/leave, gratuity, medical benefits, safe conditions; can form trade unions	Small/scattered units, largely outside govt control; no rules/regulations followed; most jobs low-paid/irregular; no overtime/paid leave/holidays/sick leave provision; cannot form trade unions

HOOK Initiative for unorganised sector: the **E-Shram Portal, 2021** — flagship initiative for a comprehensive National Database of Unorganised Workers (NDUW), seeded with Aadhaar.

Real vs Financial Sector

Real Sector: actual production of goods/services using raw materials (land, labour). **Financial Sector:** deals with financial assets — mutual funds, stocks, banking services.

Sectors on the basis of ownership

	Public Sector ("For Society")	Private Sector ("For Profit")
Definition	Govt-owned organisations/services	Businesses owned by individuals/companies
Examples (as pictured)	BHEL, SAIL, ONGC	Reliance (and other private-sector logos, not individually legible in the source)
Key work	Funded by taxes; focus on public welfare; non-profit-oriented	Profit-driven; competitive; market-oriented; profit over welfare
Benefits	Equal access, stability	Innovation & efficiency
Challenges	Public goods (provision burden)	Job insecurity

5 Normative vs Positive Economics; Parallel Economy

Normative Economics	Positive Economics
Based on opinion/values of the interpreter	Based on actual data, facts, numbers
Verification not possible	Results can be verified
No way to test feasibility/applicability across fields	Safe, beyond doubt, provable scientifically
Deals with idealistic situations	Deals with actual/realistic situations

Eg: unemployment must be 5% maximum

Eg: current unemployment rate is 20%

DOUBT **Parallel Economy** = all forms of activity generating unaccounted "black income" (incl. illegal activities like trafficking). One source line reads "it renders punctuation by Government punctuation" — garbled as printed in the original, meaning unclear (likely "sanction/punishment"), not corrected here.

6 Microeconomics — Scarcity, PPF & Opportunity Cost

DOUBT Structural oddity in the source: Ch.2 "Microeconomics" opens with a box headed "MACROECONOMICS" covering scarcity/PPF/opportunity cost/utility/indifference curve — genuinely microeconomic content under a Macroeconomics label, transcribed as printed, not corrected.

The fundamental problem of economics = conflict between limited resources and unlimited human wants.

Scarcity: resources (money, land, labour, time) are finite. **Choice:** because resources are limited, an economy cannot produce everything — must choose how to allocate resources effectively.

Production Possibility Curve/Frontier (PPF) — graph showing combinations of two goods/services an economy can produce when all resources are used efficiently. Example given: person with ₹6000 can buy 6 pairs of shoes OR 6 pairs of jeans (or some mix) — spending it all on one leaves none for the other.

Graph 1 characteristics: shows trade-off between two goods (shoes/jeans); slope downward (negative) — producing more of one good needs less of the other, given limited resources. PPF can shift outward (with more resources/technology).

Marginal Rate of Transformation (MRT) = slope of the PPC; the amount of one good that must be sacrificed to produce one extra unit of another. Wanting more shoes means giving up jeans and vice versa — an inverse relationship due to budget limitation.

HOOK At any point relative to the PPF: **on** the curve = full utilisation of resources; **under** the curve = under-utilisation; **above/over** the curve = not achievable given current resources.

Opportunity Cost = value of what you give up when choosing one thing over another. Example: with ₹6000, choosing jeans over shoes means the shoes are the opportunity cost. **Free Goods:** air and sunlight have no opportunity cost — abundant, not scarce, no sacrifice needed.

Utility

Utility = satisfaction/benefit derived from consuming a good or service.

Cardinal Utility	Ordinal Utility
Satisfaction measured in numerical values (quantitative) — less realistic	Satisfaction ranked (qualitative/psychological) — more realistic

Indifference Curve — graph showing different combinations of two goods giving the consumer the same satisfaction/happiness. Example: point A = 1 unit food + 12 units clothing; point B = 2 units food + 6 units clothing — both equally satisfying, same IC.

HOOK Indifference curve properties: **Shape** = convex to origin (rectangular hyperbola); **Slope** = determined by **Marginal Rate of Substitution (MRS)** = $\Delta \text{Sacrifice} / \Delta \text{Gain}$ — rate a consumer will give up one good for another at equal satisfaction; **No Intersection** — two ICs never intersect.

Marginal Utility = additional satisfaction/benefit from buying one more unit of a good/service.

Marginal Product (MP) = additional output from one more unit of a factor of production (usually labour).

Marginal Cost (MC) = change in total cost from producing one more unit. **Marginal Revenue (MR)** = additional income from selling one more unit.

Cost Curves

Average Fixed Cost (AFC) = total fixed costs (e.g. rent) that stay constant as output changes — AFC curve slopes downward. **Average Variable Cost (AVC)** = relationship between a firm's variable costs (e.g. raw materials) and output level in the short run — U-shaped curve. **AVC + AFC = Average Total Cost (ATC).**

DOUBT Source heading reads "Average fixed cost curve and Variable fixed cost curve" — the second curve described and graphed is actually Average Variable Cost (AVC); transcribed as printed.

Law of Diminishing Marginal Utility — as a person consumes more units of a good, the additional satisfaction from each extra unit gradually decreases, other factors constant. (Source's own Hinglish example: "Jab tum pahla golgappa khate ho toh jo anand ki prapti hoti hai woh dusre golgappe main nahi hoti kyunki dhire dhire additional satisfaction (utility) kam hota jata hai.") Beyond a point, MU can hit zero (point of satiety) then go negative.

Isoquant Graph — curve showing input combinations (e.g. labour and capital) producing the same output quantity. Slope = **Marginal Rate of Technical Substitution (MRTS)**.

7 Demand, Supply & Equilibrium

Demand = quantity of a good/service consumers are willing AND able to buy at a given price over a period. **Law of Demand** ★ = inverse relationship between price and quantity demanded — true only when: (1) income is constant, (2) price of other goods is constant, (3) no change in preferences (i.e. *ceteris paribus*).

Movement in the demand curve = happens with a change in the product's own price. **Shift** in the demand curve = happens when factors *other than price* change (income, preferences, related-goods prices) — shifts can be rightward (demand increase) or leftward (demand decrease).

TRAP Exceptions to the Law of Demand ★:

- **Giffen Goods** ★ — inferior/non-luxurious goods where demand may *increase* with price rise, due to absence of better alternatives or limited purchasing power. Eg: increase in price of wheat (Parmar's own example — standard textbooks usually cite potato/inferior grains instead, flagged not corrected).
- **Veblen Goods** ★ — luxury goods with a *direct* price-demand relationship; demand rises as price rises. Eg: iPhone, Mercedes.

Substitute goods (tea & coffee) still *follow* the Law of Demand — not an exception themselves.

Ex Ante (Expected) Aggregate Demand = intended expenditure on goods/services in a given period.

AD = C (intended consumption) + I (intended investment) — as printed, no G or NX term.

Equilibrium: AD = AS. If AD > AS, producers increase output; if AD < AS, inventory builds up and producers cut output.

DOUBT NOTE in source: in macroeconomics, treating a single commodity as representative of all goods simplifies aggregate analysis — lets economists model total production/price levels as a single variable (this does NOT mean all individual goods behave identically under inflation — a distinct, false claim tested elsewhere as a Reason in an A-R question).

Supply = amount of a product/service available for purchase/use. **Supply Curve** = graphical relationship between price and quantity producers are willing/able to supply — producers want to maximise profit; positively sloped (direct price-quantity relationship — better price, more production).

Equilibrium = point where demand curve intersects supply curve → "equilibrium price"/market clearing price; Quantity Demanded = Quantity Supplied. Left of equilibrium (below price) = **Deficit**; right of equilibrium (above price) = **Surplus**. Equilibrium shifts if any underlying factor shifts — demand ↓ shifts curve left, demand ↑ shifts curve right.

8 Elasticity — Full Treatment

Price Elasticity of Demand: $e_d = \frac{\% \Delta \text{ demand}}{\% \Delta \text{ price}}$.

Type	Meaning	Example (as printed)
Perfectly Elastic ($e=\infty$)	Tiny price rise → demand to zero; tiny price fall → demand to infinity	"Luxury products such as gold and cars" — flagged: conflicts with the source's own later statement that Perfect Competition/agriculture products is the $E_d=\infty$ case; also, luxury goods are normally relatively elastic, not perfectly elastic. Both printed, neither corrected.
Relatively Elastic ($e>1$)	Small price change → large quantity-demanded change	—

Perfectly Inelastic ($e=0$)	Quantity demanded fixed regardless of price	Necessary goods — water, wheat, rice
Relatively Inelastic ($e<1$)	Price changes more than quantity demanded	—
Unitary Elastic ($e=1$)	Proportional price/demand change; rectangular hyperbola curve; total revenue is maximum (as printed — standard theory says TR is constant along the curve and maximised at the unit-elastic point of a linear demand curve, flagged not corrected)	—

HOOK Worked example ★: price $\uparrow 10\%$, quantity demanded $\downarrow 20\% \rightarrow E_d = 20/10 = 2 \rightarrow$ **Elastic Demand** ($E>1$, since $2>1$) — a small price change causes a large demand change.

Income Elasticity of Demand = relationship between change in quantity demanded and change in real income. Income Elasticity = $\% \Delta$ quantity demanded / $\% \Delta$ income.

Luxury Goods	Inferior Goods
Income elasticity > 1 (positive); demand rises more than proportionately with income. Eg: luxury cars, designer clothes, expensive vacations	Income elasticity < 0 (negative); demand falls as income rises (switch to better quality). Eg: low-quality food grains, public transport instead of cars

Cross-Price Elasticity = how a change in the price of one good affects demand for another. Example: Pepsi price $\uparrow 10\% \rightarrow$ Coke demand $\uparrow 5\%$. Negative cross-price elasticity = **Complementary Goods** (price of Y $\uparrow \rightarrow$ quantity of Y $\downarrow \rightarrow$ quantity of X also $\downarrow$, since X and Y are consumed together).

Substitute Goods	Complementary Goods
Can be used in place of one another; competitive demand; price of one substitute has a <i>positive</i> relationship with quantity demanded of the other. Eg: Tea & Coffee, Coke & Pepsi	Used together to satisfy a want; joint demand; price of one has a <i>negative</i> relationship with quantity demanded of the other. Eg: Tea & Sugar, Car & Petrol

9 Returns, Costs & Profit Concepts

Law of Diminishing Returns — after a certain level, additional inputs yield smaller output gains; applies in short-run production (at least one factor, typically capital, is fixed while labour/raw materials vary). Curve zones: Most Productive $\rightarrow$ Point of Diminishing Returns $\rightarrow$ Diminishing Returns $\rightarrow$ Point of Maximum Yield $\rightarrow$ Negative Returns.

Term	Definition
Fixed Cost	Constant regardless of production volume. Eg: rent, licence cost, registration cost
Variable Cost	Fluctuates directly with output. Eg: raw materials, shipping
Explicit Cost	Direct payment made to others in running a business. Eg: wage, rent, materials
Sunk Cost	Incurred in the past, cannot be recovered. Eg: advertising expense, legal/accounting fee
Break-Even Point	Where total revenue = total cost — "no profit, no loss" point
Production Function	Relationship between inputs used and output produced
Abnormal Profits	Profits earned above and beyond the opportunity cost of the factor inputs
Optimum Profit	Max achievable profit, occurring where Marginal Revenue (MR) = Marginal Cost (MC)
Regulated Profit	Max earnings/prices/rate of return set by govt authorities for specific industries, to prevent monopoly abuse and ensure fair consumer pricing

HOOK **Bandwagon Effect (Demonstration Effect)** ★ — demand for a commodity rises because others are also consuming it. Eg: buying the 2nd edition of Fatman, buying a new phone everyone else is buying. **Snob Effect** ★ — demand *falls* as a commodity becomes common (opposite of Bandwagon); consumers want exclusivity. Eg: buying a limited-edition watch.

10 Market Structures

Market	Sellers	Product	Entry	Other features	Example (as printed)
Monopoly ★	One	No close substitutes	High barriers	—	Indian Railways
Oligopoly	Few large firms	Similar/differentiated	No easy entry	Many buyers for one product	Telecom sector, laptop market
Monopolistic Competition	Many	Similar but differentiated	Easy entry/exit	Some price control; highly elastic but not perfectly elastic	Toothpaste
Perfect Competition	Many	Identical (homogeneous)	No barriers	Price set by supply/demand; $E_d = \infty$ (perfectly elastic)	Agriculture products

11 Macroeconomic Concepts

Marginal Propensity to Consume (MPC) = portion of additional income spent on consumption rather than saved; measures how much consumption rises per unit rise in income. MPC is lower at higher income levels. $MPC = \Delta C / \Delta Y$, value $0 < MPC < 1$. Worked example: income ↑ ₹10,000, spending ↑ ₹1,000 → $MPC = 1000/10000 = 0.1$.

Autonomous Expenditure = spending occurring regardless of income level; independent of income. $C = A + cY$ (A = income-independent consumption; cY = income-dependent consumption, $c = MPC$, Y = income level; C = total consumption). **Savings** = $1 - c$. **Multiplier** = $1/(1 - c)$. **MPC + MPS = 1** (MPS = Marginal Propensity to Save).

12 Economic Growth & Development (Lucent)

Growth (a term from life sciences) = increase in economic variables over time; its key feature is *quantifiability* — measurable in absolute terms (per the IMF/World Bank's own yardstick of development). Measurement units vary by variable: food production in tonnes, road network in km, total production value in currency terms, per-capita income in monetary terms. Economic growth is thus a *quantitative progress*. **Growth rate** = period-on-period difference converted to percentage; an annual concept unless another period is specified. Growth is technically value-neutral (can be positive or negative), but is generally used in the positive sense — negative growth is called out explicitly as '*negative growth*'.

DOUBT The following FY2024-25 growth figures are time-sensitive (sourced to BHARAT 2025/Economic Survey 2024-25/RBI Bulletin Dec 2024) and will be superseded by later releases — included here for full source coverage, not as current data to rely on.

Economic Growth (data box): NSO/MoSPI released Q2 FY2024-25 GDP estimates — Real GDP grew **5.4%** in Q2 FY25 vs **8.1%** in Q2 FY24. Real GVA (H1, Apr-Sep) grew **6.2%** despite sluggish manufacturing/mining. Real GDP (constant prices) Q2 FY25 = ₹44.10 lakh crore vs ₹41.86 lakh crore Q2 FY24 (5.4% growth). Nominal GDP (current prices) Q2 FY25 = ₹76.60 lakh crore vs ₹70.90 lakh crore Q2 FY24 (8.0% growth).

Prices: retail inflation (CPI Combined, Base 2012=100) fell to **5.4%** in 2023-24 from 6.7% in 2022-23; FY2024-25 average retail inflation (Apr-Oct) = 4.8%.

GDP Growth: India's GDP at constant (2011-12) prices grew 6.7% (Q1) and 5.4% (Q2) FY25 → 6.0% real GDP growth in H1 FY25.

GDP by Expenditure Categories: Private Final Consumption Expenditure (PFCE) grew 6.7% YoY in H1 FY25; rural demand contribution signalled by 2/3-wheeler and tractor sales; NABARD's Jan 2025 Rural Economic Conditions and Sentiments Survey found 78.5% of rural households reported increased consumption expenditure over the last year.

Manufacturing Sector Growth: industrial sector grew 6% in H1 FY25 (ES 2024-25) — Q1 strong at 8.3%, Q2 moderated. Oil companies hurt by inventory losses/lower refining margins; steel companies faced price pressure/lower global prices; cement sector saw weak Q2 demand (heavy rains, lower selling prices). Manufacturing PMI for Dec 2024 stayed in expansionary zone, above its long-term average (new business gains, robust demand, advertising). RBI's Industrial Outlook Survey: manufacturers reported improved Q3 FY25 demand, expected further improvement in Q4 FY25/Q1 FY26.

Services Sector Growth: 7.1% growth in H1 FY25, all sub-categories performing well; PMI services in expansionary zone (new orders, output, sales, employment generation up); hospitality sector's H1 FY25 occupancy rates similar to prior year; air cargo activity grew in double digits, port traffic stable; IT companies performed better quarter-on-quarter (RBI Bulletin, 24 Dec 2024).

Economic Development: economists until the 1950s failed to distinguish growth from development, though aware of the conceptual difference. From the 1960s onward, economists observed countries with comparatively higher growth but comparatively low quality of life. Development reflects quality of life via variables such as: (1) level of nutrition, (2) reach of healthcare facilities (hospitals, medicines, safe drinking water, vaccination, sanitation), (3) level of education, (4) other quality-of-life variables. A basic minimum level of quality-enhancing inputs requires a guaranteed minimum income, which comes from productive activity — so growth must be assured before development can be. Higher economic development requires higher economic growth, but higher growth does NOT automatically bring higher development — a distinction early economists failed to draw clearly.

Appendix

A.1 — PYQ citation index (bucket "01 Fundamental Principles of Economy", all 47 Qs)

Fact tested	Exam · Date · Shift
PESTEL 'E' = Economic	SSC CPO Tier-I, 12/12/2025 (Shift-01)
TR maximised at $E_d=1$	SSC CPO Tier-I, 11/12/2025 (Shift-01)
Public goods non-excludable/non-rivalrous	SSC CHSL Tier-I, 14/11/2025 (Shift-03)
AD single-aggregate-good simplification (A-R)	SSC CGL Tier-I, 20/09/2025 (Shift-02)
Opportunity cost = next best alternative	SSC CGL Tier-I, 20/09/2025 (Shift-01)
Snob effect vs Bandwagon vs Veblen vs Demonstration	SSC CGL Tier-I, 25/09/2025 (Shift-02)
Break-even = $TR=TC$	SSC CGL Tier-I, 14/10/2025 (Shift-02)
Robbins' scarcity definition (1932)	SSC CGL Tier-I, 26/09/2025 (Shift-03)
Invisible Hand = self-interest → market equilibrium	SSC Stenographer, 07/08/2025 (Shift-03)
Macroeconomic indicator = national unemployment rate	SSC Phase XIII, 28/07/2025 (Shift-01)
Aggregate Demand = $C+I+G+(X-M)$	SSC Phase XIII, 24/07/2025 (Shift-01)
Barter double-coincidence of wants (A-R)	SSC Phase XIII, 29/08/2025 (Shift-01)
'What to produce' = capital vs consumer goods	SSC Stenographer, 08/08/2025 (Shift-03)
AVC curve U-shaped (law of variable proportions)	SSC Stenographer, 07/08/2025 (Shift-02)
Elasticity of supply >1 = relatively elastic supply	SSC Phase XIII, 30/07/2025 (Shift-03)
NOT an exception to Law of Demand = Substitute goods	SSC Phase XIII, 25/07/2025 (Shift-03)
Giffen/Veblen as exceptions to Law of Demand	SSC CPO Tier-I, 13/12/2025 (Shift-01)
'What to produce' decision	SSC Stenographer, 08/08/2025 (Shift-03)
Law of Diminishing Marginal Utility (Gossen)	SSC Stenographer, 06/08/2025 (Shift-01); SSC Phase XIII 29/07/2025 (Shift-02)
Match: Law of Demand/Dim. Marginal Product/Variable Proportions	SSC Stenographer, 06/08/2025 (Shift-01)
Scarcity problem = limited resources, unlimited wants	SSC Stenographer, 07/08/2025 (Shift-01)
Capital formation = investment in machinery/infra	SSC Stenographer, 06/08/2025 (Shift-03)
IRS: inputs+50% → output+75%	SSC Phase XIII, 29/08/2025 (Shift-02)

Economies of scale = falling average cost	SSC Phase XIII, 02/08/2025 (Shift-02)
Demand curve shows price-quantity relationship	SSC Phase XIII, 26/07/2025 (Shift-02)
Elasticity of supply formula	SSC CPO Tier-I, 12/12/2025 (Shift-02)
Giffen Paradox (necessary goods)	SSC CPO Tier-I, 13/12/2025 (Shift-01)
Indifference curve = equal satisfaction combos	SSC CGL Tier-I, 19/09/2025 (Shift-03)
Opportunity cost (micro) = best alternative forgone	SSC CPO Tier-I, 10/12/2025 (Shift-02)
Law of demand statement	SSC CGL Tier-I, 25/09/2025 (Shift-01)
Liquidity trap (Keynes)	SSC PHASE XIII, 24/07/2025 (Shift-03); 28/07/2025 (Shift-02)
Bhutan = first country, Gross National Happiness	SSC Phase XIII, 28/07/2025 (Shift-02)
Pairing: Macroeconomics-National Income	SSC Stenographer, 08/08/2025 (Shift-01)
India 1947-90 = Mixed Economy	SSC Phase XIII, 29/08/2025 (Shift-02)
Centrally planned vs market economy (statements)	SSC Phase XIII, 29/07/2025 (Shift-02)
Groundnut→oil = Secondary sector	SSC CHSL Tier-I, 20/11/2025 (Shift-02)
Primary sector = raw-material extraction	SSC CHSL Tier-I, 19/11/2025 (Shift-03)
Non-rivalrous meaning	SSC CHSL Tier-I, 18/11/2025 (Shift-03)
India's mixed economy under Five-Year Plans	SSC CPO Tier-I, 09/12/2025 (Shift-01)
Socialist = Centrally Planned Economy	SSC CPO Tier-I, 13/12/2025 (Shift-01)
Mixed economy definition	SSC CGL Tier-I, 19/09/2025 (Shift-01)
Govt's economic role = laws/justice	SSC CGL Tier-I, 18/09/2025 (Shift-02)

Coverage note: "Liquidity Trap" and "Bhutan/GNH" facts are sourced to the PYQ book's own explanation text (not in Parmar/Lucent's Ch.1-2/§2) — see A.2. Every other row above is backed by the full-coverage content in §1-§12 above.

A.2 — PYQ-book-only facts (not in Parmar/Lucent Ch.1-2 or §2)

- Hermann Heinrich Gossen as first propounder of the Law of Diminishing Marginal Utility.
- Lionel Robbins' scarcity definition dated to 1932, from "An Essay on the Nature and Significance of Economic Science".
- "Giffen Paradox" as a named term for the Giffen-goods exception.
- Bhutan / Gross National Happiness as first-country fact.
- Liquidity Trap's full mechanics (the raw extraction's Ch.6-8 files cover this in more depth — see Batch 5).

A.3 — Doubts (carried from the raw extraction, full list)

- Perfectly Elastic Demand example ("gold and cars") conflicts with the source's own Perfect Competition example ("agriculture, $E_d = \infty$ ") — both transcribed as printed.
- Giffen-goods example given as "wheat" (Parmar) rather than the more usual potato/inferior-grain textbook example.
- Unitary elastic demand: source says "total revenue is maximum" — standard theory says TR is constant along the whole curve, maximised only at the unit-elastic point of a linear demand curve.
- "Average fixed cost curve and Variable fixed cost curve" heading — the second curve is actually AVC.
- Typos preserved in the economist/books table: "Irwin Fisher" (Irving Fisher), "M. Vishveshwaraia" (Visvesvaraya), "A. R. Rodon" (usually P.N. Rosenstein-Rodan for Big Push Theory), "Sri J.R. Hicks".
- "Smithonian", "empolyment", "practioners", "exploitators", "outrightly", "Discources" — typos preserved verbatim per standing non-correction policy.
- Parallel Economy's garbled sentence ("renders punctuation by Government punctuation") — meaning unclear, not corrected.
- "Percentage of women engaged in Primary Sector: 62.8%" has no year/source given.
- Public/Private sector table logos beyond BHEL/SAIL/ONGC/Reliance are not independently verifiable at source resolution.

ECONOMY — National Income Accounting

Batch 2 of 10 · Sources: Parmar Ch.3 (full) + Lucent §1 "Highlights of Indian Economy" (full) + §5 "National Income" (full) · Complete source coverage · ★ = tested in a real past SSC paper · PYQ bucket "02 National Income" (20 Qs)

1 Concept, Founders & Circular Flow

National Income = total value of all goods/services produced by a country's residents in a year — a "Macroeconomic" concept. First proposed by **Dadabhai Naoroji**. **P.C. Mahalanobis** headed the **National Income Committee (1949)**. **V.K.R.V. Rao** used a scientific approach to calculate National Income; he also gave the two-sector economy classification.

HOOK Circular Flow of Income — continuous movement of goods, services, resources and money in an economy. Households own land/labour/capital, provide these to firms for income (wages/rent/profits); firms use resources to produce goods/services, sell to households; households spend on goods/services (expenditure); firms pay households for resources (income) — a continuous cycle. Upper arrows: Goods & Services (Product Method), Consumer Expenditure (Expenditure Method); lower arrows: Wages/Rent/Dividends, Factor for Production (Income Method).

Real Flow	Money Flow
Movement of goods, services and factors of production (land, labour, capital, entrepreneurship) between households and firms	Movement of money (payments) between households and firms in exchange for goods/services/factors
Factors of Production	Factors of Payment
Land	Rent
Labour	Wages
Capital	Interest
Entrepreneurs	Profit

HOOK Law of Variable Proportions — increasing one factor of production (e.g. labour) while others stay fixed: total output first rises at an increasing rate, then rises at a decreasing rate, then declines (TP/AP/MP curves; Stage I, II, III; Point of Inflexion).

Model	Composition
Two-Sector Model	Households and Firms (simplest model)
Three-Sector Model	Households, Firms, Government
Four-Sector Model (Open Economy)	Households, Firms, Government, Foreign Trade

TRAP Injections (money entering the economy, ↑ spending/income): Investment (capital-goods spending), Government Spending (infra/education/defence), Exports (foreign buyers' money entering). **Leakages** (money exiting the circular flow): Savings (households not spending), Taxes, Imports (money spent on foreign goods) ★. When households **save** instead of spending, that's a **leakage** ★ — reduces total demand, must be balanced by investment.

2 Three Methods to Calculate National Income

1. Value Added / Production / Output Method

Calculates the value of a product/service at each stage of production. **Value Added Method = Output – Input.**

	Cotton	Yarn	Cloth	Shirt
Value of output	₹100	₹200	₹400	₹800
Value added	₹100	₹100	₹200	₹400

Gross Value Added (GVA) = value producers add to goods/services they buy and sell. $GVA = GVA_1 + GVA_2 + GVA_3 + \dots + GVA_N$. The National Statistics Office (printed "CSO") adopted GVA in **2015**.

2. Income Method

Includes all income generated by factors of production that are inputs to producing final goods/services, economy-wide. Components:

- **Compensation to Employees** — total wages/salaries paid to workers.
- **Operating Surplus** — profit earned by businesses (profit, rent, interest) after deducting employee compensation.
- **Mixed Income** — income of self-employed individuals/unincorporated businesses, where labour and capital income elements can't be distinctly separated. Eg: a doctor running their own clinic.

3. Expenditure Method ★

Sums all spending on goods/services in the economy — the most common GDP-calculation method.

Expenditure Method = $C + G + I + (X - M)$ ★ (C=Consumption, G=Government Expenditure, I=Investment, X=Export, M=Import).

HOOK **Orange Economy** — the part of the economy based on creativity, culture and intellectual property; ideas/talent/cultural expression converted into economic value/jobs. Examples: Film industry, Music industry, Fashion design.

3 Final vs Intermediate Goods; Economic Problems; Inventory

Final Goods	Intermediate Goods ★
Will not undergo any further economic process; used by the consumer for personal consumption or investment; direct consumption/capital investment. Eg: buying tea from a shop for personal use ★	Semi-finished products that undergo further economic process/transformation; used as inputs to produce other goods, get customised in the process; further processing or resale. Eg: copper for utensils ★, a tea shop buying tea to prepare and sell to customers ★

HOOK Why only **final goods** count in GDP ★: avoids **double counting**, since intermediate-good value is already embedded in the final good's price. **Capital goods** (durable, e.g. machines) assist production without being transformed into the product itself — a PYQ pairs Statement I (intermediate goods = inputs) TRUE with Statement II (capital goods = durable, not transformed) also TRUE ★.

Every economy faces 3 fundamental problems from scarcity: **What to Produce? How to Produce? For Whom to Produce?** "What to Produce" = deciding which goods/services to produce and in what quantity, given limited resources must be allocated between different goods types.

Consumer Goods	Capital Goods
Finished goods used directly by individuals for personal consumption, not used to produce other goods. Eg: clothes, food, smartphones	Goods used by businesses to produce other goods/services; help production, not consumed immediately. Eg: machines to produce T-shirts, factory equipment, tools

Inventory = items a business keeps in stock for sale/production (raw materials, work-in-progress, finished goods). If sales increase, inventory *decumulates*; if sales decrease, inventory *accumulates* — can be planned or unplanned.

Aids/Auxiliaries to Trade = factors essential for bringing goods from production to consumption — essential services/functions assisting business. Eg: transportation, communication, banking, insurance, warehousing, advertising.

Stock	Flow
Static in nature; measured at a point in time. Eg: wealth, loan, inventory, capital, money supply	Dynamic in nature; measured over a period of time. Eg: income, expenditure, change in inventory, depreciation

4 Depreciation & the GVA/GDP/GNP/NDP/NNP Ladder

HOOK **Depreciation** ★ = wear-and-tear loss in value of fixed assets (machinery/equipment/buildings) during production; also called **Replacement Investment** ★ (investment needed just to maintain existing capital stock, equal to depreciation). **Net Investment = Gross Investment – Depreciation** ★ (e.g. ₹50 lakh machinery, ₹5 lakh depreciation → ₹45 lakh net investment ★).

Aggregate	Definition / Formula
GDP ★	Total value of all final goods/services produced <i>within a country's territory</i> in a financial year (1 April–31 March). Second-hand goods are never counted. Only final-goods value counted, to avoid double counting. Developed by Russian-American economist Simon Kuznets in 1934 .
GNP ★	Total value of final goods/services produced by a country's nationals . $GNP = GDP - \text{Factor Income to Abroad} + \text{Factor Income from Abroad}$, i.e. $GNP = GDP + NFIA$ ★ (Net Factor Income from Abroad).
NDP	Country's economic output after adjusting for depreciation of fixed capital. $NDP = GDP - \text{Depreciation}$.
NNP ★	Monetary value of finished goods/services produced by a country's citizens in a given period. $NNP = GNP - \text{Depreciation}$ ★ — the difference between GNP and NNP is depreciation ★.

Market Price (MP)	Factor Cost (FC)
Final value of the product sold, includes indirect taxes	Cost of factors of production / total value of inputs, indirect tax NOT included

$FC = MP - \text{Indirect Tax} + \text{Subsidy}$, equivalently **$FC = MP - (\text{Indirect Tax} - \text{Subsidy}) = MP - \text{Net Indirect Tax}$** . **Basic Price = FC + Net Production Tax** (Net Production Tax = Production Tax – Subsidy).

DOUBT **REMEMBER** (as printed): Product taxes are levied per unit of goods/services sold (e.g. GST, excise duty, sales tax); production taxes are paid regardless of output volume (land taxes, stamp duties, licence fees). Production taxes are independent of production quantity; product taxes depend on sales volume.

HOOK "To Summarise" mnemonic (as printed, Hindi): (1) Gross से Net में जाना हो तो Depreciation subtract करो — going Gross→Net, subtract Depreciation. (2) Domestic से National में जाना हो तो NFIA add करो — going Domestic→National, add NFIA. (3) MP से FC में जाना हो तो Net Indirect Tax को subtract करो — going MP→FC, subtract Net Indirect Tax.

Calculation of income: Nation's Territory → GDP; Nation's People → GNP; Total Income = Total Expenditure = Total value of goods and services.

Factor Cost — trap

TRAP **Factor Cost** ★ = payment to factors of production only (rent, wages, interest, profit) — **excludes** production/product taxes and does NOT subtract subsidy either; it reflects only the actual cost of production.

GDP and Welfare

DOUBT GDP does not measure welfare/standard of living ★. Limitations, in full: (1) **Ignores Income Distribution** — high GDP can coexist with widespread poverty since distribution isn't shown; (2) **Excludes Non-Market Activities** — household work, voluntary service, caregiving aren't counted since not sold in a market; (3) **Ignores Environmental Damage** — pollution-causing production raises GDP but can lower quality of life; (4) **Excludes Quality-of-Life Factors** — health, education, leisure, safety, happiness aren't counted; (5) **Underground Economy Not Included** — informal/black-market activity generally uncounted. A tested Assertion-Reason confirms both A (GDP doesn't tell the whole story) and R (ignores wear-and-tear/pollution/distribution) **TRUE** ★.

5 India's GDP Sector Contribution & Real vs Nominal GDP

HOOK **Services sector** contributes most to India's GDP today (>54%) ★, though **Agriculture** provides the highest employment. In **1950-51**, Industry's GDP share was ~12-13%, Agriculture ~53-59%, Services ~27-30% ★ — India was agriculture-based at Independence.

Real GDP	Nominal GDP
Base year taken as reference; calculated on constant prices; inflation-adjusted	More than Real GDP due to inflation; calculated on current prices; inflation NOT adjusted

GDP Deflator = $(\text{Nominal GDP} / \text{Real GDP}) \times 100$ — also called **Implicit Price Deflator** and **Price Index**. GDP of India is calculated by the **National Statistical Office (NSO)**, **MoSPI**. Base year (per Parmar): **2022-23**.

Per Capita Income = National Income / Population. **Purchasing Power Parity (PPP)** — amount of goods/services purchasable with a specific sum of money; also called "a common basket of goods." As of 2026 (per Parmar): India's GDP ranked **5th in the world** (nominal); India's economy ranked **3rd in the world by PPP**, after USA and China (whose economies are considered "inflated" in nominal terms).

Personal Income = total individual income from all sources *before* taxes. **Ranking of GDP (Nominal), per Parmar**: 1. USA, 2. China, 3. Germany, 4. Japan, 5. India. $\text{PI} = \text{NI} + \text{Income received but not earned} - \text{Income earned but not received}$; equivalently $\text{PI} = \text{NI} + \text{Govt. transfers} + \text{Net interest paid by Govt.} - \text{Corporate tax} - \text{payment for social security}$; equivalently $\text{PI} = \text{NI} + \text{Transfer Payment} - \text{Undistributed corporate profit}$ (Transfer payment examples: government subsidies, scholarship, pension).

Personal Disposable Income (PDI) ★ = money a person has after paying taxes/mandatory withholdings. $\text{PDI} = \text{Personal Income} - \text{Tax}$ ★ — belongs to the **household** sector ★.

Potential GDP = total output an economy would produce with resources fully utilised. **Green GDP** = **GDP – Environmental Damage**. **Potential GDP – Real GDP = Recessionary Gap**. **Gross Domestic Capital Formation** = total investment within a country in a period, to create/increase physical assets. Eg: factory building, new machinery.

6 Multiplier & Autonomous Investment

HOOK **Investment Multiplier** ★: a rise in autonomous investment causes a *multiplied* rise in national income, because $\text{MPS} < 1$ (people don't save their entire income, so extra spending recirculates) ★ — $\text{Multiplier} = 1/(1-\text{MPC}) = 1/\text{MPS}$. An Assertion-Reason PYQ confirms both statements TRUE and R correctly explains A.

7 Lucent §1 — Highlights of Indian Economy (full data, FY2024-25 releases)

DOUBT Everything in this section is time-sensitive (FY2024-25 data releases dated 28 Feb 2025 and 30 May 2025) and will be superseded by later releases — included here in full for source completeness, not as current data to rely on for a live exam.

Per NSO/MoSPI's 28 Feb 2025 press note: Second Advance Estimates (SAE) of National Income 2024-25; Quarterly Estimates (QE) of GDP for Q3 (Oct-Dec) 2024-25; and First Revised/Final Estimates of GDP, National Income, Consumption Expenditure, Saving and Capital Formation for 2023-24 & 2022-23 respectively. Estimates released at Constant (2011-12) and Current Prices.

Key Highlights (SAE, 28 Feb 2025): Real GDP estimated to grow **6.5%** in FY2024-25; Nominal GDP growth **9.9%** (both revised upward from First Advance Estimates). First Revised Estimates: Real GDP grew **9.2%** in FY2023-24 — highest in the previous 12 years except FY2021-22 (post-Covid year) — driven by double-digit growth in Manufacturing (12.3%), Construction (10.4%), Financial/Real-Estate/Professional Services (10.3%). Final Estimates: Real GDP grew **7.6%** in FY2022-23, driven by Trade/Hotels/Transport/Communication/Broadcasting (12.3%), Financial/Real-Estate/Professional Services (10.8%), Electricity/Gas/Water/Utilities (10.8%). Q3 FY2024-25: Real GDP growth **6.2%**, Nominal GDP growth **9.9%**. Q2 FY2024-25 Real GDP growth revised upward to **5.6%**. 2024-25 sector growth: Construction 8.6%, Financial/Real-Estate/Professional Services 7.2%, Trade/Hotels/Transport/Communication/Broadcasting 6.4%. PFCE expected to grow 7.6% in 2024-25 vs 5.6% in 2023-24.

Annual Estimates	2023-24 (FRE)	2024-25 (est.)
Real GDP (constant prices)	₹176.51 lakh crore	₹187.95 lakh crore (6.5% growth vs 9.2%)
Nominal GDP (current prices)	₹301.23 lakh crore	₹331.03 lakh crore (9.9% growth)
Real GVA	₹161.51 lakh crore	₹171.80 lakh crore (6.4% growth vs 8.6%)
Nominal GVA	₹274.13 lakh crore	₹300.15 lakh crore (9.5% growth)

Quarterly (Q3 FY)	2023-24	2024-25
Real GDP	₹44.44 lakh crore	₹47.17 lakh crore (6.2% growth)
Nominal GDP	₹77.10 lakh crore	₹84.74 lakh crore (9.9% growth)
Real GVA	₹40.60 lakh crore	₹43.13 lakh crore (6.2% growth)
Nominal GVA	₹69.90 lakh crore	₹77.06 lakh crore (10.2% growth)

Source: NSO MoSPI Report Q3, 28.02.2025.

"Industrial growth pushes up Q4 GDP to 7.4%" (30 May 2025 release)

Real GDP picked up to a four-quarter high of **7.4%** in Jan-Mar 2025 (industrial growth in manufacturing/construction/mining, even as consumption demand slowed). Full-year FY2024-25 growth estimated at a four-year low of **6.5%** — same as the Feb-end SAE. GDP had grown 8.4% in Q4 FY2023-24 and 9.2% in FY24 overall. Q3 growth revised up to 6.4% (from 6.2% earlier). Industrial growth: 6.8% in Q4 FY25 (up from 5.1% in Q3, but slower than 10.2% in Q4 FY24). Manufacturing growth rose to a three-quarter high of **4.8%** in Jan-Mar (vs 11.3% a year ago); construction grew a double-digit **10.8%** (vs 8.7% a year ago).

GVA growth (6.8% in Jan-Mar) came in lower than GDP, due to a sharp jump in net taxes (12.7% in Q4 vs 5% in the previous quarter and 18.7% a year ago) — GDP = GVA + net product taxes. Full-year FY25 GVA growth: 6.4% (vs 8.6% in FY24). Mining grew 2.5% in Q4 (vs 13% in Q3, 0.8% in Q4 FY24). Agriculture grew 5.4% in Q4 (slower than 6.6% prior quarter, but well above 0.9% in Q4 FY24). Services grew 7.3% in Q4 (7.4% prior quarter, 7.8% in Q4 FY24). PFCE growth slowed to a five-quarter low of 6.0% in Q4 (vs 8.1% prior quarter) — demand tempering at higher income levels.

"Critical Analysis" box — how national income is measured

MoSPI released two interrelated datasets on 30 May 2025: Q4 FY25 growth estimate, and provisional full-year FY25 estimates. Economic growth is measured using two metrics: **GDP** (adds up all expenditures — by individuals, governments, private businesses — demand-side view) and **GVA** (supply-side view — sums value added/income at each production stage across sectors). **GDP = GVA + (taxes earned by government) – (subsidies provided by government)**.

Why "provisional"? Estimates get revised over several years. Sequence: **First Advance Estimates (FAE)** in January → **Second Advance Estimates (SAE)** at end-February (incorporating Q3 data) → **Provisional Estimates (PE)** by May-end (incorporating Q4 data) → **First Revised Estimates** a year later → **Final Estimates** two years later. For FY25, these arrive in 2026 and 2027 respectively.

Four key takeaways (30 May 2025 data):

- Nominal GDP:** grew to ₹330.7 trillion (lakh crore) by end-March 2025, +9.8% over FY24. In USD terms (÷85.559 exchange rate) = **\$3.87 trillion**. This 9.8% was the third-slowest nominal growth since the current government took charge (2014) and the sixth-slowest since India's 1991 liberalisation. CAGR since 2014-15 = 10.3%; CAGR since the NDA's 2nd-term start (2019) = 9.8%.
- Real GDP:** grew 6.5% in FY25 to ₹188 trillion — deceleration from FY24's 9.2% is starker than the nominal-GDP deceleration (gap reflects inflation's effect). Real-GDP CAGR is just above 5% since 2019, just above 6% since 2014 — India's growth momentum has slowed over the decade.
- GVA & sectoral health:** real GVA across Agriculture/allied, Industry (manufacturing, construction, etc.) and Services grew 6.4% in FY25 (vs 8.6% in FY24) — no sector has grown at a CAGR near 6% since 2019-20.
- Manufacturing vs Agriculture:** since 2019-20, manufacturing GVA's CAGR (4.04%) has been *slower* than agriculture and allied activities' (4.72%) — partly explains high urban/youth unemployment and labour moving back to villages/agriculture.

Sources: NSO MoSPI Report Q3 28.02.2025; Indian Express, 31 May 2025.

8 Lucent §5 — National Income (full tables)

National income = measurement of the flow of services and goods in the economic system. **National Wealth vs National Income:** national wealth = present assets available at a given time; national income = production power of the economic system over a given period. **NNP at Factor Cost = NNP at Market Prices – Indirect Taxes + Subsidies = GNP at Market Prices – Indirect Taxes + Subsidies = National Income.** A one-year base is taken for calculating national income (all seasons occur within a year). Estimation data issued by the Central Statistical Organisation (printed "CSO").

Second Advance Estimates of Annual GDP, FY2024-25 — at 2011-12 (Constant) Prices, ₹ crore

#	Item	2022-23 (FE)	2023-24 (FRE)	2024-25 (SAE)	%Δ 23-24	%Δ 24-25
1	GVA at Basic Prices	1,48,78,028	1,61,51,477	1,71,79,842	8.6	6.4
2	Net Taxes on Products	12,86,885	14,99,114	16,15,253	16.5	7.7
3	Gross Domestic Product (GDP)	1,61,64,913	1,76,50,591	1,87,95,095	9.2	6.5
4	Net Domestic Product (NDP)	1,40,76,950	1,54,21,624	1,64,24,210	9.6	6.5
<i>Expenditure Components</i>						
5	Private Final Consumption Expenditure (PFCE)	93,84,943	99,06,774	1,06,61,785	5.6	7.6
6	Government Final Consumption Expenditure (GFCE)	15,43,991	16,69,675	17,32,611	8.1	3.8
7	Gross Fixed Capital Formation (GFCF)	54,37,725	59,15,288	62,78,171	8.8	6.1
8	Changes in Stocks (CIS)	1,99,177	3,05,610	3,18,839	53.4	4.3
9	Valuables	2,35,146	2,69,106	2,71,782	14.4	1.0
10	Exports	37,43,310	38,25,494	40,97,742	2.2	7.1
11	Imports	38,59,869	43,90,614	43,41,194	13.8	-1.1
12	Discrepancies	-5,19,510	1,49,257	-2,24,641	0.8	-1.2
13	GDP	1,61,64,913	1,76,50,591	1,87,95,095	9.2	6.5
<i>Share in GDP (%)</i>						
14	PFCE	58.1	56.1	56.7		
15	GFCE	9.6	9.5	9.2		
16	GFCF	33.6	33.5	33.4		
17	CIS	1.2	1.7	1.7		
18	Valuables	1.5	1.5	1.4		
19	Exports	23.2	21.7	21.8		
20	Imports	23.9	24.9	23.1		
21	Discrepancies	-3.2	0.8	-1.2		
22	GDP	100.0	100.0	100.0		
<i>National Product</i>						
23	Gross National Income (GNI)	1,59,39,376	1,74,04,638	1,85,21,328	9.2	6.4
24	Net National Income (NNI)	1,38,51,412	1,51,75,671	1,61,50,443	9.6	6.4
<i>Per Capita Income, National Product & Final Consumption</i>						
25	Population (million)	1,383	1,395	1,408		
26	Per Capita GDP (₹)	1,16,892	1,26,528	1,33,488	8.2	5.5
27	Per Capita GNI (₹)	1,15,261	1,24,764	1,31,544	8.2	5.4
28	Per Capita NNI (₹)	1,00,163	1,08,786	1,14,705	8.6	5.4
29	Per Capita PFCE (₹)	67,865	71,016	75,723	4.6	6.6

GDP (Production/Income Approach) = GVA at Basic Price + Net Taxes on Products. Expenditure Approach: GDP = PFCE + GFCE + GFCF + CIS + Valuables + Export – Import. Discrepancy = gap between Production/Income-approach GDP and Expenditure-approach GDP (its own row shows % share, not % change). *Source: NSO MoSPI Report Q3, 28.02.2025.*

Second Advance Estimates of Annual GDP, FY2024-25 — at Current Prices, ₹ crore

#	Item	2022-23 (FE)	2023-24 (FRE)	2024-25 (SAE)	%Δ 23-24	%Δ 24-25
1	GVA at Basic Prices	2,46,46,698	2,74,12,888	3,00,14,893	11.2	9.5
2	Net Taxes on Products	22,43,775	27,10,068	30,88,322	20.8	14.0
3	GDP	2,68,90,473	3,01,22,956	3,31,03,215	12.0	9.9
4	NDP	2,37,61,232	2,67,62,544	2,94,23,836	12.6	9.9
<i>Expenditure Components</i>						
5	PFCE	1,65,27,862	1,81,30,431	2,03,54,192	9.7	12.3
6	GFCE	27,57,628	31,04,298	33,58,066	12.6	8.2
7	GFCF	83,96,038	91,65,224	98,01,025	9.2	6.9
8	CIS	2,99,851	4,59,571	4,97,703	53.3	8.3
9	Valuables	3,44,489	4,24,919	4,96,532	23.3	16.9
10	Exports	62,52,449	64,60,982	70,10,639	3.3	8.5
11	Imports	72,13,027	70,92,192	77,76,928	-1.7	9.7
12	Discrepancies	-4,74,817	-5,30,277	-6,38,014	-1.8	-1.9
13	GDP	2,68,90,473	3,01,22,956	3,31,03,215	12.0	9.9
<i>Share in GDP (%)</i>						
14	PFCE	61.5	60.2	61.5		
15	GFCE	10.3	10.3	10.1		
16	GFCF	31.2	30.4	29.6		
17	CIS	1.1	1.5	1.5		
18	Valuables	1.3	1.4	1.5		
19	Exports	23.3	21.4	21.2		
20	Imports	26.8	23.5	23.5		
21	Discrepancies	-1.8	-1.8	-1.9		
22	GDP	100.0	100.0	100.0		
<i>National Product</i>						
23	Gross National Income (GNI)	2,65,20,166	2,97,10,786	3,26,24,918	12.0	9.8
24	Net National Income (NNI)	2,33,90,925	2,63,50,374	2,89,85,539	12.7	9.8
25	Gross National Disposable Income (GNDI)	2,73,39,378	3,05,94,001	3,35,83,538	11.9	9.8
26	Net National Disposable Income (NNDI)	2,42,10,137	2,72,33,589	2,99,04,160	12.5	9.8
<i>Per Capita Income, National Product & Final Consumption</i>						
27	Per Capita GDP (₹)	1,94,451	2,15,935	2,35,108	11.0	8.9
28	Per Capita GNI (₹)	1,91,773	2,12,981	2,31,711	11.1	8.8
29	Per Capita NNI (₹)	1,69,145	1,88,892	2,05,579	11.7	8.8
30	Per Capita GNDI (₹)	1,97,697	2,19,312	2,38,519	10.9	8.8
31	Per Capita PFCE (₹)	1,19,516	1,29,967	1,44,561	8.7	11.2

Formulae (Lucent, in full)

1. GVA at basic prices (Production Approach) = Output at basic price – Intermediate Consumption
2. GVA at basic prices (Income Approach) = CE + OS/MI + CFC + Production taxes less Production subsidies
3. GDP = ΣGVA at basic prices + Product taxes less Product subsidies
4. NDP/NNI = GDP/GNI – CFC (Consumption of Fixed Capital)
5. GNI = GDP + Net primary income from Rest of World (Receipts less payments)
6. Primary Incomes = CE + Property and Entrepreneurial Income
7. NNDI = NNI + other current transfers from ROW, net (Receipts less payments)

8. $GNDI = NNDI + CFC = GNI + \text{other current transfers from ROW, net (Receipts less payments)}$
9. $\text{Gross Capital Formation (financing side)} = \text{Gross Savings} + \text{Net Capital Inflow from ROW}$
10. $GCF (\text{expenditure side}) = GFCF + CIS + \text{Valuables}$
11. $\text{Gross Disposable Income of Govt.} = GFCE + \text{Gross Saving of Central Government}$
12. $\text{Gross Disposable Income (GDI) of Households} = GNDI - \text{GDI of Govt.} - \text{Gross Savings of All Corporations}$

Remarks on the formulae: Production taxes/subsidies relate to production, independent of output volume — e.g. Production Taxes: land revenues, stamps & registration fees, tax on profession; Production Subsidies: subsidies to railways, village/small industries. Product taxes/subsidies are per-unit — e.g. Product Taxes: GST, excise duties, sales tax, service tax, import/export duties; Product Subsidies: food, petroleum, fertilizer subsidies. "Other Current Transfers" = current transfers other than primary incomes. Gross Capital Formation is estimated via two approaches: (i) flow of funds (Gross Saving + net capital flow from RoW), (ii) commodity flow approach (by asset type).

GDP Price Deflator measures how much an economy's real output value is reduced by inflation; accounts for all final goods including exports, but does **not** factor in import prices. Formula: **GDP Price Deflator = (Nominal GDP ÷ Real GDP) × 100.**

Appendix

A.1 — PYQ citation index (bucket "02 National Income", 20 Qs)

Fact tested	Exam · Date · Shift
PDI = Personal Income – Direct Taxes, belongs to households	SSC CHSL Tier-I, 27/11/2025 (Sh-02)
Intermediate good example = copper for utensils (vs final goods)	SSC CHSL Tier-I, 25/11/2025 (Sh-02) [asked twice in this bucket]
Replacement investment = depreciation	SSC CHSL Tier-I, 18/11/2025 (Sh-03)
Depreciation deducted from GVA → NVA	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
Intermediate vs Capital goods (statements)	SSC Phase XIII, 30/07/2025 (Sh-02)
Savings by households = leakage in circular flow	SSC Stenographer, 07/08/2025 (Sh-02)
GNP = income of residents + NFIA (asked twice)	SSC Stenographer, 08/08/2025 (Sh-02)
Services sector contributes most to India's GDP	SSC Stenographer, 07/08/2025 (Sh-03)
GDP = Gross Domestic Product (full form)	SSC Phase XIII, 29/07/2025 (Sh-01)
Personal income vs private/public income (statements)	SSC CHSL Tier-I, 22/11/2025 (Sh-02)
Sum of GVA of all firms = GDP	SSC CHSL Tier-I, 14/11/2025 (Sh-01)
Industry's GDP share in 1950-51 (~12-13%)	SSC CHSL Tier-I, 13/11/2025 (Sh-01)
GNP – NNP = Depreciation	SSC CPO Tier-I, 12/12/2025 (Sh-02)
GDP doesn't reflect welfare (A-R)	SSC CGL Tier-I, 21/09/2025 (Sh-03)
Autonomous investment multiplier (A-R, $MPS < 1$)	SSC CGL Tier-I, 21/09/2025 (Sh-01)
GDP excludes intermediate-goods value (double counting)	SSC CGL Tier-I, 22/09/2025 (Sh-01)
Net Investment = Gross Investment – Depreciation (₹50L–₹5L)	SSC Stenographer, 08/08/2025 (Sh-02)
Factor cost = payment to factors only, no taxes/subsidy	SSC CHSL Tier-I, 26/11/2025 (Sh-02)

Two questions in this bucket (Q19-Q20) duplicate Q2 and Q7's content verbatim — a repetition in the PYQ book itself, cross-referenced rather than re-cited.

A.2 — PYQ-book-only facts

None identified in this bucket — all 20 questions map to Parmar Ch.3 content in the full-coverage sections above.

A.3 — Doubts (carried from the raw extraction, full list)

- GDP base-year: Parmar states 2022-23; Lucent's own tables still use the 2011-12 base series — both transcribed, not reconciled.

- CPI base year: Lucent p.253 says 2012=100; Parmar Ch.3/5 gives 2023-24 or 2024, itself internally inconsistent.
- India's GDP world rank: Lucent (Forbes India, 28 Apr 2025) says 4th; Parmar says 5th nominal/3rd PPP (as of 2026) — both time-sensitive, not independently verified.
- "National Statistics Office (CSO) adopted the GVA in 2015" and "data issued by Central Statistical Organisation (CSO)" — CSO merged into NSO in 2019; as printed, not corrected.
- Simon Kuznets described as "Russian-American" economist — commonly described as Belarus-born/Russian-born American economist.
- Value-added table row labels (output value vs value added) are inferred from the arithmetic, not explicitly labelled in the source.
- "V.K.R.V. Rao...two-sector economy classification" possibly conflates with the separate "Two-Sector Model" (Households+Firms) concept — flagged as a wording ambiguity.
- Personal Income formula as printed is garbled (" $PI = NI + \text{Govt. transfers} + \text{Net interest paid by Govt. Corporate tax-payment for social security}$ ") — standard form is $PI = NI - \text{undistributed profits} - \text{corporate tax} - \text{social-security contributions} + \text{transfer payments}$; transcribed verbatim.
- Discrepancy-row percentage figures in the Lucent tables (0.8/-1.2 etc.) are printed as % change though the table's own note says shares should appear instead — as printed.
- All FY2024-25 figures throughout §1 and §5 are superseded by later (FY26) releases — today's date is well past these releases.

ECONOMY — Budget, Taxation & Fiscal System

Batch 3 of 10 · Sources: Parmar Ch.4 (full) + Lucent §10 "Indian Fiscal System" (full) + §12 "Tax System" (full) · Complete source coverage · ★ = tested in a real past SSC paper · PYQ buckets "04 Indian Tax System" (15 Qs) + "05 Public Finance" (57 Qs)

1 Budget Basics

Budget = estimate of govt receipts & expenditure over a period, called the "**Annual Financial Statement**" ★ under **Article 112** ★ (the word "Budget" itself is NOT in the Constitution). **President of India** is responsible for presenting the AFS to both Houses of Parliament. Prepared by: Department of Economic Affairs (Ministry of Finance); presented by: the Finance Minister. First Budget: **R.K. Shanmukham Chetty**; 2nd budget: John Mathai.

Most number of budgets	Count
Morarji Desai	10 (record holder, 6 in a row)
P. Chidambaram	9
Nirmala Sitharaman	9 (incl. 9 consecutive)
Pranab Mukherjee	8
Yashwant Sinha	8

Gender Sensitive Budget: 2005-06. **Indira Gandhi** = 1st female Finance Minister of India (temporary).

Child Budgeting introduced: **2008-09** ★.

HOOK Railway Budget: separated from General Budget in **1921** (Acworth Committee); **merged back in 2016** (Bibek Debroy Committee), effective **2017-18** ★ — ending a colonial practice since 1924. **Budget 2017-18** reforms ★ (in full, per Lucent): (1) presentation date advanced to **1 February** — avoids a Vote on Account, single Appropriation Bill passed before the financial year's close, so ministries can operationalise schemes from day one of the new FY; (2) Railway Budget merged with General Budget — brought Railways to the centre of fiscal policy, enabled multi-modal transport planning (rail/highways/inland waterways); (3) plan/non-plan expenditure classification abolished — gives a holistic view of sector/ministry allocations, facilitates optimal resource allocation. *Source: INDIA 2018.*

2 Budget's 3 Functions, Asset/Liability, Deficit-Financing Actors

Function	Meaning
Allocation ★	Divides resources between public/private goods — the budget's primary objective is to allocate limited public funds to sectors like education/health/defence ★
Redistribution	Reduces income inequality via progressive taxation + welfare programs (e.g. unemployment benefits)
Stabilisation	Counters recession (↑ spending) or inflation (↓ spending) by adjusting govt spending/taxation

Asset = resource with economic value an entity owns/controls, expected to give future benefit. Eg: gold, property. **Liability** = obligation/responsibility to fulfil a debt/duty to another party. Eg: loan repayment.

HOOK Along with the Annual Financial Statement, the FRBM Act mandates **3 documents** ★: Medium-Term Fiscal Policy Statement (3-year rolling target for key fiscal indicators like revenue/fiscal deficits), Fiscal Policy Strategy Statement ★ (financial goals + methods to achieve them), Macroeconomic Framework Statement (overview of economic situation incl. GDP growth) — NOT a "Monetary Policy Statement" (that's RBI's own, independent document — a tested distractor ★). The **Finance Bill** ★ (Art. 110/117) proposes tax changes/rates, needs Parliament's approval; the **Appropriation Bill** ★ authorises withdrawal from the Consolidated Fund.

3 Revenue vs Capital (Receipts & Expenditure) — full detail

Budget divided into two heads: **Revenue** and **Capital**. Revenue = funds a govt collects to finance activities/public services, primarily from taxes plus fees/fines/duties. Tree: Budget → Revenue {Receipt, Expenditure} and Capital {Receipt, Expenditure}.

Revenue Receipts ★

Do NOT create liability or reduce assets; non-redeemable; do not lead to a claim on government.

- **Tax Revenue:** income collected via taxation. Eg: Wealth Tax.
- **Non-Tax Revenue:** recurring income from non-tax sources. Eg: interest on loans, PSU earnings, railway tickets.

Revenue Expenditure ★

Spending that neither increases assets nor decreases liabilities.

- **Plan Revenue Expenditure:** part of the plan budget, no assets/liabilities created. Eg: govt grants/financial assistance.
- **Non-Plan Revenue Expenditure:** day-to-day operations, excl. capital expenditure. Eg: salary/pension, **interest payment (largest component) ★**, infrastructure maintenance.

Capital Receipts ★

Physical/financial resources used to produce value. EITHER create a liability OR reduce government assets — creates new liabilities, reduces an existing asset.

- **Capital Receipt:** Eg. loan, disinvestment ★.
- **Capital Expenditure:** funds to acquire/upgrade/maintain long-term assets (property, infra, equipment) — creates new assets, reduces liabilities. Eg: loan repayment, developmental expenditure, infra creation (roads/schools/hospitals).

TRAP Sale of PSU shares/disinvestment ★ = **capital receipt** (reduces govt assets) — NOT a revenue receipt. Loan from RBI = capital receipt because it creates a **future liability** ★. **Capital Account** of the budget = records changes in govt's assets/liabilities ★.

Fiscal Consolidation (as printed, Parmar's own current-budget box)

DOUBT Time-sensitive figures, included for full source coverage: Central Government targets a **debt-to-GDP ratio of 50±1% by 2030**. Debt-to-GDP estimated at **55.6% of GDP in BE 2026-27** vs **56.1% in RE 2025-26**. Fiscal deficit: RE 2025-26 at par with BE 2025-26, **4.4% of GDP**; BE 2026-27 estimated at **4.3% of GDP** (new fiscal-prudence debt-consolidation path).

4 Committees on Tax/Fiscal Reform (consolidated, all mentions)

Committee	Year	Remit
Raja J. Chelliah ★	1991 (Parmar); "R. Chelliah Committee" constituted Aug 1991 per Lucent	"Father of Indian Tax Reforms" ★ — rationalised direct/indirect tax rates, broadened tax base, reduced customs duties; recommended reducing personal/corporate tax rates, widening tax base by removing exemptions, simplifying tax structure, expanding MODVAT to avoid tax cascading, gradually reducing high customs duties. Lucent adds: recommended taxing agricultural income above ₹25,000 p.a.; lowering tax rates/reducing tax slabs.
Kelkar Committee ★	2002-03 ★	Simplification of direct taxes in post-liberalisation India
Kelkar Committee	2015	Improving the PPP model for efficiency/transparency in infrastructure projects
K.L. Rekhi Committee	1992	Uniform regulations for indirect taxation (Customs Duty, Excise Duty)

5 Direct & Indirect Taxes — full treatment

Direct Tax ★	Indirect Tax ★
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Payable directly to govt; cannot be passed to someone else; **progressive** ★ in nature — marginal tax rate > average tax rate. Eg: income tax, wealth tax, gift tax, capital gain tax, corporate tax

Payable indirectly; can be passed to someone else; **regressive/proportional** ★ in nature. Eg: GST, Excise Duty (petrol/diesel/ATF), Customs Duty

TRAP **"Paper Taxes"** ★ = taxes with significance only on paper, negligible revenue yield. Eg: Wealth Tax, Gift Tax, Estate Duty (not levied now). **Corporate Tax** is a **DIRECT** tax ★ (levied on company profits) — a repeatedly tested distractor against GST/Excise/Customs (all indirect). Note: Wealth Tax is printed as an example under three different headings in the source (Tax Revenue, Direct Tax, Paper Tax) — all three transcribed, not reconciled.

HOOK **Laffer's Curve** — bell-shaped graph of tax rate vs govt revenue; suggests raising taxes beyond a point *decreases* revenue (discourages investment/consumption; workers may reduce effort if extra income is taxed away).

"Rupee Comes From" — Budget 2025-26 (doughnut chart, in full)

Source	Share
Borrowing and Other Liabilities	24%
Income Tax	22%
GST & other taxes	18%
Corporation Tax	17%
Non-Tax Receipts	9%
Union Excise Duties	5%
Customs	4%
Non-Debt Capital Receipts	1%

"Rupee Goes To" — Budget 2025-26 (doughnut chart, in full)

Head	Share
States' share of taxes and duties	22%
Interest payments	20%
Central sector scheme (excl. capital outlay on defence and subsidy)	16%
Defence	8%
Finance Commission and other transfers	8%
Centrally sponsored scheme	8%
Other expenditure	8%
Subsidies	6%
Pensions	4%

6 GST, Cascading Tax & Other Taxes (Parmar)

GST: introduced via **101st Constitutional Amendment Act** ★; effective **1 July 2017**. **GST Council** (Art. 279A) = constitutional body, **33 members (2 Centre + 31 States/UTs)** ★, chaired by the Finance Minister. **Cascading Tax (Tax on Tax)** = tax levied at every production/distribution stage without credit for tax already paid — raises final price.

Surcharge = additional tax on income tax for taxpayers above a threshold. **Cess** = tax on tax liability, levied for a specific purpose. **Surcharge and Cess are levied by the Central Government but NOT shared with states** ★. **Pigouvian Tax** = tax on activities causing negative externalities (external costs not in market price) — levied to reduce those externalities.

WMA (Ways and Means Advances), 1997 Agreement — Centre meets temporary receipts/expenditure mismatches via RBI-provided WMA; purpose: manage temporary cash-flow shortages, not a permanent finance source.

7 FRBM Act, 2003 — full detail

FRBM Act ★ — enacted to ensure fiscal discipline/responsible financial management; passed **2003**; aimed to limit fiscal deficit to **~3% of GDP ★** and promote prudent public-debt management.

HOOK **FRBM Review Committee** — formed **May 2016**, headed by **N.K. Singh ★**.

Recommendations: Debt-GDP target = **60% of GDP** (40% Centre + 20% States); Fiscal Deficit target = reduce to **2.5% of GDP** in the medium term by 2023; **Escape Clause ★** — deviate by 0.5% of GDP in exceptional situations (war, national security, natural disasters, economic slowdown) by 2023; recommended a **Fiscal Council** to monitor fiscal discipline.

Year	Fiscal Deficit	Revenue Deficit	Debt
2017-18	3.0%	2.1%	47.3%
2018-19	3.0%	1.8%	45.5%
2019-20	3.0%	1.6%	43.7%
2020-21	2.8%	1.3%	42.0%
2021-22	2.6%	1.1%	40.3%
2022-23	2.5%	0.8%	38.7%

8 Crowding In/Out; Budget Types; Deficit Financing

Crowding In = govt spending (esp. infra/public investment) stimulates private-sector investment → higher overall economic activity. **Crowding Out** = increased govt borrowing/expenditure raises interest rates, reduces private investment (govt competes with private sector for funds).

Budget Type	Condition
Balanced Budget	Total revenue = total expenditure
Surplus Budget	Receipts > expenditure
Deficit Budget	Expenditure > receipts

Deficit Financing (concept by **J.M. Keynes ★**) = govt expenditure exceeds revenue, gap financed by creating new money or borrowing. **Debt Financing** = raising funds via borrowing (loans from banks/FIs, bonds) — repaid with interest. **Equity Financing** = raising funds by issuing shares — investors become owners, share profits via dividends, no repayment obligation.

9 Deficits — the full ladder

Deficit	Formula (Parmar)	Meaning
Budgetary Deficit	Total Expenditure – Total Receipt	Total expenditure exceeds total revenue from taxes/other sources → borrowing needed
Revenue Deficit ★	Revenue Expenditure – Revenue Receipt ★	Only current-account transactions; also called " dis-saving " ★ — govt borrows for consumption, no asset created, future interest burden ↑
Effective Revenue Deficit	Revenue Deficit – Grant given for developmental purpose	Refines Revenue Deficit by excluding grants that indirectly build assets
Fiscal Deficit ★	Total Expenditure – (Total Receipt – Debt-creating Capital Receipt), equivalently Total Expenditure – (Revenue Receipts + Non-debt Capital Receipt) ★	Total borrowing requirement of govt ★ — key indicator of financial health
Primary Deficit ★	Fiscal Deficit – Interest Payment (Parmar: "previous year interest payments") ★	Borrowing needed for current expenses, excluding legacy-debt interest ★

Externalities = an indirect cost/benefit to an uninvolved third party from another party's activity — can be positive or negative.

DOUBT Lucent's own text (§10) gives "Primary Deficit = Revenue Deficit – Interest Payments" — an internal misprint contradicting its own correct definition ("fiscal deficit minus interest payments") one sentence earlier; the PYQ book's tested answer uses **Fiscal Deficit – Interest Payments**, used as correct in the table above.

HOOK Worked example ★: Total Revenue Receipts ₹50L cr, Total Expenditure ₹75L cr, Borrowings ₹20L cr → **Fiscal Deficit = 75–50 = ₹25L cr** ★ (borrowing of ₹20L cr covers only part of it — remainder from non-debt capital receipts). **Monetised Deficit** (Lucent) = increment in Net RBI Credit to the Central Government.

Lucent §10's own deficit definitions (fuller wording, all 4 types)

- 1. **Revenue Deficit** = Total Revenue Expenditure – Total Revenue Receipts = Non-plan Expenditure + Plan Expenditure – (net tax revenue + non-tax revenue). Reflects what the government is borrowing *for* — like an individual borrowing to pay house rent: borrowing+spending with no durable asset created, implying a future repayment obligation with no offsetting investment. Occurs when realised net income is less than projected/budgeted.
- 2. **Budget Deficit** = Total Expenditure – Total Receipts = (non-plan + plan expenditure) – (Revenue Receipts + Capital Receipts). Total receipts here include current revenue and net internal/external capital receipts.
- 3. **Fiscal Deficit** = Revenue Receipts (net tax + non-tax revenue) + Capital Receipts (only recoveries of loans and other receipts) – Total Expenditure (plan + non-plan). Difference between total expenditure (revenue, capital, and loans net of repayment) and revenue receipts plus non-borrowing capital receipts that ultimately accrue to government.
- 4. **Primary Deficit** = fiscal deficit minus interest payments — shows how much govt borrows to pay for expenses *other than* interest, and how much it adds to future repayment burden based on past/present policy.

10 Finance Commission — full detail

Finance Commission = constitutional body under **Article 280**, constituted by the **President every 5 years**, recommends Centre-State tax-revenue distribution. **1st FC**: chairman **K.C. Neogi**. 15 Finance Commissions have submitted reports since Independence (per Lucent). **15th FC** (period 2020-25/award period 2021-22 to 2025-26): constituted Nov 2017, chairman **N.K. Singh**.

HOOK **16th Finance Commission** ★ — constituted **31 December 2023** ★ under Art. 280(1), for period 2025-2030/2026-31 (as variously printed); chairman **Arvind Panagariya** ★ (also printed "Pangariya"); **1 Chairman + 4 Members** ★. **Vertical Devolution** ★ = states' collective share of the divisible pool, retained at **41%** ★. **Horizontal Devolution** ★ = how that 41% splits among states — Income Distance **42.5%**, Population **17.5%**, Area **10%**, Forest & Ecology **10%**, Demographic Performance **10%**, Contribution to GDP **10%** (new in 16th FC) ★. Also recommends: Grants-in-aid to states from the Consolidated Fund (Art. 275); measures to improve Panchayat/Municipality finances.

Criteria	15th FC (2021-26)	16th FC (2026-31)
Income Distance	45%	42.5%
Population (2011)	15%	17.5%
Demographic Performance	12.5%	10%
Area	15%	10%
Forest	10%	10%
Tax and Fiscal Efforts	2.5%	—
Contribution to GDP	—	10%
Total	100%	100%

A provision of **₹1.34 lakh crore** has been made to states for FY2026-27 as Finance Commission grants (incl. Rural & Urban Local Body grants, Disaster Management grants). *Sources: 15th & 16th FC Reports;*

PRS.

Recommendations of 15th Finance Commission (Lucent, in full): devolution to all tiers of Panchayati Raj incl. Traditional Bodies of Non-Part IX States (Fifth/Sixth Schedule areas). Grants in two parts: **Basic (Untied) Grant** (usable by Rural Local Bodies for location-specific needs under the 29 subjects of the Eleventh Schedule, except salaries/establishment costs) and **Tied Grant** (for (a) sanitation/ODF-status maintenance incl. household waste and faecal sludge management, (b) drinking water supply, rainwater harvesting, water recycling). Also recommended **Health Grants** (2021-26): diagnostic infrastructure for sub-centres/PHCs, block-level public health units, building grants, converting rural PHCs/sub-centres into Health & Wellness Centres. *Source: INDIA 2024.*

Per BHARAT 2025: Finance Commission Division (FCD), Dept. of Expenditure, processes/follows up FC recommendations incl. grant releases. Of the 15th FC's ₹1,79,140.00 crore allocated for 2023-24, ₹1,49,570.41 crore was released; an additional ₹1,048.50 crore released from the National Disaster Response Fund for severe natural calamities.

11 Operation Twist

Operation Twist — RBI monetary-policy tool: simultaneously buys long-term govt securities and sells short-term securities, to reduce long-term interest rates and manage the yield curve. Buying long-term bonds raises their prices, lowers yields, making long-term loans cheaper. (Printed at the end of Parmar's Budget/Taxation chapter, though thematically a monetary-policy tool — see Batch 5.)

12 Lucent \$10 — Indian Fiscal System (structure & revenue sources)

Fiscal System = state's management of revenue and capital expenditure finances — includes revenue-raising, borrowing, spending activities. **Fiscal Policy** = use of taxation, public expenditure and public-debt management to achieve specified objectives. Indian Fiscal System covers Centre/State revenue and expenditure management, public debt, deficit financing, budget, tax structure.

Sources of Revenue for Centre	Sources of Revenue for State
Tax revenue (income/expenditure taxes; property/capital-transaction taxes; commodity/service taxes) + Non-tax revenue (currency/coinage/mint; interest receipts/dividends; other non-tax revenue)	State tax revenue (land revenue, stamp, registration, estate duty, etc.); share in central taxes; income from social/commercial/economic services and profits of state enterprises

Expenditure of Centre	Expenditure of State
Plan expenditure (agriculture, rural development, irrigation/flood control, energy, industry/minerals, transport, communications, S&T, environment, economic services) + Non-plan expenditure (interest payments, defence, subsidies, general services — the major heads)	Non-Development + Development Expenditure

Public Debt — Internal (loans from open market, compensation bonds, prize bonds, treasury bills issued to RBI/commercial banks) + External (loans from World Bank, IMF, ADB, individual countries like USA/Japan). **Deficit Financing** = fiscal tool bridging the gap between revenue receipt and revenue expenditure.

Budget Documents & Accounts (Lucent, in full)

Every budget gives 3 sets of figures: (a) actual figures for the preceding year, (b) budget/revised figures for the current year, (c) budget estimates for the following year. Core budget document = **Annual Financial Statement**, under **Article 112** (Centre) / **Article 202** (States, before the state legislature).

Government accounts kept in 3 parts:

Account	Detail
Consolidated Fund	All revenues received, loans raised, and recoveries of loans granted, by Government. All expenditure comes from here; no withdrawal without Parliament's authorisation.
Contingency Fund	An imprest at the President's disposal, for urgent unforeseen expenditure pending Parliament's authorisation — later recouped from the Consolidated Fund once approved. Corpus (per India 2023, from April 2021): ₹30,000 crore .
Public Account	Transactions where Government acts as a banker (provident funds, small savings, other deposits) — no Parliamentary authorisation needed for these payments.

Budget comprises **Revenue Budget** (current receipts — taxation, PSU surplus — and expenditures) and **Capital Budget** (capital receipts/expenditure — domestic/foreign loans, loan repayments, foreign aid).

Summary of Union Budget 2025-26 (Lucent, in full)

DOUBT All figures below are Budget 2025-26 specifics, superseded by later budgets — included for full source coverage.

- No income tax on average monthly income up to ₹1 lakh — boosts middle-class savings/consumption.
- Salaried class pays nil income tax up to ₹12.75 lakh p.a. under the new tax regime.
- Union Budget recognises **4 engines of development**: Agriculture, MSME, Investment, Exports.
- Loans up to ₹5 lakh via KCC under a modified interest subvention scheme.
- FY-25 fiscal deficit estimated at 4.8%, target to bring down to 4.4% in FY-26.
- MSME credit-guarantee cover enhanced from ₹5 cr to ₹10 cr.
- National manufacturing mission for small/medium/large industries, furthering "Make In India".
- 50,000 Atal Tinkering Labs in government schools over 5 years.
- Centre of Excellence in AI for education, outlay ₹500 crore.
- PM Svanidhi enhanced bank loans, UPI-linked credit cards with ₹30,000 limit.
- Gig workers get identity cards, E-Shram Portal registration, healthcare under PM Jan Arogya Yojana.
- ₹1 lakh crore Urban Challenge Fund for "Cities As Growth Hubs".
- Nuclear energy mission for small modular reactor R&D, outlay ₹20,000 crore.
- Modified UDAN scheme — regional connectivity to 120 new destinations.
- Gyan Bharatam Mission — survey/conservation of over 1 crore manuscripts.
- FDI limit for Insurance raised from 74% to 100%.
- Jan Vishwas Bill 2.0 — decriminalising 100+ provisions across laws.
- Updated Income Tax Return time limit increased from 2 to 4 years.
- Delay in TCS payment decriminalised (following earlier TDS decriminalisation).
- TDS on rent increased from ₹2.4 lakh to ₹6 lakh threshold.
- BCD exempted on 36 lifesaving drugs/medicines (cancer, rare, chronic diseases).
- BCD on IFPD increased to 20%; on open cells reduced to 5%.
- BCD on parts of open cells exempted, to promote domestic manufacturing.
- Additional capital goods for EV/mobile battery manufacturing exempted, to boost battery production.
- BCD exempted for 10 years on raw materials/components for shipbuilding.
- BCD reduced from 30% to 5% on frozen fish paste; 15% to 5% on fish Hydrolysate.
- Theme: **"Sabka Vikas"** — stimulating balanced growth of all regions.
- 4 engines (Agriculture, MSME, Investment, Exports) toward "Viksit Bharat", using reforms as fuel, inclusivity as spirit.

Financial Sector Reforms & Fiscal Consolidation (Budget 2025-26)

FDI limit for insurance raised 74%→100%, for companies investing the entire premium in India. Government committed to keep fiscal deficit on a path such that Central Government debt declines as a %age of GDP (6-year roadmap in the FRBM statement). **RE 2024-25 fiscal deficit: 4.8% of GDP; BE 2025-26: 4.4% of GDP.**

	RE 2024-25	BE 2025-26
Total receipts (excl. borrowings)	₹31.47 lakh crore	₹34.96 lakh crore
Net tax receipts	₹25.57 lakh crore	₹28.37 lakh crore
Total expenditure	₹47.16 lakh crore	₹50.65 lakh crore
of which capital expenditure	~₹10.18 lakh crore	—

Revised Tax Rates — Budget 2025-26 new-regime slabs (in full)

No income tax up to ₹12 lakh p.a. (average ₹1 lakh/month), excluding special-rate income like Capital Gains. Salaried individuals up to ₹12.75 lakh p.a. pay NIL tax (due to ₹75,000 standard deduction). Revenue loss to government from the new structure: ~₹1 lakh crore.

Total Income per annum	Rate of Tax
------------------------	-------------

₹0-4 Lakh	NIL
₹4-8 Lakh	5%
₹8-12 Lakh	10%
₹12-16 Lakh	15%
₹16-20 Lakh	20%
₹20-24 Lakh	25%
Above ₹24 Lakh	30%

TDS/TCS rationalisation: senior citizens' interest-income tax-deduction limit doubled from ₹50,000 to ₹1 lakh; TDS threshold on rent increased from ₹2.4 lakh to ₹6 lakh p.a.; TCS payment delay decriminalised (following TDS delay decriminalisation earlier). 36 lifesaving drugs/medicines (cancer, rare, chronic diseases) fully exempted from BCD. Also fully exempted: cobalt powder/waste, scrap of lithium-ion battery, lead, zinc, and 12 more critical minerals; two more types of shuttle-less looms added to exempted textile machinery.

Finance, Department of Economic Affairs, Finance Bill, Appropriation Bill, Demands for Grants

Ministry of Finance — administers government finances; handles all economic/financial matters, resource mobilisation, expenditure regulation incl. transfers to states. **Department of Economic Affairs** — nodal agency for formulating/monitoring domestic and international economic policy; prepares/presents the Union Budget (incl. Railway Budget) and state-government budgets under President's Rule/UT administrations.

Demands for Grants — expenditure estimates from the Consolidated Fund, voted by Lok Sabha per **Article 113** — presented alongside the AFS. **Finance Bill** — a Money Bill (Art. 110), accompanied by an explanatory Memorandum; presented alongside the AFS per Art. 110(1)(a), detailing tax imposition/abolition/remission/alteration/regulation proposed in the Budget. **Appropriation Bill** — Parliament's approval to withdraw from the Consolidated Fund the amounts voted via Demands for Grants and charged expenditure; under **Article 114(3)**, no withdrawal without such an enacted law.

Sources of Revenue — per the Constitution (Eightieth Amendment) Act, 2000 (retrospective from 1 April 1996): all Union List taxes (except Art. 268/269 duties, Art. 271 surcharges, and specific-purpose cesses) are levied/collected by GoI and distributed between Union/States as the President prescribes on FC recommendation. Main Union tax-revenue sources: customs duties, Union excise duties, service tax, corporate/income taxes. Non-tax revenue: interest receipts, dividends/profits, fines, sovereign-function receipts, regulatory charges/licence fees, user charges for public goods/services.

Public Debt of India — 3 categories: Internal debt, External debt, Other liabilities. **Internal debt**: fixed-tenure/fixed-rate government papers issued via auction — market loans (dated securities), treasury bills (91/182/364 days), 14-day T-bills (states only), cash management bills, special RBI securities, compensation/other bonds, non-negotiable non-interest-bearing rupee securities to international financial institutions, market-stabilisation-scheme securities (to reduce gold/import dependency). **External debt**: loans from foreign governments/multilateral institutions — India's foreign borrowing comes via multilateral agencies/bilateral sources as part of Official Development Assistance (ODA); the Union does not borrow directly from international capital markets. **Other liabilities** (not part of public debt): post office savings deposits, small savings schemes, post office cash certificates, provident funds, other deposits. RBI manages Central/State public debt and acts as their banker (RBI Act 1934, Sections 20/21/21A).

Gender & Child Budgeting (Lucent's fuller figures)

Separate **Statement No. 13 on Gender Budget** included from 2005-06 (allocations for women-specific programmes). **Statement No. 12** on schemes for child welfare included from FY2009-10 (educational outlays, child protection). For FY2024-25: **₹3.3 lakh crore** allocated for women's welfare/empowerment across ministries (Economic Survey 2023-24 notes a shift from women's development to women-led development). Budget for children (2024-25): **₹1,09,921 crore** = 2.28% of total Budget, a 5.51% increase from the previous year's ₹1,04,180 crore.

Some Financial Institutions and their Year of Establishment (Lucent, in full)

Institution	Year
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Industrial Credit and Investment Corporation of India (ICICI)	Jan 1955
Industrial Finance Corporation of India	1948
Unit Trust of India (HO Mumbai)	1 Feb 1964
NABARD	12 July 1982
Industrial Reconstruction Bank of India	20 March 1985
SIDBI (HO Lucknow)	1990
EXIM Bank	1 Jan 1982
Regional Rural Bank (RRB, HO Kolkata)	2 October 1975
LIC (HO Mumbai)	Sept 1956
Imperial Bank of India	1921
RBI (HQ Mumbai)	1 April 1935
State Bank of India	1 July 1955
National Housing Bank	July 1988
General Insurance Corporation of India	1 Nov 1972

Source table repeats ICICI (Jan 1955) and NABARD ("National Agriculture and Rural Development Bank", 12 July 1982) as separate rows — duplicate entries preserved as printed, shown once above.

Central Government Schemes launched after 2016 (Lucent, in full)

Scheme	Launched
SAUBHAGYA – Pradhan Mantri Sahaj Bijli Har Ghar Yojana	2017
World Class Institutions Scheme	2017
Anaemia Mukht Bharat	2018
Ayushman Bharat – PM Jan Arogya Yojana (ABPMJAY)	2018
National Viral Hepatitis Control Programme	2018
Fit India Programme	2019
Jal Jeevan Mission	2019
Rashtriya Gokul Mission	2019
Dekho Apna Desh	Jan 2020
Pradhan Mantri Garib Kalyan Package Insurance Scheme	March 2020
SVAMITVA	24 April 2020
Pradhan Mantri Matsya Sampada Yojana	2020
VISVAS Yojana	2020-21
Ayushman Bharat Digital Mission	Sept 2021
MusQan Initiative	2021
SVAnidhi Se Samridhhi	2021
Jal Shakti Abhiyan: Catch the Rain	22 March 2021
PM Vishwakarma Scheme	17 Sept 2023

13 Lucent §12 — Tax System (full)

Tax = compulsory contribution by a citizen/organisation to Government, for welfare expenses.
 Levied/collected at 3 levels: Central, State, Local. Centre-State tax distribution set out constitutionally; rationalised periodically via the Finance Commission.

Type	Examples
Direct Tax	Income Tax, Property Tax, Gift Tax, etc.
Indirect Tax	Sales Tax, Excise Duty, Custom Duty, etc.
Taxes by Central Government	Income Tax, Corporate Tax, Property Tax, Succession Tax, Wealth Tax, Gift Tax, Custom Duty, Tax on agricultural wealth, etc.

Taxes by State Government

Land revenue tax, Agricultural income tax, Agricultural Land Revenue, State Excise Duty, Entertainment Tax, Stamp duty, Road Tax, Motor Vehicle Tax, etc.

DOUBT The "Central Government taxes" row above lists Property/Succession/Wealth/Gift Tax and "Tax on agricultural wealth" as Central — contradicts standard practice (agricultural income tax is a State subject) and the source's own statement that "Agricultural income in India is free from income tax" — as printed, not reconciled.

Progressive Tax = takes a higher proportion of income as income rises; Indian Income Tax is progressive and direct. Excise Tax, Sales Tax, VAT, Entertainment Tax are listed as indirect taxes (as printed — VAT/sales/service tax have since been subsumed by GST, book not updated). Main indirect-tax forms: customs/excise duties, sales tax. Centre levies customs/excise (except alcoholic liquor/narcotics); sales tax is exclusively State jurisdiction. Union excise duties form the most significant part of central taxes (as printed — outdated post-GST). Major state tax-revenue sources: shares in union excise duties/income tax, commercial taxes, land revenue, stamp duty, registration fees, state excise on alcohol/narcotics — sales tax is the most important component of commercial taxes.

CBDT — created by the Central Board of Revenue Act 1963; apex body administering direct-tax laws; cadre-controlling authority for IRS officers and Income Tax Department officials.

DOUBT Revenue Collection (time-sensitive): net Direct Tax collection FY2023-24 = ₹19,60,166 crore (provisional). FY2024-25 (up to Nov 2024) = ₹12,46,229 crore = 56.47% of the ₹22,07,000 crore Budget Estimate. *Source: BHARAT 2025.*

Tax on Income and Wealth — income tax, corporate tax, wealth tax, gift tax (income tax/corporate tax most important for revenue). **Personal Income Tax** — imposed on individuals, HUFs, and other communities' total income; surcharges also imposed sometimes. **Agricultural income in India is free from income tax.** **Corporate Tax** — imposed on registered companies/corporations; rate is equal across all companies (rebates/exemptions vary).

Customs Duties — Centre imposes both import and export duty; a revenue source and a foreign-trade regulation tool. **Import Duties** — generally ad-valorem (percentage-based) in India. **Export Duties** — more important than Import Duties for revenue and foreign-trade regulation (as printed).

DOUBT **Excise Duties** — described as "the largest source of revenue for the Central Government" and imposed on production regardless of sale; taxable on all items except liquor, opium and other drugs. This statement is outdated post-GST (which subsumed excise for most goods) — transcribed as printed, not corrected.

Rupee Symbol — history (Lucent, in full)

On **15 July 2010**, the Indian Rupee got its own symbol (like Dollar/Euro/Pound Sterling/Yen). The symbol is an amalgamation of Devanagari 'Ra' and Roman 'R' without the stem. On **5 March 2009**, government announced a contest to design the symbol; the winning design, by **D. Udaya Kumar** (IIT Bombay postgraduate), was selected by the Union Cabinet on 15 July 2010. One Coin and One Rupee note belong to the '**Legal Tender Money**' category.

M1 = Narrow Money; M3 = Broad Money (see also Batch 5's fuller M0-M4 table from Parmar Ch.8).

GST — Legislative Development & full mechanics (Lucent)

National-level GST first mooted **2006-07**. GST Council constituted **2016**, deliberating the Central GST Bill 2017, Integrated GST Bill 2017, GST (Compensation to States) Bill 2017. **GST Constitutional Amendment Bill** received Presidential assent **8 September 2016** as the **101st Amendment Act**. Per **Article 279A(1)**, GST Council was constituted **12 September 2016**.

Three-tier levy: **Central GST, State GST, Integrated GST**. IGST mechanism ensures seamless input-tax-credit flow across states; IGST launched at midnight, **1 July 2017**. GST subsumed: central excise duty, additional excise duties, excise duty under the Medicinal & Toilet Preparations (Excise Duties) Act 1955, Service Tax, Additional Customs Duty (Countervailing Duty), Special Additional Duty of Customs, Central Surcharges/Cesses on goods/services supply. IGST levied on inter-state transactions; coverage = all goods/services except alcoholic liquor for human consumption; petroleum/petroleum products deferred until a date notified on GST Council's recommendation.

Taxes subsumed into GST — Central level	Taxes subsumed into GST — State level
Central Excise Duty; Additional Excise Duty; Service Tax; Additional Customs Duty (Countervailing Duty); Special Additional Duty of Customs	State VAT/Sales Tax; Entertainment Tax (other than by local bodies); Central Sales Tax (levied by Centre, collected by States); Octroi and Entry Tax; Purchase Tax; Luxury Tax; Taxes on lottery/betting/gambling

States compensated for revenue loss from the new tax regime. GST replaced the complex indirect-tax structure with a simple, transparent, technology-driven regime, integrating India into a single common market. *Source: INDIA 2024.*

DOUBT GST Collection (time-sensitive): gross GST collections hit a record ₹2.10 lakh crore in April 2024 (+12.4% YoY, driven by domestic transactions/imports); net GST revenue (after refunds) April 2024 = ₹1.92 lakh crore (+15.5% YoY). *Source: BHARAT 2025.* Note: Lucent gives no GST rate slabs anywhere in this section.

Appendix

A.1 — PYQ citation index (buckets "04 Indian Tax System" 15 Qs + "05 Public Finance" 57 Qs)

Fact tested	Exam • Date • Shift
Chairman, Tax Reforms Committee 1991 = Raja J. Chelliah	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Progressive taxation used for income tax	SSC Phase XIII, 29/07/2025 (Sh-02)
Direct tax collected by govt = Income Tax	SSC Phase XIII, 02/08/2025 (Sh-01)
Direct taxes collected from individuals/companies	SSC Phase XIII, 01/08/2025 (Sh-01)
Corporate Income Tax = direct tax example	SSC Phase XIII, 31/07/2025 (Sh-02)
Wealth tax/gift tax/estate duty = "paper taxes"	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
GST = example of indirect tax	SSC Phase XIII, 29/08/2025 (Sh-03)
GST Act's primary purpose = uniform tax	SSC Phase XIII, 24/07/2025 (Sh-02)
Kelkar committee 2002-03, fiscal reforms chair	SSC CHSL Tier-I, 29/11/2025 (Sh-01); 25/11/2025 (Sh-02)
Entertainment/Entry tax subsumed into GST (ex-State taxes)	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
GST amalgamated central+state taxes/cesses	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
Customs duty on imports/exports	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
CENVAT single rate 16% (2001-02)	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Indirect taxes regressive (price-based, not income-based)	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Excise Duty = indirect tax	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Sale of PSU shares = capital receipt, reduces assets	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Disinvestment proceeds = capital receipt	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Budget's main objective = allocate public funds	SSC Phase XIII, 01/08/2025 (Sh-03)
Annual Financial Statement (not "Budget" in Constitution)	SSC Phase XIII, 30/07/2025 (Sh-01)
Fiscal deficit worked example (₹75L–50L=25L cr)	SSC Phase XIII, 31/07/2025 (Sh-02)
Budgetary Deficit = another term for Fiscal Deficit	SSC Phase XIII, 30/07/2025 (Sh-02)
Revenue expenditure = normal govt-department functioning	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
Gender Budget Parts A/B/C (<30% = Part C)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Capital expenditure creates assets (statements)	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Salaries/pensions/defence = revenue expenditure	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
Subsidy=welfare instrument; defence=committed exp. (A-R)	SSC CHSL Tier-I, 21/11/2025 (Sh-01)
Revenue-receipt estimates reflect Finance Bill's tax proposals	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
Traditional view: tax cuts + budget deficit → consumer spending ↑	SSC CHSL Tier-I, 19/11/2025 (Sh-02)
Interest payment on debt = revenue expenditure	SSC CHSL Tier-I, 18/11/2025 (Sh-01)

Child Budgeting introduced 2008-09	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
Revenue deficit = only-current-transactions deficit	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
Capital account = govt assets/liabilities changes	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Budget deficit statements (expenditure>revenue / revenue>expenditure)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Finance Bill contents = tax proposals (Art.117)	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Traditional/Kelkar-era belief re: tax cuts+deficit	SSC CHSL Tier-I, 19/11/2025 (Sh-02)
2030 urbanisation >40% (Economic Survey 2023-24)	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Revenue account = Revenue Budget (alt. name)	SSC CGL Tier-I, 21/09/2025 (Sh-02)
Capital receipt example (loan from RBI)	SSC CGL Tier-I, 22/09/2025 (Sh-03)
Revenue deficit = dis-saving, concern for economy	SSC CGL Tier-I, 23/09/2025 (Sh-02); 20/09/2025 (Sh-03: formula)
Grants for asset creation still = revenue expenditure	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Capital receipts best definition	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Revenue receipts don't carry repayment burden (A-R)	SSC CGL Tier-I, 25/09/2025 (Sh-01)
Income tax/PSU dividends = revenue receipts; disinvestment = capital (statements)	SSC CGL Tier-I, 26/09/2025 (Sh-02)
FRBM enacted 2003	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
FRBM escape clause grounds (natl security/calamity)	SSC CHSL Tier-I, 18/11/2025 (Sh-02)
FRBM fiscal deficit target = 3% of GDP	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
FRBM revenue-deficit cut = 0.5% of GDP/yr	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
3 FRBM documents with budget	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Monetary Policy Statement NOT an FRBM document	SSC CHSL Tier-I, 15/11/2025 (Sh-01)
Keynes: govt expenditure expansion in recession	SSC Stenographer, 08/08/2025 (Sh-01)
Crowding Out effect	SSC Phase XIII, 29/08/2025 (Sh-03)
Keynesian recession policy = ↑ spending, ↓ taxes	SSC Stenographer, 06/08/2025 (Sh-03)
Post-1991 fiscal discipline: states tied to fiscal targets	SSC Stenographer, 08/08/2025 (Sh-03)
FRBM purpose = reduce borrowing/fiscal deficit	SSC Stenographer, 08/08/2025 (Sh-01)
FM's FRBM role = present fiscal statements	SSC Stenographer, 07/08/2025 (Sh-02)
Fiscal policy = aggregate demand via spending/taxation	SSC Stenographer, 07/08/2025 (Sh-01)
PSU disinvestment reduces financial assets	SSC CPO Tier-I, 10/12/2025 (Sh-01)
FRBM aim re: fiscal deficit + public debt	SSC Phase XIII, 01/08/2025 (Sh-02)
Term for expenditure>revenue = Deficit	SSC Phase XIII, 31/07/2025 (Sh-01)
Deficit financing objective = stimulate growth	SSC Phase XIII, 25/07/2025 (Sh-02)
NOT a cause of fiscal deficit = BoP surplus	SSC Phase XIII, 25/07/2025 (Sh-02)
Money received from loans/asset sale (statements)	SSC CHSL Tier-I, 30/11/2025 (Sh-03)
Fiscal deficit as % of GDP by 1990-91 (~8.4-10%)	SSC CHSL Tier-I, 28/11/2025 (Sh-02)
Kelkar committee year (2002-03)	SSC CHSL Tier-I, 25/11/2025 (Sh-02)
Continuous borrowing → debt accumulation	SSC CHSL Tier-I, 24/11/2025 (Sh-01)
Excl. borrowings, expenditure>receipts = fiscal deficit	SSC CPO Tier-I, 12/12/2025 (Sh-02)
Interest on govt loan = revenue expenditure example	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Revenue deficit = Rev.Exp – Rev.Receipts	SSC CGL Tier-I, 20/09/2025 (Sh-03)
Expansionary fiscal policy NOT = ↓ govt spending	SSC CGL Tier-I, 26/09/2025 (Sh-01)
Union Budget presented for FY (April-March)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Primary deficit macro indicator (excl. interest)	SSC CGL Tier-II, 18/01/2026

A.2 — PYQ-book-only facts

2030 urbanisation >40% (Economic Survey 2023-24 citation) and the **CENVAT**/2001-02 single-16%-rate excise reform — neither is in Parmar's Ch.4 or Lucent's §10/§12; both sourced transparently to the PYQ

book's own explanation text.

A.3 — Doubts (carried from the raw extraction, full list)

- Budget-count figures (Sitharaman 9, Chidambaram 9, Morarji Desai 10) — verify against a current Union Budget list.
- Fiscal Consolidation figures (debt-to-GDP $50\pm 1\%$ by 2030, BE/RE 2025-27 figures) — Budget 2026-27 specific, time-sensitive.
- 16th FC facts (constitution date, chairman, member count, 41% vertical share, 10% GDP weight) — verify against the Commission's own report/Action Taken Report.
- "Rupee comes from/goes to" charts labelled "Budget 2025-26" while the fiscal-consolidation lines in the same chapter cite "BE 2026-27" — two different budget years in one chapter, as printed.
- Primary Deficit formula misprint in Lucent (Revenue Deficit – Interest, contradicting its own correct statement one sentence earlier).
- Finance Commission facts: "15 Finance Commissions have submitted reports" while the 16th is separately described as constituted Dec 2023 — as printed, not reconciled; 15th FC "constituted Nov 2017" vs "award period 2021-22 to 2025-26" wording.
- Duplicate rows in the Financial Institutions table (ICICI listed twice at Jan 1955; NABARD listed twice under two names).
- Typos preserved: "tires" (tiers), "Arvind Pangariya" (Panagariya), "buildlosing" (buildings), "ad-velorem" (ad valorem), "september".
- Revenue Collection and GST Collection figures are time-sensitive (FY2023-24/April 2024 data).
- Central-tax table listing Wealth/Gift/agricultural-wealth tax as Central taxes contradicts the source's own "agricultural income is free from income tax" statement.
- Excise/Export-duty "most important for revenue" statements are outdated post-GST, as printed.

ECONOMY — Inflation, Unemployment & Welfare Schemes

Batch 4 of 10 · Sources: Parmar Ch.5 (full) + Lucent §7 "Unemployment and Employment Programmes/Schemes" (full) · Complete source coverage · ★ = tested in a real past SSC paper · PYQ buckets "07 Inflation" (7 Qs) + "08 Poverty & Unemployment" (5 Qs) + scheme PYQs cross-referenced from bucket "16 Schemes/Missions"

1 Inflation — Definition, Fisher's Theory & Seigniorage

Inflation = increase in the general price level of goods/services. Purchasing power *decreases*. During inflation, the **debtor/borrower benefits more than the lender** ★ — repaying a fixed-interest loan later means repaying money worth less than when borrowed. **Real Interest Rate = Nominal Interest Rate – Inflation.**

HOOK **Fisher's Quantity Theory** — Irving Fisher also gave the "**Money Illusion**" concept. Explains the relationship between money supply, velocity of money, price level and transactions: **MV = PT** (M=Money Supply, V=Velocity of Money, P=Price Level, T=Transactions). ↑ M (holding V,T constant) → ↑ P → inflation, and purchasing power falls. Changes in money supply directly impact inflation.

Type	Range
Creeping	3-4%
Walking	4-10%
Running	10-20%
Galloping	20-100%
Hyperinflation	>100%

Inflationary Gap — defined twice in the source: (1) when demand exceeds supply, Actual GDP exceeds Potential GDP; (2) the excess of aggregate demand over aggregate supply at full-employment level, causing upward price pressure — both transcribed, not reconciled.

Seigniorage = profit earned by the central bank from printing/issuing currency = **Face Value – Production Cost.**

2 Causes & Measurement of Inflation

Demand-Pull Inflation ★	Cost-Push Inflation
Caused by ↑ demand (demand-side); can result from strong growth, ↑ govt spending, ↑ exports; can be short-term. "Too much money chasing too few goods" ★	Caused by ↑ production costs (supply-side): ↑ wages, raw-material prices, indirect taxes; can be long-term — increase in cost of any factor of production/input cost

WPI and CPI are used to measure inflation. **Inflation Rate Formula:** [(Current Year Index – Previous Year Index)/Previous Year Index] × 100.

Index	Measures	Published by	Base Year	Frequency
WPI	Average price change at wholesale level; reflects prices before reaching consumers	Office of Economic Adviser (OEA), Ministry of Commerce & Industry	2022-23 (previously 2011-12)	Monthly (14th of each month)
CPI ★	Average price change at consumer/retail level — cost of living for consumers, most accurate to gauge inflation's impact on the common man ★	NSO, MoSPI	2023-24 (Parmar p.266) / 2024 (Parmar p.267, internally inconsistent)	Monthly (usually 12th)

WPI weights: Manufactured goods 64.2%, Primary articles 22.6%, Fuel & power 13.15%. **WPI = 100 × (cost of fixed basket, current year / cost of fixed basket, base year).** **CPI weights:** Food &

Beverages 45.8% (highest), Housing 10%, Fuel & power 6.8%. **CPI = 100 × (cost of fixed basket of goods/services, current year / base year).**

CPI variant	Base Year
CPI for Industrial Workers (IW)	2016 (released by Labour Bureau)
CPI for Agricultural Labourer (AL)	2019 (Labour Bureau)
CPI for Rural Labourer (RL)	2019 (Labour Bureau)
CPI (Rural/Urban/Combined)	2024, published by NSO/MoSPI — used by RBI for inflation targeting/monetary policy

Producer Price Index (PPI) — measures average change in selling prices received by domestic producers; unlike CPI (buyer's perspective), PPI is the seller's perspective; captures "factory gate" price changes before tax/distribution costs are added; a leading indicator since cost increases here are usually passed to consumers later.

Monetary Policy Framework Agreement (MPFA) — signed between Gol & RBI, **Feb 2015**; mandates RBI to maintain price stability while keeping growth in mind, target **CPI Inflation at (4 ± 2)%**.

Core Inflation = inflation measure excluding food and energy prices, calculated using CPI. **Core Inflation = Headline Inflation – Volatile Inflation.**

Index of Industrial Production (IIP) — measures growth of industrial production over time; Base Year 2022-23; published by NSO, MoSPI. **Eight core industries** contribute 40% to IIP, in decreasing order: Refinery Products → Electricity → Steel → Coal → Crude Oil → Natural Gas → Cement → Fertilizers.

HOOK Decline in **core inflation globally in 2024** ★ mainly due to a **drop in international commodity prices** ★ (energy/metals/agri-input costs fell, easing "imported inflation") — not export-demand or fiscal-deficit factors.

HOOK **Abhijit Sen Committee** ★ reviewed/reformed the **WPI** base year and methodology; report submitted in **2008** ★, recommended base-year shift from 1993-94 to 2004-05.

3 Inflation/Deflation Dynamics — full glossary

Term	Definition
Disinflation	Decrease in the <i>rate</i> of inflation while prices may still be rising; measured by change in inflation rate year-on-year. Cause: slowdown in money supply via tighter monetary policy. Eg. progression 10%→8%→7%→5%.
Deflation	General decrease in price of goods/services; purchasing power <i>increases</i> . Cause: reduced money supply, reduced investment, or lower production.
Stagflation ★	Period of high inflation + low economic growth (Stagnation + Inflation). Leads directly to high unemployment. Cause: production of goods/services slows or declines.
Shrinkflation	Product price stays the same but quantity/size is reduced — effectively raises price per unit.
Bottleneck Inflation	Production/supply restricted at a particular stage of production/distribution, causing slowdown, shortages and price rise.
Skewflation	Prices of essential goods (esp. food) rise sharply while non-essential goods' prices stay stable/rise slowly — an uneven/skewed inflation pattern.
Reflation	Deliberate govt policy to raise economic activity/prices via ↑ money supply, ↑ govt expenditure, or ↓ taxes — usually to recover from recession.
Imported Inflation	Inflation from rising prices of imported goods/raw materials, raising the domestic price level.
Inflation Target	The specific inflation rate a central bank aims to maintain via monetary policy, for price stability.

Phillips Curve = graph of the relationship between unemployment and inflation — downward-sloping; inflation and unemployment have an **inverse relationship** (high inflation/low unemployment at one end, low inflation/high unemployment at the other).

4 Fiscal/Monetary Response to Recession

HOOK **Keynesian prescription for a recession** ★ (tested repeatedly): **increase government spending, cut taxes** ★ — "expansionary fiscal policy," stimulates aggregate demand to compensate for weak private investment. NOT raise interest rates, promote imports, or reduce spending.

5 Unemployment — Definition & Measurement (NSSO/NSO methods)

Unemployment = a person actively searching for a job but unable to find work. NSSO uses **three methods** to measure it:

Approach	Reference period	Detail
Usual Status (US)	Last 365 days	Identifies long-term/chronic unemployment. Two components: Principal Status (PS) — activity occupying most time in the last 365 days (majority-time criterion); Subsidiary Status (SS) — ≥30 days' additional economic activity apart from the principal one. Together: Usual Status (PS+SS).
Current Weekly Status (CWS)	Last 1 week	In labour force for the last week; ≥1 hr work on any 1 day → Employed.
Current Daily Status (CDS)	Per day	Measures the <i>intensity</i> of unemployment. In labour force for 1 day: >4hrs work = 100% engaged; 1-4hrs = 50% engaged; <1hr = unemployed.

LFPR (Labour Force Participation Rate) = % of persons in the labour force (working or available for work) in the population. **WPR** (Worker Population Ratio) = % employed persons in the population. **UR** (Unemployment Rate) = % unemployed among the labour force.

6 Types of Unemployment (Parmar, full list)

Type	Meaning
Structural	Mismatch between workforce skills and skills required for available jobs. Eg: advanced machinery replacing farm labour
Educated	Degree-holders unable to find work ("graduate unemployment"); seen in urban India. Eg: engineering graduate lacking practical skills
Frictional	Short-term, occurs when people search for a better job ("Search/Voluntary unemployment"). Eg: an employee leaving a job to move to a better one (common in urban cities)
Disguised	More people working than actually needed — removing some wouldn't affect productivity. Eg: 5 family members farming land that needs only 3
Cyclical	Labour force reduced due to business cycles/economic fluctuations; reverses when economy revives; mostly urban. Eg: Great Recession (a significant downturn for ≥2 consecutive quarters, e.g. US Subprime crisis — distinct from a "depression", a prolonged recession, e.g. Great Depression 1929-1939)
Seasonal	Occurs during specific times of year; mostly rural India. Eg: firework sellers during Diwali
Classical	Also called "real wage unemployment" — real wage too high → more job-seekers than job openings. Eg: workers negotiating a minimum salary a company can't afford
Natural	Lowest sustainable unemployment level without triggering inflation

Old-Age/Elderly Dependency Ratio ★ = ratio of elderly (65+) to working-age population (15-64) — NOT children-to-working-age (that's Child Dependency Ratio, a tested distractor ★).

Marginal Worker	Main Worker
Employed for less than 6 months/183 days. Eg: landless agricultural labourers, low-wage industry workers	Employed for more than 6 months/183 days. Eg: construction workers, seasonal employees, independent contractors

7 Lucent §7 — Unemployment (fuller conceptual treatment) & Migration

Colloquially, anyone not gainfully employed is "unemployed" — but voluntary vs involuntary unemployment are distinct; involuntary unemployment = able/willing workers seeking jobs at prevailing wage but unable to get one. In developing economies like India, unemployment is not (in the Keynesian sense) a result of demand deficiency, but of shortage of capital equipment/complementary resources — **unemployment in India is structural in nature**, due to lack of productive capacity/resources.

Type (Lucent's own list, overlapping/adding to Parmar's)	Meaning
Cyclical	Result of depression in the economy
Frictional	Temporary — new industries drive out old ones, workers switch to better jobs
Open unemployment	People with no work at all, though able/willing
Seasonal	Farmers/farm labourers unemployed during non-crop seasons (e.g. between harvest and next sowing)
Educated unemployed	Mainly urban — educated persons unable to find work
Under-employment (Disguised)	Person contributes less to production than they're capable of. Eg: an engineer working as a clerk
Compulsory unemployment	Labour ready to work at the current rate but unable to get work

During the Ninth Plan, 3.6 crore fresh unemployed persons began seeking employment. Before NITI Aayog replaced the Planning Commission, unemployment data was collected via the '**Lakadawala Formula**' (effective 11 March 1997); before that, via NSSO surveys. NSSO's unemployment concepts: **General status** (unemployed >1 year — long-term), **Weekly-unemployment** (no work for even 1 hour in a week), **Daily unemployment** (considered the best concept of unemployment). Main reasons for unemployment in India: slow economic development, population explosion, outdated technique, improper education system, limited effect of government planning.

DOUBT Time-sensitive employment-trend data, included for completeness: India's unemployment rate (age 15+) fell to 7.7% in May 2023 from 8.5% in April 2023 (CMIE), as labour participation fell to 441.9 million (LPR down 1.1pp to 39.6%) — *Source: ET, 10 June 2023*. Per the 2023-24 annual PLFS report, unemployment rate (age 15+) declined steadily from 6% (2017-18) to **3.2% (2023-24)**; LFPR and WPR both increased. Q2 FY25 urban unemployment rate (age 15+) improved to 6.4% (from 6.6% in Q2 FY24). Net EPFO subscriptions more than doubled from 61 lakh (FY19) to 131 lakh (FY24); Apr-Nov 2024 net additions = 95.6 lakh, 47% from workers aged 18-25 — a growing formalisation trend. *Source: Economic Survey 2024-25*.

8 Migration & Destination-Region Challenges

HOOK Unskilled rural-to-urban migration ★ → migrant labourers forced into **low-wage informal-sector work** without social security → **exploitation of migrant labour + informal-sector growth** ★ = the tested "challenge for destination regions" (not increased per-capita income or reduced unemployment — tested distractors). **Push factors** (poverty, unemployment, war) force people out; **Pull factors** (jobs, opportunities) draw them in ★ — both operate together in real migration decisions.

9 Poverty Measurement Reference (Rangarajan Committee)

HOOK **C. Rangarajan Committee** ★ — constituted by the Planning Commission in **2012** ★ to review poverty-line methodology; submitted report 2014, revised the Tendulkar Committee's estimates, proposed monthly per-capita expenditure of ₹972 (rural)/₹1407 (urban) as the poverty line. (Full poverty-committee lineage — Naoroji, NPC 1938, Bombay Plan, Dandekar-Rath, Alagh, Lakdawala, Tendulkar — is covered in Batch 6 §1, cross-referenced here rather than repeated.)

10 Employment & Welfare Schemes — Lucent §7 full catalogue

Central Government Schemes (2014-16) — the complete announcement table

Scheme	Date of Announcement
Digital India Programme	21 August 2014
Deendayal Upadhyay Antyodaya Yojana	25 August 2014
Pradhan Mantri Jan-Dhan Yojana	28 August 2014
Swachh Bharat Mission	2 October 2014
Sansad Aadarsh Gram Yojana	11 October 2014
HRIDAY	21 January 2015
Beti Bachao Beti Padhao	22 January 2015
Sukanya Samriddhi Yojana	22 January 2015
Soil Health Card (printed "Mrida Swastha Card")	19 February 2015
Pradhan Mantri Kaushal Vikas Yojana	20 February 2015
Janani Suraksha Yojana	12 April 2015
Pradhan Mantri Jeevan Jyoti Bima Yojana	9 May 2015
Atal Pension Yojana	9 May 2015
Ustad (Minority Artisans)	14 May 2015
Kayakalp (Public Health)	15 May 2015
AMRUT	25 June 2015
Smart City Project	25 June 2015
Digital India	1 July 2015
Swarn Maudrikaran Yojana	5 November 2015
Startup India	16 January 2016
Shyama Prasad Mukherji National Rurban Mission	21 February 2016
Setu Bharatam Yojana	4 March 2016
Stand Up India	5 April 2016
Gramoday Se Bharat Uday	14-24 April 2016
Pradhan Mantri Ujjwala Yojana	1 May 2016
Namami Gange	7 July 2016

Sukanya Samriddhi Account is part of 'Beti Bachao Beti Padhao'. Girls under 10 years may be named for the account; minimum ₹1,000, maximum ₹1.5 lakh deposit.

MGNREGS — full detail

National Rural Employment Guarantee Bill passed **7 September 2005**; Presidential assent same year (became NREGA). Provides **≥100 days** employment ★ to one able-bodied person per rural household per year. Act came into force **2 February 2006**; initially 200 districts, now covers all 740 rural districts. Renamed **MGNREGA on 2 October 2009** ★. Cost-sharing: **Centre 75%, State 25%** for material/skilled-semi-skilled wages. FY2025-26 wage hikes: 2.33%-7.48% (₹7-₹26 range); highest ₹26 in Haryana (wage touching ₹400).

Employment Guarantee Act, 2005 — features, in full: (1) every rural household has a right to ≥100 days guaranteed employment/year for ≥1 adult member, as casual manual labour at statutory minimum wage, paid within 7 days of the work-week; (2) work provided within 15 days of demand, within 5 km distance; (3) if work isn't provided in time, a daily unemployment allowance of ≥1/3 minimum wage is paid; (4) workers get medical treatment/hospitalisation for work injury + daily allowance ≥half statutory minimum wage; death/disability → ex-gratia payment to legal heirs per Workmen Compensation Act; (5) 5% of wages may be deducted for welfare schemes (health/accident insurance, survivor/maternity benefits, social security); (6) strict penalties for non-compliance; (7) all accounts/records open to public scrutiny; (8) District Collector/CEO responsible at district level; (9) Gram Sabha monitors the Gram Panchayat via social audit.

Development & Employment Programmes

Scheme	Detail (full)
AIM (Atal Innovation Mission)	Flagship NITI Aayog initiative for innovation/entrepreneurship; envisaged as an umbrella innovation organisation aligning Central/state/sectoral innovation policies
PMKVY ★	Cleared 21 March 2015, skill training for 1.4 million youth, outlay ₹1,120 crore; implemented by Ministry of Skill Development & Entrepreneurship via National Skill Development Corporation; focuses on Class X/XII dropouts. Per BHARAT 2025: 1.56 crore candidates trained since 2015 (till 8 Oct 2024), 54% aged 15-29.
ABRY (Aatmanirbhar Bharat Rojgar Yojana)	Part of Aatmanirbhar Bharat 3.0 package; boosts post-Covid employment generation, incentivises new employment + social security, restores pandemic job losses; implemented via EPFO. Till March 2024: 1,52,517 establishments claimed ₹10,188.50 crore in benefits for 60.49 lakh beneficiaries.
PAHAL (DBTL)	Launched 1 June 2013 (291 districts); relaunched 15 Nov 2014 (54 districts), nationwide 1 Jan 2015 — transfers LPG subsidy directly to 15+ crore consumers' bank accounts; entered the Guinness Book of World Records as the largest DBT scheme.

Beti Bachao Beti Padhao & Sukanya Samridhi (full)

Launched by PM, **22 January 2015, Panipat, Haryana** — addresses gender imbalance/discrimination against the girl child. Mahendergarh & Jhajjar districts (Haryana) had the most skewed sex ratio — 775 girls per 1,000 boys, lowest in India. Haryana CM separately launched 'Aapki Beti Humari Beti' to combat declining child sex ratio.

Sukanya Samridhi Accounts: interest rate 9.1% p.a. (2014-15), yearly compounded; min ₹1,000, max ₹1,50,000/financial year, deposits in multiples of ₹100, lump-sum allowed, no limit on number of deposits; account opened only up to age 10 from birth; closes after completion of 21 years.

Pension, Insurance & Financial Inclusion Schemes

Scheme	Detail (full)
Atal Pension Yojana (APY) ★	Launched 2015 (May, per full narrative), addresses longevity risk for unorganised-sector workers ★ not covered by any statutory social security scheme; joins the National Pension System (NPS), administered by PFRDA. Fixed monthly pension ₹1,000/2,000/3,000/4,000/5,000 from age 60, depending on contribution and entry age (18-40).
PMJDY ★	Announced 2014 — National Mission for Financial Inclusion; objectives: universal banking access (branch or fixed-point Business Correspondent within reasonable distance) + ≥1 basic bank account per household with RuPay Debit card + built-in accident insurance cover ₹1 lakh. Accident cover via HDFC Ergo General Insurance; life insurance cover ₹30,000 via LIC. Slogan: " <i>Mera Khata - Bhagya Vidhaata.</i> "
PM Mudra Yojana (PMMY)	Launched 2015; administered by MUDRA Ltd (SIDBI subsidiary); collateral-free credit up to ₹10 lakh for micro/small entrepreneurs. Categories: Shishu (≤₹50,000), Kishore (₹50,000-5 lakh), Tarun (₹5-10 lakh).
Stand-Up India ★	Launched 2016 ★ — promotes entrepreneurship among SC/ST and women ★ ; bank loans ₹10 lakh-₹1 crore to ≥1 SC/ST borrower + ≥1 woman borrower per bank branch, for Greenfield enterprises (trading/manufacturing/services/allied-agriculture). Extended in 2019-20 to align with the 15th FC period (2020-25). Margin money: up to 15% of project cost (convergence with other schemes allowed); borrower must contribute ≥10% as own contribution.

PMJJBY	Started 2015 — renewable 1-year life cover ₹2 lakh, savings a/c holders aged 18-50 (cover till 55), any cause of death, premium ₹330/year.
PMSBY	Brought 2015 — renewable 1-year accidental death-cum-disability cover ₹2 lakh (₹1 lakh for partial/permanent disability), ages 18-70, premium ₹12/year.

PMJJBY + PMSBY + APY launched simultaneously at **115 locations** nationwide, alongside PMJDY's banking push, as part of a ₹1/day insurance-cover initiative.

Digital Payments

DIGIDHAN Mission — followed the Union Budget 2017-18 announcement, targeted 2,500 crore digital transactions/year via UPI/USSD/Aadhaar Pay/IMPS/debit cards; digital-payments promotion moved from MeitY to Dept. of Financial Services in July 2023. **UPI** — indigenous digital payment system, multi-bank-account payments in one app; transactions grew from 92 crore (FY2017-18) to 13,116 crore (FY2023-24), CAGR 129%.

Rural Development & Sanitation

Scheme	Detail (full)
Saansad Adarsh Gram Yojana (SAGY)	Launched 11 Oct 2014 — MPs develop "Model Villages" (Adarsh Grams) as hubs of health/cleanliness/greenery/cordiality; 1 village by 2016, 2 more by 2019; population 3,000-5,000 (plain)/1,000-3,000 (hilly/tribal); new-Adarsh-Gram identification window ended March 2024.
Shyama Prasad Mukherji Rurban Mission (SPMRM)	Launched 2016, Ministry of Rural Development — clusters of contiguous villages (25,000-50,000 population in plain/coastal; 5,000-15,000 in desert/hilly/tribal areas) developed as "Rurban" hubs preserving rural character with urban-grade facilities.
Swachh Bharat Mission (Gramin)	Rural sanitation programme; renamed Nirmal Bharat Abhiyan (1 April 2012) → restructured as SBM(G) (2 October 2014) — eradicate open defecation, ensure clean environment. Phase II (2020-21) targets Sampurna Swachhata by 2024-25, ODF→ODF Plus transition.

Digital Identity & Direct Benefits

Scheme	Detail (full)
Aadhaar	World's first on-scale Digital ID service, formless/paperless; 80+ crore cards issued — world's largest biometric programme; provides identity infrastructure for welfare-service delivery/targeting.
Direct Benefits Transfer (DBT)	Launched 2013 via Aadhaar Payment Bridge (APB) and other channels; 35 centrally sponsored schemes under DBT purview (LPG, PDS, MGNREGA, etc.).
DAY-NRLM ★	Flagship poverty-reduction programme, Ministry of Rural Development, 2011 — one of the world's largest livelihood-improvement initiatives; empowers rural women via Self-Help Groups (SHGs) ★ . AGEY (Aajeevika Grameen Express Yojana) added as a sub-scheme, FY2017-18. Primarily a capacity-building programme (trained manpower). WEAF (Women Enterprise Acceleration Fund) — loans up to ₹5 lakh/5 years at 2% interest subvention for prompt repayment; also interest subvention for loans up to ₹1.5 lakh/borrower for up to 3 years. Special focus on "Lakhpatri Didis".

Social Sector Programmes — 7 flagship programmes retain high priority: Sarva Siksha Abhiyan, Mid-Day Meal Scheme, National Health Mission, Integrated Child Development Services, Swachh Bharat Abhiyan, MGNREGS, 100 Smart Cities.

Recent Welfare Schemes (2016-2024)

Scheme	Detail (full)
Pradhan Mantri Ujjwala Yojana (PMUY) ★	Launched 1 May 2016, Ballia, UP ★ , by Ministry of Petroleum & Natural Gas — LPG connections to BPL households/women ★ ; targeted 5 crore connections; objectives: empower women/protect health, reduce fossil-fuel cooking health hazards, reduce deaths from unclean cooking fuel. Ujjwala 2.0 (2021) added 1 crore more connections.
PM Surya Ghar Muft Bijli Yojana	Launched 13 Feb 2024 — rooftop solar scheme; targets solarising 1 crore households; 300 units free electricity/month; investment ₹75,000 crore (announced earlier in an interim budget speech).
PM Vishwakarma Scheme ★	Launched 17 September 2023 (Vishwakarma Jayanti) ★ — traditional artisans/craftspeople across 18 identified trades ; free registration via biometric-based portal at Common Service Centres; PM Vishwakarma certificate/ID card; skill training (basic+advanced); toolkit incentive ₹15,000 ★ ; collateral-free credit up to ₹1 lakh (1st tranche)/₹2 lakh (2nd tranche) at 5% concessional interest ★ ; plus digital-transaction incentives, marketing support. Nodal ministry: MSME.
PM-JANMAN	Pradhan Mantri Janjatiya Unnat Gram Abhiyan — improves quality of life for Particularly Vulnerable Tribal Groups (PVTGs); 11 critical interventions across 9 line ministries; builds on PM-JAN-MAN (launched 2023). India's ST population = 10.45 crore (2011 census); 75 PVTG communities across 18 states + Andaman & Nicobar Islands.

AYUSH & Ayushman Bharat

AYUSH — Dept. of Indian System of Medicine and Homeopathy (ISM&H) established in the Ministry of Health & Family Welfare, **1995**; rechristened Department of AYUSH (Ayurveda, Yoga & Naturopathy, Unani, Siddha, Homeopathy), **2003**. **Ayushman Bharat - PM Jan Arogya Yojana (ABPMJAY)** — launched **2018**, health cover **₹5 lakh/family/year** for secondary/tertiary hospitalisation of poor/vulnerable sections; subsumed the erstwhile Rashtriya Swasthya Bima Yojana (RSBY).

DOUBT One PYQ (bucket 16 Q89 explanation) states MGNREGA was renamed "Viksit Bharat - Ram Ji" in Dec 2025 with guaranteed days raised to 125 — this postdates the raw extraction (which only knows the 2009 MGNREGA renaming and 100-day guarantee) and is not independently verified; flagged as an unconfirmed claim inside the PYQ book's own explanation text, not merged into the main MGNREGA entry above.

Appendix

A.1 — PYQ citation index

Fact tested	Exam · Date · Shift
Stagflation = high inflation + stagnant growth	SSC Phase XIII, 02/08/2025 (Sh-02)
Abhijit Sen Committee, WPI reform, report 2008	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
Govt ↑ spending/↓ taxes → demand-pull price rise	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
CPI = tracks basket-of-goods price changes	SSC Phase XIII, 26/07/2025 (Sh-02)
Inflation → value of money falls (macro concept)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Core inflation 2024 decline = commodity price drop	SSC CGL Tier-I, 19/09/2025 (Sh-01)
Keynesian recession response = ↑ spend/↓ tax	SSC Stenographer, 06/08/2025 (Sh-03)

Rangarajan Committee constituted 2012	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
Elderly Dependency Ratio definition	SSC Phase XIII, 30/07/2025 (Sh-02)
PLFS vs Infrastructure Review Report (MoSPI)	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
Migration challenge = exploitation/informal sector growth	SSC Stenographer, 08/08/2025 (Sh-03)
Migration push/pull factors (A-R)	SSC Stenographer, 08/08/2025 (Sh-01)
MGNREGA: 100 days, renamed 2009	SSC Phase XIII, 29/07/2025 (Sh-03)
PMJDY launch date, savings account, DBT	SSC PHASE XIII, 26/07/2025 (Sh-01)
PMJDY ministry (Finance), 10-yr milestone	SSC CHSL Tier-I, 22/11/2025 (Sh-02)
Atal Pension Yojana: age 18-40, unorganised sector	SSC CHSL Tier-I, 21/11/2025 (Sh-02); SSC Phase XIII 30/07/2025 (Sh-02)
Stand-Up India: SC/ST + women entrepreneurship	SSC Stenographer, 06/08/2025 (Sh-01); SSC Stenographer 08/08/2025 (Sh-01, distractor)
PM Vishwakarma: ₹500/day stipend, toolkit voucher	SSC CHSL Tier-I, 29/11/2025 (Sh-01)
PM Ujjwala Yojana: BPL women, LPG	SSC Phase XIII, 28/07/2025 (Sh-03); 25/07/2025 (Sh-01)
DAY-NRLM / NRLM: SHGs, rural women empowerment	SSC Phase XIII, 28/07/2025 (Sh-02, x2)
Beti Bachao Beti Padhao: sex ratio/girl-child	SSC Stenographer, 07/08/2025 (Sh-03); SSC Phase XIII 26/07/2025 (Sh-01)
Digital India: launch 1 July 2015, "Power to Empower"	SSC Phase XIII, 29/07/2025 (Sh-01)

A.2 — PYQ-book-only facts

None of the scheme facts above needed sourcing beyond Lucent §7 / the PYQ book's own explanation text for dates already in the raw extraction. The claimed Dec-2025 MGNREGA rename to "Viksit Bharat" and 125-day guarantee is PYQ-book-only and NOT carried into the main body as fact, only flagged as a doubt above. "PM Vishwakarma: ₹500/day stipend" citation is from the PYQ book's explanation (the raw extraction gives the same figure independently — both agree).

A.3 — Doubts (carried from the raw extraction, full list)

- CPI base-year internal inconsistency: Parmar p.266 says 2023-24, p.267 says 2024 — not reconciled.
- "Types of Inflation" ranges overlap at boundaries (e.g. 4% appears in both Creeping and Walking) — as printed.
- Seigniorage is defined twice with slightly different wording — both consistent, transcribed.
- Inflationary Gap defined twice (differently) — both transcribed, not reconciled.
- Numerous typos preserved: "Lakadawala Formula", "unemployed", "establishments", "Mridha/Mrida Swastha Card" (Soil Health Card), "Ministry of Rulral Development", "Pradhan Mantri Mudra Yoiana", "Atal Pension Yojana (APS)" elsewhere as APY, "1 ₹ lakh" (transposed).
- The unverified Dec-2025 MGNREGA-rename claim (see body doubt above).

A.4 — Cross-referenced, not duplicated

The large majority of PYQ bucket "16 Schemes/Missions/Programmes/Initiatives/Portals" (Green Credit Programme, MISHTI, UDAN, Dak Karmayogi, NSWS, e-Sanjeevani, PM-KUSUM, PMFBY, e-NAM, GOBARdhan, PM-PRANAM, Lead Bank Scheme, PLI, PMAY-U, AMRUT's later current-affairs extensions, Smart Cities, NHM, PM Gati Shakti, PM MITRA, dozens of others) tests schemes with **no backing in Parmar Ch.5 or Lucent §7** — these belong to Agriculture (Batch 8), Industry (Batch 7), or a future Static GK "Govt Policies" build, per the raw extraction's own overlap note, and are cross-referenced rather than force-fit here.

ECONOMY — Banking, Monetary Policy & Financial System

Batch 5 of 10 · Sources: Parmar Ch.6 (Banking Pt.1) + Ch.7 (Monetary Policy) + Ch.8 (Banking Pt.2) + Lucent §9 (Indian Financial System) + §11 (Money, Banking, Insurance in India) · PYQ buckets "03 Money and Banking" (30 Qs) + "13 National Financial Institutions" (4 Qs) · ★ = tested in a real past SSC paper

1 Reserve Bank of India (RBI) — Parmar Ch.6

Recommended by the **Royal Commission on Indian Currency & Finance**, chaired by **Hilton Young, 1926**. Established under the **RBI Act, 1934**; began operations **1 April 1935, Calcutta**; **nationalised 1 Jan 1949**; HQ moved to **Mumbai, 1937**. First Governor: **Sir Osborne Smith**; first Indian Governor: **Sir C.D. Deshmukh**. RBI's emblem features a tiger and a palm tree.

HOOK RBI Governors' chronology ★: Dr. Y.V. Reddy (2003-08) → Dr. D. Subbarao (2008-13) → [Raghuram Rajan/Urjit Patel gap] → Dr. Urjit R. Patel (2016-18) → [Shaktikanta Das] → Shri Sanjay Malhotra (2024/25-present, per Lucent's "as on 29.05.2025" table) ★ — a tested chronological-ordering question.

Central Board of Directors — apex governing body under RBI Act 1934, appointed by GOI for 4 years. Comprises: the Governor (Chairperson), 4 full-time Deputy Governors, 10 non-official directors from various fields, 2 Government of India officials (Ministry of Finance), 4 directors representing the Local Boards. Banking Ombudsman scheme introduced by RBI in 1995; Fixed Rate Repo announced by Govt in 1997.

Lead Bank Scheme ★ — launched by RBI, **December 1969** ★; assigns one specific public/private bank to lead banking-and-credit development in a district, promoting an **"Area Approach"** to rural credit, financial inclusion and priority sector lending.

Functions of RBI: (1) **Regulator of Banks** under the Banking Regulation Act 1949 — "Bank of Banks"; grants banking licences, regulates CRR/SLR, influences interest rates via repo rate. (2) **Monetary Authority** — formulates/implements monetary policy to control inflation, manage money supply, ensure credit flow. (3) **Currency Printing** — prints/manages banknotes (except ₹1 note and coins, issued by Ministry of Finance). (4) **"Lender of Last Resort"** — final funding source for commercial banks in a crisis. Currency is printed at Nasik, Dewas, Mysore, Salboni; coins minted at Mumbai, Hyderabad, Calcutta, Noida.

The **Bimal Jalan Committee (2018-19)**, appointed by RBI, recommended a new Economic Capital Framework (ECF) enabling transfer of surplus reserves to govt while maintaining a Contingency Risk Buffer (CRB) of 5.5%–6.5% of RBI's balance sheet.

2 Banking Reforms — Narasimham Committees

Committee	Focus	Key recommendations
Narasimham-I (1991) ★	Banking sector reforms & liberalisation	↓ SLR/CRR to improve liquidity; prudential norms ★ for income recognition/asset classification/provisioning; capital adequacy norms (Basel-aligned); greater bank autonomy, less govt interference; competitive/efficient banking; entry of private sector banks ★ (encouraged, not restricted — tested distractor)
Narasimham-II (1998) ★	Strengthening reforms & global competitiveness	↓ NPAs; strengthened banking supervision/regulation; consolidation/merger of banks ★ for strong global banks; Asset Reconstruction Funds/Companies (ARCs) ★ for bad loans; stronger capital adequacy & risk management; recommended a 3-tier banking structure

HOOK **Board for Financial Supervision (BFS)** ★ (PYQ-book-only, see A.2) — established within RBI in **1994**, post-1991 reforms, to supervise banks/FIs/NBFCs for financial stability (not NABARD, SAT, or MSME Credit Bureau — tested distractors).

3 Types of Money, Clean Note Policy & Banking Classification

Type	Meaning
Fiat Money ★	Govt-declared legal tender, issued by central bank, NOT backed by gold/silver ★
Fiduciary Money	Accepted via mutual trust between payer/payee — e.g. cheques, tokens/bitcoins
Plastic Money	Electronic money via debit/credit/prepaid cards
Hot Money	Funds investors quickly move across countries/markets for short-term gains (stocks, deposits, bonds)

Clean Note Policy — introduced by RBI in **1999**, under Section 35A of the Banking Regulation Act 1949; banks must not pass soiled/torn/scribbled notes to customers and must deposit them with RBI instead. Per RBI Act 1934, banking is classified as: **Scheduled Banks** (Commercial → for-profit → Public Sector [12 Nationalised Banks, as printed] / Private Sector [Indian e.g. HDFC/Kotak; Foreign e.g. Citigroup/HSBC]) and **Non-Scheduled Banks** (Cooperative → non-profit, "depositors are owners"). SBI was the only nationalised bank until **14 banks** (deposits >₹50 crore) were nationalised via **The Banking Companies (Acquisition & Transfer of Undertaking) Act, 1969**; later **6 banks** (Andhra Bank, Corporation Bank, New Bank of India, Oriental Bank of Commerce, Punjab & Sind Bank, Vijaya Bank) nationalised via the 1980 Act (deposits >₹200 crore).

HOOK Bank nationalisation, **19 July 1969 ★** — 14 major private banks nationalised to extend rural banking, ensure agri/small-industry credit, reduce private monopoly ★.

History of Banking System in India

Bank of Hindustan — first bank, established **1770, Calcutta**. Three Presidency Banks during British rule — Bank of Calcutta (1806), Bank of Bombay (1840), Bank of Madras (1843) — merged into a single **Imperial Bank of India in 1921**, later nationalised and renamed **State Bank of India, 1955**. First Indian-owned bank: **Allahabad Bank, 1865**. **Regional Rural Banks (RRB)** established as a statutory body under RRB Act 1976 for rural financial activities (e.g. Grameen Banks); **Pratham Grameen Bank** set up **2 October 1975, Moradabad, UP** (India's first RRB).

RRB ownership: Central Govt 50% (largest stakeholder), sponsor commercial bank 35%, State Govt 15%; supervised by NABARD, regulated by RBI; set up on Narasimham Committee on Rural Credit recommendations. RRB consolidation began 2005 following the **Dr. Vyas Committee (2001)**. The **Kelkar Committee (1986)** recommended strengthening RRBs — raising authorised capital to ₹5 crore, paid-up capital to ₹1 crore, directing surplus into profitable investments, and merging weak RRBs.

Functions of Commercial Banks — *Primary*: accepting deposits (savings/current/fixed) and providing loans/advances (cash credit, overdraft, bill discounting). *Secondary*: agency services (cheque collection, bill payment, acting as agent) and general utility services (locker facility, demand drafts, forex, cards, online banking).

4 Other Financial Institutions & Microfinance

Institution	Established	HQ	Role
NABARD	12 July 1982, B. Sivaraman Committee (1979), NABARD Act 1981	Mumbai	Agri/rural growth finance; regulates cooperative banks & RRBs; does NOT deal directly with the public; runs PMAY-Gramin, KCC, RuPay Kisan Cards; 2015 launched E-Shakti & LEDP (Livelihood and Enterprise Development Program)
National Housing Bank	1988, Act of 1987	New Delhi	Housing finance
SIDBI	2 April 1990	Lucknow	MSME finance
SEBI ★	Statutory body 12 Apr 1988, SEBI Act 1992	Mumbai; Chairman: Tuhin Kanta Pandey	Safeguards investor interests in the securities market

IRDAI ★	Statutory body Apr 2000, IRDAI Act 1999	Hyderabad	Protects policyholders' interests ★ — insurance-sector regulator (not stock market/disinvestment/foreign trade — tested distractors); based on Malhotra Committee recommendations
NAFED	2 Oct 1958	New Delhi	Apex agricultural-produce marketing cooperative federation
IDBI	1964, GOI subsidiary of RBI; LIC later acquired 51% stake	Mumbai	Industrial development finance

HOOK Insurance-sector reform: **R.N. Malhotra Committee** ★ — constituted **1993** ★, report submitted **1994** ★; recommended opening insurance to private participation, leading to **IRDA Act, 1999** ★.

Microfinance Institutions (MFI) — provide micro-credit/loan/savings/insurance/remittance services to low-income populations; collateral-free microfinance loans to households with income up to ₹3 lakh/annum. **Father of Microfinance: Muhammad Yunus** (2006 Nobel Peace Prize, creator of Grameen Bank). **First MFI in India: Self Employed Women Association (SEWA) Bank**, Ahmedabad, 1974.

Self Help Groups (SHG): 10–20 BPL people forming a group; provide collateral-free loans at lower interest than the informal sector; empower women/marginalised groups. **Joint Liability Groups (JLG)**: 4–10 people forming a group to jointly apply for a bank loan; offered to individuals, tenant farmers, sharecroppers, small/marginal farmers — collateral-free.

Pradhan Mantri Mudra Yojana (PMMY) — promotes financial inclusion via micro-credit/loans to small businesses: **Shishu** (up to ₹50,000), **Kishor** (₹50,000–5 lakh), **Tarun** (₹5–10 lakh), **Tarun Plus** (₹10–20 lakh). MUDRA (Micro Units Development & Refinance Agency Ltd.) launched **8 April 2015**, receives 100% funding from SIDBI.

NBFCs (Non-Banking Financial Companies/Institutions) — offer banking-like services without a banking licence; registered under the Companies Act 1956, regulated by RBI under RBI Act 1934; cannot accept demand deposits or issue cheques; provide Gold Loans; deposits NOT government-guaranteed; not required to maintain CRR/SLR. **NBFC-MFI** — registered and regulated by RBI, provide micro loans/financial services to low-income rural individuals; established on **Malegam Committee (2010)** recommendations. RBI cap: non-NBFC-MFI entities' microfinance-loan limit is 25% of total assets; to qualify as NBFC-MFI, 75% of total assets must be microfinance loans (revised 2022, was earlier 85%).

Capital requirements for NBFC-MFI: minimum Net Owned Fund (NOF) — General (all-India) ₹5 crore; North-East Region ₹2 crore (lower, to encourage financial inclusion). **Payment & Settlement Systems Act, 2007** — all payment systems (UPI, NEFT, RTGS, Credit Cards) regulated by RBI under this Act.

Priority Sector Lending (PSL): Commercial Banks (domestic & foreign) must allocate **40% of ANBC** (Adjusted Net Bank Credit) to PSL; RRBs & Small Finance Banks — 75% of ANBC; NBFCs generally have no specific PSL targets. Sub-targets: Agriculture 18%, Weaker Sections (SC/ST/Women) 12%. Shortfalls go to the **Rural Infrastructure Development Fund (RIDF)**, managed by NABARD. **Urban Cooperative Banks (UCBs)** operate under both RBI and the Registrar of Cooperative Societies (RCS).

5 Monetary Policy — Parmar Ch.7

Monetary policy = RBI's regulation of money supply and interest rates to maintain price stability, control inflation, ensure growth, using **quantitative** and **qualitative** instruments.

Balance Sheet: Liabilities = Deposits (Demand Deposits: savings/current accounts; Time/Term Deposits: FDs/RDs); Assets = Loans granted by the bank. **Net Demand and Time Liability (NDTL)** = total deposits determining lendable funds and reserve requirements: Demand Liabilities (withdrawable anytime — savings/current) and Time Liabilities (fixed tenure — FDs/RDs).

Cash Reserve Ratio (CRR)	Statutory Liquidity Ratio (SLR) ★
Kept in cash with the RBI; no interest earned	Kept in liquid assets — cash, gold, or approved securities ★; interest earned

TRAP ↑CRR/SLR **reduces** banks' lending capacity ★ (they must set aside more, less left to lend) — NOT increase it (a tested Assertion-Reason flips this).

Monetary Policy Committee (MPC) — established on **Urjit Patel Committee** recommendations; **6 members**: 3 from RBI (Governor as Chairman, Deputy Governor, an Executive) + 3 from Govt of India; meets bimonthly to decide repo rate/CRR changes.

Monetary Policy Tools

Quantitative Tools — influence overall money supply/credit:

1. **CRR** (see above)
2. **SLR** (see above)
3. **Bank Rate (BR)** — rate at which RBI lends long-term to commercial banks **without collateral**; higher BR → costlier borrowing → ↓ money supply; lower BR → cheaper loans → ↑ liquidity
4. **Open Market Operations (OMO)** — also called **sterilization**: (i) **Outright Purchase** — RBI directly buys govt securities, no repurchase agreement; (ii) **Repurchase Obligation ("Rere")** — banks borrow from RBI using govt securities as collateral with a promise to repurchase = **Repo**; RBI inviting banks to deposit surplus funds against govt securities = **Reverse Repo**. Repo + **SDF (Special Depository Facility)** together = **Liquidity Adjustment Facility (LAF)**. SDF lets banks deposit excess funds with RBI *without any collateral*.
5. **Marginal Standing Facility (MSF)** — emergency overnight borrowing by banks from RBI at a higher rate than repo; penalty for failing to maintain CRR/SLR = **3% above Bank Rate per day of default**; uses G-Secs within the SLR quota; only scheduled commercial banks can access it. **Base Rate** = minimum rate below which banks cannot lend.

If banks can't maintain CRR/SLR, they borrow from other banks via the **Interbank Lending Market** at the **Call Money Rate** (decided on the basis of RRR and MSF) — short-term overnight interbank loans; limit: 2% of NDTL. **MCLR (Marginal Cost of Funds Based Lending Rate)** — minimum lending rate, introduced by RBI in **April 2016**, for transparent/policy-responsive loan pricing. **Money Multiplier (MM)** = $1/CRR$ — highest possible increase in money supply from a change in bank deposits; NBFCs/NBFC-MFIs need not maintain CRR/SLR; ↑CRR → banks hold more reserves, lend less → fewer loans → less money creation → lower multiplier (and vice versa).

Situation	RBI Action	Effect	Policy Stance
Inflation	↑ CRR, SLR, BR, RRR, RR	↓ money supply	Contractionary/Tight/Dear/Hawkish
Deflation	↓ CRR, SLR, BR, RRR, RR	↑ money supply	Expansionary/Easy/Dovish

HOOK **Expansionary Monetary Policy** ★ = central bank cuts rates to stimulate growth/spending during a slowdown (the exact tested term is "expansionary", not contractionary/QE labels). **Debt Monetisation** ★ = RBI directly buys govt bonds/securities to fund the fiscal deficit, printing new currency → raises money supply → often high inflation ★.

Qualitative Monetary Policy Tools — selective control over credit direction: (1) **Changing Margin Requirements** — ↑ margin for non-essential sectors, ↓ for priority sectors like agriculture; (2) **Consumer Credit Regulation** — RBI sets loan-installment/down-payment/repayment rules in advance; (3) **Moral Suasion** — persuasion/implicit threats by RBI to influence bank behaviour; (4) **Credit Rationing** — RBI fixes credit supply per bank and per sector to prevent excessive lending.

Fiscal Policy — government's tax/spending/borrowing strategy to control inflation/deflation, unemployment, growth. To control inflation: ↑ Taxes (lowers disposable income → lowers demand), ↓ Subsidies (raises prices → discourages excess consumption), ↓ MSP (Minimum Support Price — discourages excess crop production, keeps food prices in check). Monetary Policy = RBI's tool; Fiscal Policy = Government's tool.

HOOK Financial intermediaries (banks) transmit MPC's repo-rate changes to the real economy by adjusting their own lending/deposit rates ★ — a directly tested Assertion-Reason (both TRUE, R correctly explains A).

6 Banking Part 2 — Liquidity, Money Functions & Aggregates (Parmar

Ch.8)

Liquidity = ease of converting an asset to cash without losing value; money has the highest liquidity. Liquidity order: **Cash > Gold > Cheque > Bond**; Demand Deposit more liquid than Term Deposit. Money was invented to solve the barter system's problems: **Double Coincidence of Wants, Lack of Divisibility, Lack of Store of Value**.

Functions of Money: *Primary* — Medium of Exchange (buying/selling). *Secondary* — Medium of Value/Unit of Account: (a) Standard of Deferred Payment, (b) Store of Value (money retains value over time, unlike perishables; has no intrinsic value unlike gold; paper money has value from govt backing), (c) Highly Portable and Durable.

HOOK Reasons to hold money ★: **Transaction Motive** (daily spending — groceries, transport, bills), **Precautionary Motive** (emergency expenses — illness, accidents), **Speculative Motive (by J.M. Keynes)** — investment timing, e.g. buying stocks on a dip.

Liquidity Preference Theory ★ = Keynes's theory of demand for money — interest rates are determined by demand/supply of money, not just savings/investment. **Cambridge Cash Balance Approach** ★ — developed by Marshall, Pigou, and Keynes; value of money tied to the demand to hold cash balances (store of value) rather than transaction velocity.

Paradox of Thrift (Keynesian) — individuals increasing savings in a downturn collectively reduces aggregate demand and total economy-wide savings, as lower consumption reduces business revenue and income.

HOOK **Speculative Demand for Money** $\propto 1/\text{Interest Rate}$ — inverse relationship: rates $\uparrow \rightarrow$ people invest in bonds/financial assets, hold less cash $\rightarrow$ speculative demand $\downarrow$; rates $\downarrow \rightarrow$ returns low, hold more cash $\rightarrow$ speculative demand $\uparrow$. "Interest rates are an opportunity cost/'price' of holding money balance in an economy." **Liquidity Trap** ★ = interest rates so low that the liquidity-preference curve's horizontal portion appears — speculative money-demand becomes infinitely/perfectly elastic — monetary policy becomes ineffective.

Types of Money in the Economy & Money Aggregates

1. **Currency in Circulation** — Currency with Banks (daily operations) + Currency with Public (spending money). **CDR (Currency Deposit Ratio)** = Money held by public in currency / Money held by public in deposits.
2. **Deposits with Banks** — Demand Deposits (savings/current, withdrawable anytime) + Term Deposits (FDs/RDs, fixed period).
3. **Deposits with RBI** — Bank Deposits with RBI (CRR, mandatory % of NDTL) + Other Deposits with RBI (govt institutions, foreign central banks, international financial orgs, some private entities).
4. **Postal Deposits** — similar to bank Term/Demand Deposits, managed by the Post Office Savings Bank (POSB).

Aggregate	Components	Alt. name ★
M0	Currency in circulation + Banker's deposits with RBI	High-Powered/Base/Reserve Money ★ — total money printed by RBI
M1 ★	Currency with public + other RBI deposits + Demand Deposits	Narrow Money ★
M2	M1 + Post Office savings deposits	—
M3 ★	M1 + Net time deposits of commercial banks	Broad Money ★ / Aggregate Monetary Resource
M4	M3 + Total Post Office deposits	—

Reserve Money ("does NOT include") ★ — M0 is also called Central Bank Money, Base Money, High-Powered Money; **"Savings Money" is NOT a synonym** ★.

The **Interbank Offer Rate ("Offer Rate")** — rate banks lend to each other for short-term needs (e.g. meeting CRR requirements). **LIBOR (London Interbank Offer Rate)** served as a global base rate for loans/mortgages; discontinued after 31 Dec 2021, replaced by **SOFR** for USD. **MIBOR (Mumbai**

Interbank Offer Rate) = India's LIBOR equivalent; replaced by **FBIL-Overnight MIBOR in 2015**. Asia's oldest stock exchange: **Bombay Stock Exchange, established 1875**.

Money Market, Capital Market & Assets Classification

Money Market (short-term loans, <1 year): **Call Money** — repaid within 1 day; **Notice Money** — repaid in 2–14 days. **Capital Market** (long-term loans, >1 year): stocks/bonds for long-term investment.

Treasury Bills (issued by GOI through RBI) — also called **Zero Coupon Securities**; issued in 3 tenures (91/182/364 days); classified as money-market instruments (maturity <1 year); always issued at a discount, no interest paid.

Assets classification: Regular Assets — generate consistent returns, interest+principal repaid on time. **Stressed Assets** — non/potentially-non-performing, overdue <90 days. **Non-Performing Assets (NPAs)** — overdue >90 days: **Substandard** (>90 days but <12 months), **Doubtful** (>12 months), **Loss Assets** (uncollectible). **Wilful Defaulter** — has capacity to repay but deliberately doesn't. **Bad Bank** — a specialised entity handling NPAs, buying them and recovering value; 2021 Budget announced two bad banks: **National Asset Reconstruction Company Limited (NARCL)** and **India Debt Resolution Company Limited (IDRCL)**.

SARFAESI Act, 2002 (Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act) — lets banks seize defaulters' properties. **Insolvency and Bankruptcy Code (IBC), 2016** — resolves the **Twin Balance Sheet Problem** (stressed banks + stressed corporates) via the **Corporate Insolvency Resolution Process (CIRP)**; moratorium ("calm period") of 180 days (extendable to 270 days). Governing bodies: **NCLT** (initial insolvency cases) and **NCLAT** (appeals against NCLT decisions).

International Banking Regulations — Basel Norms

Accord	Year	Key point
Basel-I	Introduced 1988 (India adopted 1999)	Focus: credit risk; minimum capital = 8% of Risk Weighted Assets (RWA)
Basel-II	2004	Introduced CAR/CRAR (Capital Adequacy/Capital to Risk-Weighted Assets Ratio) = $(\text{Tier1 Capital} + \text{Tier2 Capital}) / \text{RWA} \times 100$
Basel-III	2010	CAR to be maintained at 10.5% (Tier-1/Core 6% + Tier-2/Supplementary 2% + Capital Conservation Buffer 2.5%); India's RBI-mandated CAR = 11.5%

Basel Norms/Accords established by Central Bank Governors of the G-10 countries in 1974; HQ at the BIS (Bank for International Settlements, printed as "Bureau of International Settlement") office, Basel, Switzerland; issued by the Basel Committee on Bank Supervision (BCBS).

7 Lucent §9 — Indian Financial System

The Indian Financial System channels funds between demand side (individual investors, businesses, government) and supply side (banks, insurance companies, mutual funds, other financial institutions). It has two parts: the **Indian money market** (short-term funds) and the **Indian capital market** (medium/long-term funds); performs a crucial role in economic development via saving-investment (capital formation).

Classified into: (1) Industrial finance, (2) Agricultural finance, (3) Development finance, (4) Government finance. **Devaluation** = lowering the local currency's official value vs. foreign currency/gold. **Balance of Payments (BoP)** = systematic record of all economic transactions between a country and the rest of the world, divided into current account and capital account. **Balance of Trade (BoT)** = value of exports – value of imports (goods only, services excluded). **EXIM Policy 2000-01** introduced the SEZ Scheme. In **1994-95** the Indian Rupee was made fully convertible on the current account. **Fiscal Policy** = policy on public revenue, expenditure and allied matters.

Indian money market: **organised sector** (RBI at apex + Public/Private/Foreign Sector Banks + other financial institutions) and **unorganised sector** (indigenous bankers + NBFCs).

RBI — established under the RBI Act 1934, **1 April 1935**, with capital of ₹5 crore; nationalised **1 January 1949** on the recommendation of a **Parliamentary Committee (1948)**; is the supreme monetary/banking authority, keeps commercial banks' reserves; its financial year runs 1 July–30 June (as printed).

Indian Capital Market — market for long-term capital; includes (1) Government Securities (Gilt-edged market), (2) Industrial Securities Market, (3) Development financial institutions (IFCI, IDBI, ICICI, SFCs, IIBI, UTI), (4) Financial Intermediaries (Merchant banks). Trends driven by institutional-investor activity and corporate-sector results.

Share Price Indices of the World

Index	Exchange/Country
Bovespa	Brazil
Dow Jones	New York
FTSE-100	London
HANG SENG	Hong Kong
I.P.C.	Mexico
Jakarta Composite	Indonesia
KLSE Composite	Malaysia
KOSPI	Korea
MIBTel	Italy
MID DAX	Frankfurt
NASDAQ	U.S.A.
Nikkei	Tokyo
S&P	Canada
Seoul Composite	S. Korea
SHANGHAI Com	China
SET	Thailand
Straits Times Index	Singapore (SGX)/SIMEX*
TAIEN	Taiwan

*SIMEX = Singapore International Monetary Exchange (old name).

Capital market classification: Gilt-edged market (Govt/semi-govt securities, fixed interest); Industrial securities market — split into **Primary Market** (new-issue market for fresh capital via shares/debentures) and **Secondary Market** (old-issues market — stock market/exchange); Development financial institutions; Non-banking financial companies. **Unit Trust of India (UTI)** = India's biggest Mutual Fund Institution.

Stock Exchange — first organised exchange started in Bombay when the 'Native Share Brokers' Association' formed the **Bombay Stock Exchange (BSE) in 1875** — Asia's oldest stock exchange. Ahmedabad Stock Exchange started 1894 (textile-mill shares); Calcutta Stock Exchange started 1908 (plantation/jute-mill shares). Number of exchanges rose from 7 (1939) to 21 (1945). Under the Securities Contracts (Regulation) Act 1956, GOI has recognised 23 stock exchanges; with NSE's rise, regional exchanges lost relevance. BSE became a corporate entity from mid-August 2005 (previously a brokers' association); must dilute stock-broker stake to 49%. SEBI introduced rolling settlements (daily settlement) from 2 July 2001.

Credit Rating Agencies (registered intermediaries as on 13 July 2023)

CRISIL (Credit Rating Information Services of India Ltd, HQ Mumbai), ICRA (Investment Information & Credit Rating Agency, HQ New Delhi), CARE (Credit Analysis and Research Ltd, HQ Mumbai), ACUITE Ratings & Research Ltd (HQ Mumbai), BRICKWORK Ratings (HQ Bangalore), INFOMERICS Valuation and Rating (HQ New Delhi), India Ratings & Research (formerly FITCH, HQ Mumbai), SMERA Ratings (HQ Mumbai), Standard & Poor's/S&P (HQ New York), MOODY'S (HQ New York), Fitch (HQ New York). **CRISIL is India's largest credit rating agency**, market share >60% (Source: SEBI).

Regulators in India (as on 29.05.2025)

Regulator	Sector	HQ	Chairperson (as printed)
RBI	Banking & Finance, Monetary Policy	Mumbai	Sanjay Malhotra (Governor)
SEBI	Securities/Capital Market	Mumbai	Tuhin Kanta Pandey

IRDAI	Insurance	Hyderabad	Debashish Panda
PFRDA	Pension	New Delhi	Sivasubramanian Ramann
NABARD	Rural development financing	Mumbai	Shaji KV
SIDBI	MSME financing	Lucknow	Manoj Mittal
TRAI	Telecom & Cyber-Security	New Delhi	Anil Kumar Lahoti
CBFC	Film/TV certification	Mumbai	Prasoon Joshi
FSSAI	Food	Delhi	Punya Salila Srivastava
BIS	Standards & Certification	New Delhi	Pralhad Joshi (President)
BCCI	Cricket	Mumbai	Roger Binny (President)
AMFI	Stock Exchange (as printed)	Mumbai	Navneet Munot
FIEO	Export	New Delhi	S.C. Ralhan
NASSCOM	IT	New Delhi	Sindhu Gangadharan
CDSCO	Medical devices & drugs	New Delhi	Rajeev Singh Raghuvanshi
IBBI	Finance (insolvency)	New Delhi	Ravi Mital

DOUBT Chairpersons/office-holders are "as on 29.05.2025" per the source and will change — verify current incumbents before relying on this table. AMFI's "Sector" is printed as "Stock Exchange" (a likely source error, transcribed verbatim); footnote "*DCGI (Drug Controller General of India)" appears with no clearly marked row.

Share Price Indices of India

BSE SENSEX — most sensitive index of the Mumbai Stock Exchange, 30 main shares, base year 1978-79 (BSE founded 1875). **BSE 200** — 200 shares, base year 1989-90. **DOLLEX** — BSE Dollar Value Index of 200 shares, base year 1989-90. **NSE-50** — renamed **S&P CNX Nifty from 28 July 1998**; NSE launched NSE-50 in place of NSE-100 in April 1996; 50 companies; NSE founded on **Ferwani Committee's** recommendation, 1994. **CRISIL** — set up 1988, rates FD programmes/debentures/companies. **CRISIL 500** — new index introduced 18 January 1996. NSE's online trading software: **NEAT (National Exchange for Automatic Trading)**.

Ranking of India in Different Indexes (as on 25.05.2025)

1. Edelman Trust Barometer 2025 — China 1st, Indonesia 2nd, India 3rd.
2. Transparency International's Corruption Perception Index 2024 — India 96th/180 (Denmark top, South Sudan last).
3. World Economic Forum's Gender Gap Index 2024 — India 129th/146 (Iceland top, Sudan last).
4. Global Hunger Index 2024 — India 105th/127 (Somalia 127th, Yemen 126th).
5. Human Development Index 2023-24 — India 134th/193 (Switzerland top, Somalia last).
6. World Press Freedom Index 2025 — India 151st/180 (Norway top, Eritrea last).
7. Global Peace Index 2024 — India 116th/163 (Iceland top, Yemen least peaceful).
8. Global Innovation Index 2024 — India 39th/133 (Switzerland top, Angola last).
9. World Happiness Report 2025 — India 118th/147 (Finland top, Afghanistan last).

DOUBT All rankings are "as on 25.05.2025" and will change with each year's new report; do not treat as current without verification.

Household Consumption Expenditure Survey (HCES) 2023-24

(Based on 75th National Sample Survey, Aug 2023–July 2024.) Rural MPCE rose to ₹4,122 (+9.3% from ₹3,773 in 2022-23); Urban MPCE rose to ₹6,996 (+8.3% from ₹6,459); with imputed free-benefit values, MPCE = ₹4,247 (rural), ₹7,078 (urban). Urban-rural consumption gap narrowed to 69.7% (2023-24) from 71.2% (2022-23) and 83.9% (2011-12). Spending: Rural 47.04% of MPCE on food (highest: beverages/processed food 11.09%, milk products 8.44%, vegetables 6.03%); Urban 39.68% on food, higher non-food share (conveyance, clothing). Non-food dominates: 53% rural, 60% urban. Highest MPCE: Sikkim (rural ₹9,377; urban ₹13,927); Lowest: Chhattisgarh (rural ₹2,739; urban ₹4,927). Above-average spending states: Maharashtra, Punjab, Tamil Nadu, Telangana, Kerala. Below-average: West Bengal, Bihar,

UP, Madhya Pradesh. Highest rural-MPCE growth: Odisha (14%); highest urban-MPCE growth: Punjab (13%). (Source: MoSPI)

8 Lucent §11 — Money, Banking and Insurance in India

RBI established 1 April 1935, nationalised 1 January 1949. Finance Ministry issues ₹1 notes and all coins; RBI issues all other currency notes. First Indian-managed limited-liability bank: **Oudh Commercial Bank (1881); Punjab National Bank established 1894**. The 1906 Swadeshi movement spurred formation of many commercial banks. The Banking Companies Act (Feb 1949) was later amended to become the **Banking Regulation Act, 1949**.

Monetary Policy Transmission — RBI cut the repo rate by 250 bps since Feb 2019 (per the source's easing-cycle framing); transmission was weak on credit quantity but improved on rate/term structure.

"Fifth Monetary Policy of FY 2023-24" — Key Rates & Ratios (as on 8 Dec 2023)	
Repo Rate	6.50%
Standing Deposit Facility	6.25%
Marginal Standing Facility Rate	6.75%
Bank Rate	6.75%
Reverse Repo Rate	3.35%
Cash Reserve Ratio	4.50%
Statutory Liquidity Ratio	18.0%

DOUBT This rate table is dated 8 Dec 2023 and does not reflect current (Sept 2026) RBI policy rates — verify from the latest RBI monetary policy statement before using. Lucent's own text ("reverse repo always 1% less than repo"; "MSF always 1% more than repo") contradicts this very table (repo 6.50 vs reverse repo 3.35, a 3.15-point gap; MSF 6.75 is 0.25 above repo, not 1%) — internal contradiction preserved verbatim, not reconciled.

Monetary policy objectives: inflation targeting, price stability, full employment, stable growth. Directly via reserve ratios/OMOs; indirectly via key interest rates affecting credit cost. Expansionary policy = ↓ reserves/rates, ↑ liquidity, encourages activity. Contractionary/tight policy = ↓ liquidity, ↑ rates, negative impact on production/consumption/growth. (Source: ET)

Banking Ecosystem

137 scheduled commercial banks (per BHARAT 2025): Public Sector Banks (12), Private Sector Banks (21), Small Finance Banks (11), Payment Banks (6), Regional Rural Banks (43), Foreign Banks (44); plus co-operative and local area banks. Banks classified into 4 categories: (1) Commercial Banks (Public/Private Sector, RRB, Foreign), (2) Small Finance Banks, (3) Payments Banks, (4) Co-operative Banks (Urban + Rural).

No. of SC Banks (per RBI): 136 total — 12 PSBs, 21 Private, 43 RRBs, 11 SFBs, 6 Payments Banks, 44 Foreign Banks, plus 2 Local Area Banks (LABs).

DOUBT Two different total counts appear in the source itself: 137 (p.275, BHARAT 2025) vs 136 (p.276, RBI pink box) — transcribed verbatim, not reconciled.

Public Sector Banks (PSBs) — majority (>50%) government stake. April 2019: Vijaya Bank and Dena Bank merged into Bank of Baroda. 30 August 2019: FM Nirmala Sitharaman announced merger of 6 PSBs with 4 anchor banks (2 for national presence, 4 for regional focus), reducing PSB count from 27 to 12.

MUDRA Bank

MUDRA = Micro Units Development Refinance Agency; set up via statutory enactment; runs PMMY (launched 8 April 2015). Loan stages: **Shishu** (up to ₹50,000), **Kishor** (₹50,000–5 lakh), **Tarun** (up to ₹10 lakh). Proposed in Budget 2015-16 with ₹20,000 crore initial corpus and ₹3,000 crore credit guarantee fund. By August 2023: >43.09 crore loans worth ₹24.99 lakh crore sanctioned since launch; ~68% to Women Entrepreneurs, 51% to SC/ST/OBC borrowers.

List of Scheduled Public Sector Banks (as on 31 March 2025)

Anchor Bank	Estd.	Merged Bank(s)	HQ
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Bank of Baroda	1908	Dena Bank, Vijaya Bank	Vadodara
Bank of India	1906	—	Mumbai
Bank of Maharashtra	1935	—	Pune
Canara Bank	1906	Syndicate Bank	Bengaluru
Central Bank of India	1911	—	Mumbai
Indian Bank	1907	Allahabad Bank	Chennai
Indian Overseas Bank	1937	—	Chennai
Punjab and Sind Bank	1908	—	New Delhi
Punjab National Bank	1894	Oriental Bank of Commerce, United Bank of India	New Delhi
State Bank of India	1955	SB of Bikaner & Jaipur, Hyderabad, Indore, Mysore, Patiala, Saurashtra, Travancore, Bhartiya Mahila Bank	Mumbai
UCO Bank	1943	—	Kolkata
Union Bank of India	1919	Andhra Bank, Corporation Bank	Mumbai

List of Scheduled Private Sector Banks (as on 31.03.2025)

Bank	Estd.	HQ	Branches (as printed)
Axis Bank Ltd.*	1993	Mumbai/Ahmedabad	5,876
Bandhan Bank Ltd.	2015	Kolkata	1,500
Catholic Syrian (CSB) Bank Ltd.	1920	Thrissur	832
City Union Bank Ltd.	1904	Kumbakonam	875
DCB Bank Ltd.	1930	Mumbai	464
Dhanlaxmi Bank Ltd.	1927	Thrissur	261 (as on 31.03.2024)
Federal Bank Ltd.	1931	Aluva	1,518
HDFC Bank Ltd.	1994	Mumbai	9,455
ICICI Bank Ltd.	1994	Mumbai	6,742 (as on 31.12.2024)
IndusInd Bank Ltd.	1994	Mumbai	3,063
IDFC First Bank Ltd.	2015	Chennai	971
Jammu & Kashmir Bank Ltd.	1938	Srinagar	996 (as on 31.03.2024)
Karnataka Bank Ltd.	1924	Mangaluru	960
Karur Vysya Bank Ltd.	1916	Karur	840
Kotak Mahindra Bank Ltd.	2003	Mumbai	1,869 (as on 31.12.2023)
Nainital Bank Ltd.***	1922	Nainital	139
RBL Bank Ltd.	1943	Kolhapur	561
South Indian Bank Ltd.	1929	Thrissur	955
Tamilnad Mercantile Bank Ltd.	1921	Thoothukudi	572
Yes Bank Ltd.	2004	Mumbai	1,200+
IDBI Bank Ltd.	1964	Mumbai	2,000+
Lakshmi Vilas Bank Ltd.**	1926	Karur	570

*UTI Bank renamed Axis Bank Ltd. w.e.f. 31 July 2007. **LVBL merged into DBS Bank India Ltd. on 27 Nov 2020 (DBS India has 280 branches in Asia). ***Nainital Bank is an SCB with Bank of Baroda holding 98.57% shareholding.

Bank owned by a State Government: **State Bank of Sikkim** (as on 31 March 2025). RRBs: 43 in India; Foreign Banks: 44 (as on 31 March 2025). Public sector banks account for >92% of India's total banking business (SBI + associates + 11 other banks). Commercial banks mobilise urban savings for industrial/trading working-capital needs.

Oudh Commercial Bank — first complete commercial bank of India. Imperial Bank established 1921 (merger of three Presidency Banks); nationalised 1955 on recommendation of the **Gorewala Committee**, rechristened State Bank of India. In 1959, 7 regional banks nationalised as SBI Associate Banks. On 19 July 1969, 14 big banks (deposits $\geq$ ₹50 crore) nationalised; 15 April 1980, 6 more nationalised — total nationalised banks = 27 (19 + SBI + 7 SBI Associates). Before New Bank of India's 1993 merger into PNB, the count was 28. After State Bank of Saurashtra (2008) and State Bank of Indore (2010) merged into SBI, Associates fell to 5; after State Bank of Bikaner & Jaipur, Mysore, Travancore, Patiala and Hyderabad also merged (with Bhartiya Mahila Bank) w.e.f. 1 April 2017, SBI Associates became zero.

Reforms in Banking Sector

Jan-Dhan-Aadhaar-Mobile (JAM) linkage, interoperable Bank Mitras, UPI and DBTs expanded digital transactions. PSB reform agenda = **EASE (Enhanced Access & Service Excellence) Reforms** — governance, prudential lending, risk management, technology, HR outcomes. Amalgamation improved sector efficacy via economies of scale, cheaper fund-raising, stronger financial capacity, tech adoption. Amendments to the Prevention of Corruption Act 1988 protect bona-fide banking decisions from inquiry without approval, supporting prudent risk-taking. Banking Regulation (Amendment) Act 2020 strengthened co-operative bank regulation (professionalism, capital access, governance, sound banking via RBI). IBC used for large stressed-account resolution; ARC regulatory framework amended for transparency/governance. (Source: BHARAT 2025)

Digital Banking Units (DBUs) — announced in Union Budget 2022-23; 75 DBUs in 75 districts dedicated by the PM on **16 October 2022** to mark 75 years of independence (Azadi Ka Amrit Mahotsav).

UPI — indigenous digital payment system, multi-bank single-app transfers. Grew from 92 crore transactions (FY2017-18) to 13,116 crore (FY2023-24), CAGR 129%. Live internationally in UAE, Bhutan, Nepal, Singapore, Mauritius, France, Sri Lanka; RuPay card acceptance live in Nepal, Bhutan, Singapore, Mauritius, UAE. (Source: BHARAT 2025)

Scheduled/Non-Scheduled Banks, RRBs, Co-operative & Development Banks

Scheduled banks — listed in RBI Act 1934's second schedule; paid-up capital + reserves $\geq$ ₹5 lakh, RBI-satisfied depositor interest. All commercial (Indian/foreign), RRBs and state co-operative banks are scheduled. **Non-scheduled banks** — not in the second schedule; only one such bank currently exists in India.

RRBs — first established 2 October 1975; RRB Act 1976 to complement cooperative credit for rural/agri credit; ownership: GOI 50%, State Govt 15%, sponsor bank 35%; targets small/marginal farmers, agri labourers, rural artisans, small entrepreneurs. Total RRBs: 43 (DoFS). Per Economic Survey 2024-25: RRBs have 22,069 branches across 700 districts, 26 states, 3 UTs.

Co-operative Banks — organised under state Co-operative Credit Societies laws; mainly benefit agriculture/rural sector; first established 1904; two kinds — agricultural (dominant) and non-agricultural. Structure: State Co-operative Bank (apex) → Central Co-operative Banks (district) → Primary Agricultural Credit Societies (village); long-term agri credit via Land Development Banks. 1991: Narasimham Committee constituted to advise on banking-system reconstruction.

Development Banks: **IDBI** (1964) — finance to large/medium industry. **IFCI** (1948) — project finance + promotional services. **ICICI** (1955) — term loans in Indian/foreign currency, underwriting shares/debentures. **SIDBI** (1989, as printed here — vs "1990" elsewhere in the source) — assistance to small-scale industries via state finance/industrial corporations, commercial banks. **EXIM Bank** (1982) — wholly GOI-owned, finances/facilitates India's foreign trade; authorised capital raised to ₹20,000 crore; Net Worth (as on 31.12.2023) ₹22,299 crore.

Housing, Rural & International Financial Institutions

National Housing Bank (NHB) — started 1988; develops housing finance. **NABARD** — established 1982, initial capital ₹100 crore; paid-up capital ₹17,080 crore against authorised ₹30,000 crore (as on 31 March 2024); apex refinancing agency for agricultural-finance institutions.

New Development Bank (NDB) — instituted 2015 to fund infrastructure/sustainable development in emerging economies; founding members Brazil, Russia, India, China, South Africa (BRICS); USD 1 billion initial capital contribution.

Asian Infrastructure Investment Bank (AIIB) — set up 2016, Multilateral Development Bank for Asian infrastructure/sustainable development; India a founding member and **2nd-largest shareholder**; India

+ 20 other countries signed the founding MoU in Beijing.

IFAD (International Fund for Agricultural Development) — set up 1977, 13th specialised UN agency; fights rural poverty/hunger; 176 member countries in 3 lists (A: Developed, B: Oil-Producing, C: Developing); India is in List-C, a founder member, contributed US\$147.0 million.

IMF — India a founder member; 188 member nations; Board of Governors has 1 Governor + 1 Alternate Governor per country; India's Finance Minister is ex-officio Governor, RBI Governor is Alternate Governor; India's IMF constituency also includes Bangladesh, Bhutan, Sri Lanka. (Source: INDIA 2024)

World Bank — India a founder member of IBRD (189 members) which with IDA (173 members) forms the "World Bank"; IBRD serves middle-income/creditworthy low-income countries; IDA serves the poorest countries via "credits"/grants. India borrows for poverty reduction, infrastructure, disaster mitigation, rural development. (Source: INDIA 2024)

Asian Development Bank (ADB) — established 1966, India a founding member; 68 members (49 regional + 19 non-regional); HQ Manila; India held 6.32% shares (6,72,030 shares) with 5.35% voting rights (as on 31 Dec 2021); India began borrowing from ADB in 1986. (Source: ADB)

Insurance Sector

Public sector insurers: LIC, National Insurance Co. Ltd, Oriental Insurance Co. Ltd, United India Insurance Co. Ltd, New India Assurance Co. Ltd, General Insurance Corporation of India Ltd, Agriculture Insurance Company of India Ltd, Export Credit Guarantee Corporation of India Ltd. Industry growth: ~11% CAGR over 5 years; total premium ~₹10 lakh crore (FY2022-23); AUM ~₹60 lakh crore (March 2023). (Source: BHARAT 2025)

Insurance = spreading the loss of a few over many; two sectors — Life & General Insurance. Life insurance introduced by the British; **Oriental Life Insurance Company, Calcutta, 1818** (British firm).

LIC established September 1956; GIC established November 1972. Indian insurance has low rural penetration, low turnover/profitability despite high premiums. **Committee on Insurance Sector Reforms** set up 1993 under **R.N. Malhotra**, report 1994. Sector opened to private participation via the **IRDA Act, 1999**; IRDA HQ Hyderabad.

Per INDIA 2023: LIC has a Central Office (Mumbai), 8 Zonal Offices (Mumbai, Kolkata, Delhi, Chennai, Hyderabad, Kanpur, Bhopal, Patna), 113 Divisional Offices, 73 Customer Zones, 2,048 Branch Offices, 1,401 Satellite Offices, 1,240 mini offices (as on 21 Sept 2022). LIC operates internationally in 14 countries — Branch Offices in Fiji, Mauritius, UK; Joint Ventures in Bahrain, Nepal, Sri Lanka, Kenya, Saudi Arabia; wholly-owned subsidiary LIC (Singapore) established April 2012.

Post Office Financial Services & Postal/Rural Postal Life Insurance

Department of Posts runs Small Savings Schemes for the Ministry of Finance; POSB serves via 1.57 lakh post offices; operates Savings Accounts, RD, TD, MIS, PPF, NSC, KVP, SCSS, Sukanya Samriddhi Account. **PMSBY** and **PMJJBY** launched 2015 in all CBS post offices; **Atal Pension Yojana (APY)** also launched 2015; **Sukanya Samriddhi Account** launched 2015 for the girl child.

Postal Life Insurance (PLI) — introduced **1 February 1884** for postal employees, extended to telegraph-department employees in 1888. >49 lakh active policyholders by March 2023, sum assured ₹2.56 lakh crore; premium income FY2022-23 = ₹10,253.26 crore. **Rural Postal Life Insurance (RPLI)** — started 1995; >55 lakh active policyholders by March 2023, sum assured ₹1.73 lakh crore; premium income FY2022-23 = ₹3,992.72 crore. (Source: INDIA 2024)

Important Banking Terminology (Lucent glossary, full 16-term list)

1. **Bank Rate** — rate at which the central bank finances commercial banks; a short-term tool; upward revision signals banks to raise deposit/base rates too.
2. **Basis Points** — 1 percentage point = 100 basis points (e.g. 2%→3% = 100 bps rise).
3. **LRR (Legal Reserve Ratio)** = CRR + SLR. **CRR** — funds banks must keep with RBI; ↑CRR drains excess money from banks.
4. **SLR** — reserve a bank must hold as cash/gold/approved govt securities before lending; controls credit expansion, ensures solvency, controls inflation/propels growth via money-supply control.
5. **Repo Rate** — rate at which commercial banks borrow rupees from RBI; ↓repo → cheaper bank borrowing; ↑repo → costlier.
6. **Reverse Repo Rate** — rate at which RBI borrows from commercial banks; "always 1% less than the Repo Rate" (as printed — contradicted by the Dec-2023 rate table above, see DOUBT).

7. **NEFT (National Electronic Fund Transfer)** — slower than RTGS, RBI-mediated, any amount transferable (even ₹1).
8. **RTGS (Real Time Gross Settlement)** — real-time, gross-basis fund/security transfer, no waiting period; minimum ₹2 lakh, no upper limit.
9. **LAF (Liquidity Adjustment Facility)** — RBI tool for day-to-day liquidity mismatches via repo/reverse-repo operations.
10. **MSF** — overnight bank borrowing from RBI against G-Secs; "always 1% more than the Repo Rate" (as printed — see DOUBT above).
11. **NOSTRO Account** — an Indian bank's account maintained abroad.
12. **VOSTRO Account** — a foreign bank's account maintained in India with its correspondent bank.
13. **CRAR** — capital / aggregated risk-weighted assets (credit + market + operational risk).
14. **SDR (Special Drawing Rights)** — international reserve asset created by the IMF in 1967; value based on a currency portfolio; accounting entries, not physical/hard currency or gold.
15. **BOND** — publicly traded long-term debt security; issuer pays fixed interest over a period and repays principal at maturity.
16. **NPA (Non-Performing Asset)** — a loan/leased asset that stops generating income for the bank; becomes NPA after 90 days of missed interest/principal payments.

NEFT details — began operations 21 November 2005, one settlement/day, 8 participating banks initially; grew to 216 banks with half-hourly batches (8am–7pm); handles ~10.5 million transactions/day averaging ~₹80,000 crore. Processing charges waived from 1 July 2019. 24×7 NEFT from 16 December 2019 (barring a half-hour post-midnight break in some cases).

Currency, Coinage & Demonetisation

SPMCIL (Security Printing and Minting Corporation of India Ltd.) — the only PSU under the Department of Economic Affairs; formed by corporatising 9 units (4 mints, 4 presses — 2 currency-note + 2 security presses, 1 paper mill); incorporated 2006 under the Companies Act 1956; manufactures security paper, mints coins, prints currency/bank notes, non-judicial stamp papers, postage stamps, travel documents. Supplies currency/coins to RBI, stamp papers to states, postal stationery to the Postal Dept, passports/visa stickers to MEA, plus commemorative coins and MICR/non-MICR cheques. In 2010, SPMCIL formed a 50:50 JV with BRBNMPL named **Bank Note Paper Mill India Pvt Ltd (BNPMIPL)** — a greenfield bank-note paper mill, capacity 12,000 MT/year (two 6,000 MT lines). (Source: BHARAT 2025)

Demonetisation — GOI demonetised ₹500 and ₹1,000 notes on **8 November 2016**; these Mahatma Gandhi-series notes ceased legal tender from 9 November 2016; new ₹500 and ₹2,000 Mahatma Gandhi New Series notes issued in exchange; ₹100/50/20/10/5 notes remained legal tender, unaffected. Stated aims: curbing counterfeiting/terror-funding and cracking down on black money. (Source: INDIA 2021)

Appendix

A.1 — PYQ citation index

Fact tested	Exam • Date • Shift
Modern currency = fiat money, not gold-backed	SSC CGL Tier-I, 25/09/2025 (Sh-03)
Reserve Money NOT = "Savings Money"	SSC Phase XIII, 29/07/2025 (Sh-03)
Cambridge approach = Cash Balance Approach	SSC Phase XIII, 31/07/2025 (Sh-03)
Keynesian theory of demand for money = Liquidity Preference	SSC Phase XIII, 28/07/2025 (Sh-03)
Financial intermediaries transmit MPC policy (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-01)
CRR/SLR ↑ reduces (not increases) lending capacity (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Money multiplier factors (cash leakage, reserves, CRR)	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Post-1991 banking reform = prudential norms/CRAR	SSC Stenographer, 08/08/2025 (Sh-02)
Narasimham-II: merge/consolidate PSBs	SSC Stenographer, 07/08/2025 (Sh-01)
BFS established 1994, post-1991 reforms	SSC Stenographer, 06/08/2025 (Sh-03)

Bank deposits = liability; OMO; Bank Rate (statements)	SSC Stenographer, 06/08/2025 (Sh-02)
Narasimham-I: foreign banks encouraged to expand	SSC Stenographer, 06/08/2025 (Sh-02)
Bank nationalisation year = 1969	SSC Phase XIII, 29/08/2025 (Sh-01)
Banking Ombudsman Scheme first introduced 1995	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
Malhotra Committee report year = 1994	SSC CHSL Tier-I, 28/11/2025 (Sh-02); 24/11/2025 (Sh-02, constituted 1993)
BCSBI set up 18 Feb 2006	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
BCSBI Code of Commitment, July 2006	SSC CHSL Tier-I, 22/11/2025 (Sh-03)
BRBNMPL established 3 Feb 1995	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
SLR = mandatory liquid-asset (gold/G-Sec) requirement	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Expansionary monetary policy = rate cut to stimulate growth	SSC Phase XIII, 28/07/2025 (Sh-02)
Repo rate definition	SSC Stenographer, 08/08/2025 (Sh-03)
RBI Governors chronological order	SSC Stenographer, 06/08/2025 (Sh-03)
Debt monetisation = RBI buys govt bonds directly	SSC Phase XIII, 26/07/2025 (Sh-02)
RBI publishes FSR + DBIE	SSC CHSL Tier-I, 22/11/2025 (Sh-02)
FI-Index parameters: Access, Usage	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Disinvestment = selling PSU shares	SSC CHSL Tier-I, 17/11/2025 (Sh-03)
Maharatna/Navratna/Miniratna match (SAIL/MTNL/IRCTC)	SSC Stenographer, 07/08/2025 (Sh-03)
CCIL established 2001	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
SEBI Insider Trading Regulations = 1992	SSC CHSL Tier-I, 13/11/2025 (Sh-01)
PFRDA established 2003	SSC CHSL Tier-I, 17/11/2025 (Sh-03)
SEBI underwriter regulations = 1993	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
IRDAI objective = protect policyholders	SSC Stenographer, 08/08/2025 (Sh-02)

A.2 — PYQ-book-only facts (not in Parmar/Lucent for this batch)

Board for Financial Supervision (BFS, established 1994); Banking Codes and Standards Board of India (BCSBI, set up 18 Feb 2006; Code of Commitment July 2006); Bharatiya Reserve Bank Note Mudran Pvt Ltd (BRBNMPL, established 3 Feb 1995); Clearing Corporation of India Ltd (CCIL, established 30 April 2001); Financial Inclusion Index (Access/Usage/Quality parameters); RBI's Financial Stability Report and Database on Indian Economy (DBIE); Maharatna/Navratna/Miniratna PSU examples (SAIL/MTNL/IRCTC); SEBI's Insider Trading Regulations (1992) and underwriter regulations (1993) — none of these appear in Parmar Ch.6-8 or Lucent §9/§11; sourced transparently to the PYQ book's own explanation text.

A.3 — Doubts carried forward from the raw extraction

Reverse-repo/MSF "always $\pm 1\%$ of repo" claims contradict Lucent's own Dec-2023 rate table; SIDBI's founding year is given as both 1989 and 1990 within Lucent; SCB totals are given as both 137 and 136; "12 Nationalised Banks" (pre-2019-20-merger count) is not reconciled with the current count; NABARD's paid-up-capital figure is partly faded in the source scan; all regulator/chairperson tables, PSU bank lists, branch counts, and world-ranking tables are explicitly time-stamped as of 2023-2025 dates and are not current as of today (Sept 2026) — verify before relying on any of them. All preserved per the source's own verbatim-transcription policy, not corrected.

ECONOMY — Poverty, Balance of Payments & Trade

Batch 6 of 10 · Sources: Parmar Ch.9 (Poverty and BoP) + Lucent §3 (Characteristics of Indian Economy / Poverty) + §15 (Trade and Commerce) · PYQ bucket "11 Foreign Trade & International Institutions" (34 Qs) · ★ = tested in a real past SSC paper

Rangarajan Committee's PSL/Financial-Inclusion angle is cross-referenced in Batch 5; full Rangarajan poverty-line detail is below.

1 Poverty — Concept, Types & Estimation Lineage (Parmar Ch.9)

Poverty = lacking financial resources/essentials for a basic standard of living; diverse causes/effects (environmental, legal, social, economic, political). **Types: Absolute** (lacking food/water/shelter/clothing/healthcare/education), **Relative** (income far below society's average), **Subjective** (feeling poor regardless of income, driven by comparison/expectation/psychology). **Poverty Gap Index** measures the depth of poverty (how far below the line). **World Poverty Clock** — managed by World Data Lab, real-time global poverty estimates. Poverty estimation in India = **NITI Aayog's task force**, using NSSO data (under MoSPI); BPL = income/spending below a set minimum.

Committee/estimate	Basis	Poverty line
Dadabhai Naoroji (pre-Independence)	"Poverty and Un-British Rule in India" — earliest estimate; he was also the first to estimate India's National Income	₹16–35/capita/year
National Planning Committee (1938)	Set up by Subhas Chandra Bose, chaired by J.L. Nehru; based on a minimum standard of living incl. nutrition	₹15–20/capita/month
Bombay Plan (1944)	Proposals by influential Bombay business leaders for India's development	₹75/capita/year
V.M. Dandekar & N. Rath (1971)	First systematic assessment (NSSO-based), expenditure-based; 2250 cal/day in both rural and urban areas	—
Alagh Committee (1979)	Chaired by Y.K. Alagh; nutritional-requirement + consumption-expenditure basis	Rural 2400cal→₹49.09/mo; Urban 2100cal→₹56.64/mo
Lakdawala Committee (1993, printed "Lakadawala")	Household per-capita consumption expenditure; used CPI-IW & CPI-AL; recommended state-specific poverty lines, calorie basis retained	—

Tendulkar Committee (set up 2005, report 2009) ★	Poverty line based on Purchasing Power Parity; moved away from calorie model; broadened basket incl. private health/education spend; replaced URP with Mixed Reference Period (MRP: 30-day recall for food/frequent items, 365-day recall for infrequent non-food)	2011-12: Rural ₹816/mo, Urban ₹1,000/mo (₹33/day PPP-based); overall poverty 21.9% (Rural 25.7%, Urban 13.7%)
Rangarajan Committee (2012, report 2014)	3 poverty-basket components — food items, essential non-food, behaviourally-determined non-food; includes protein/fat besides calories; introduced Mixed Modified Reference Period (weekly/monthly/yearly)	Rural ₹972/mo, Urban ₹1,407/mo

Trends: 2004-05 — 407 million poor (37.2% BPL; Rural 41.8%, Urban 25.7%); 2011-12 — 270 million poor (21.9%). Poverty declined 0.74%/year (1993-94 to 2004-05) vs 2.4%/year (2004-05 to 2011-12). **State-wise (2011-12):** Highest poverty — Chhattisgarh (39.9%), Jharkhand (37%), Bihar (33.7%); Lowest — Goa (5.09%), Kerala (7.1%). **Types of Poor:** **Usually Poor** (normally BPL), **Churning Poor** (move in/out of poverty), **Occasionally Poor** (normally above the line).

HOOK MPI (Multidimensional Poverty Index) — introduced **2010** by UNDP + OPHI; 3 dimensions (Health — nutrition/child mortality; Education — years of schooling/school attendance; Living Standards — cooking fuel/sanitation/drinking water/electricity/housing/assets), 10 indicators. **National MPI** (NITI Aayog, Nov 2021) uses **12 indicators** (adds antenatal care + bank account) — India's multidimensional poverty declining since 2005-06; **24.82 crore people escaped multidimensional poverty** in 9 years; UP = most people lifted out; **Bihar = highest MPI (most poor), Kerala = lowest MPI.**

Head Count Ratio (HCR) = % of population living BPL (poverty headcount index) = No. of multidimensionally poor / Total population. **ILO's 6 Basic Needs:** Education, Food, Clothing, Shelter, Health Care, Safe Drinking Water. **HDI** — concept given by **Amartya Sen & Mahbub ul Haq**, introduced 1990; score 0-1; Dimensions→Indicators→Index: Long/healthy life→Life expectancy at birth→Life Expectancy Index; Knowledge→Expected/Mean years of schooling→Education Index; Decent standard of living→GNI per capita (PPP\$)→GNI Index.

2 Poverty in India — Lucent §3 (Full History & Latest World Bank Data)

Indian Economy's characteristics (Lucent §3): (1) **Agrarian Economy** — 54.6% of population in agriculture/allied activities (Census 2011), contributing 17.8% of GVA in 2019-20 (INDIA 2023). (2) **Mixed Economy** — blend of public/private, moving toward a capitalist/market economy post-liberalisation. (3) **Developing Economy** — high structural unemployment (a person is "employed" if working 273 days/year, 8 hrs/day); low savings due to low income + high consumption; 2nd most populous nation (2001-2011 growth 17.69%, ~1.85 crore added/year; 2011 population 121.07 crore = 17.5% of world population on just 2.42% of world land); lacks large-scale modern industrialisation.

Primary sector = agriculture, forestry, fishing, mining/quarrying; Secondary = industry, manufacturing, electricity/gas/water/utilities, construction; Tertiary = business, transport, communication, all services. **Best indicator of economic development = per capita income.** Key development factors: natural resources, capital gain, skilled labour, agri surplus sale, justified social organisation, political freedom, freedom from corruption, technological knowledge/education. **WPI** covers 3 major groups: primary articles, fuel & power, manufactured products.

Measuring Poverty in India (history): First official rural/urban poverty lines introduced **1979 by the Y.K. Alagh Committee**. 1993 — **D.T. Lakdawala Committee** extended lines to states. 2005 — govt

appointed the **Tendulkar Committee** (rural line seen as too low); reported 2009, revised the rural line upward. 2012 — **Rangarajan Committee** appointed after media criticism; reported June 2014, recommended raising both rural/urban lines further — decision still pending, so the **Tendulkar line remains the official poverty line** (basis for 1993-94/2004-05/2011-12 estimates). (Source: NITI Aayog) **Six official poverty committees since Independence:** Planning Commission Working Group (1962), V.M. Dandekar & N. Rath (1971), the 1979 Task Force/"Separate Committee" (Alagh), Lakdawala Committee (1993), Tendulkar Committee (2009), Rangarajan Committee (2014).

BPL statistics (2011-12): Rangarajan Committee — 30.95% rural, 26.4% urban BPL, vs Tendulkar methodology's 25.7% rural / 13.7% urban (Source: The Indian Express, 4 July 2015 & Economic Survey 2015-16). Separately, ~22% of Indians live BPL — 25.7% rural, 13.7% urban (per RBI, Source: Financial Express, 21 Sept 2019).

HOOK **World Bank's Spring 2025 Poverty and Equity Brief** — India's extreme poverty (int'l benchmark \$2.15/day) fell sharply from **16.2% (2011-12) to 2.3% (2022-23)**, lifting **171 million people** out of extreme poverty. Rural extreme poverty: 18.4%→2.8%; Urban: 10.7%→1.1%. At the **\$3.65/day (lower-middle-income) line**: 61.8%→28.1% (378 million lifted); Rural 69%→32.5%, Urban 43.5%→17.2%; rural-urban gap narrowed 25→15 points (7% annual decline). **Non-monetary/MPI poverty**: 53.8% (2005-06)→16.4% (2019-21)→15.5% (World Bank's measure, 2022-23). With 2021 PPPs and revised international lines, 2022-23 rates are projected at 5.3% (extreme) and 23.9% (lower-middle-income). India's consumption-based **Gini index improved from 28.8 (2011-12) to 25.5 (2022-23)**.

PEBs (Poverty and Equity Briefs) — World Bank publication, twice yearly (Spring + Annual Meetings), covering 100+ developing countries; uses national poverty lines plus international benchmarks \$2.15 (extreme), \$3.65 (lower-middle-income), \$6.85 (upper-middle-income).

Employment trends (World Bank, since 2021-22): employment growth has outpaced working-age population growth, especially for women; Urban unemployment fell to 6.6% in Q1 FY24/25 (lowest since 2017-18); first male rural-to-urban worker shift since 2018-19; rural female agri-employment growth; rising self-employment, especially rural women. (Source: PIB, MoIB, 26 April 2025)

3 Balance of Payments (BoP) — Structure (Parmar Ch.9)

Current Account	Capital Account
Visible items (physical goods exports/imports — tangible), Invisible items (services e.g. shipping/banking — intangible), Transfer Payments (unilateral — remittances, foreign aid). India is the top global remittance receiver , Mexico 2nd	Foreign Investments (FDI, FPI etc.), External Assistance/Deposits/Borrowings, Other Flows; monitors purchase/sale of non-financial assets like land/property

HOOK Current Account: receipts > payments = **surplus** ★ (net lender to the world); payments > receipts = **deficit** (NOT "balance" — a tested trap, "balance" only when receipts = payments exactly ★). **FDI** = long-term, ≥10% equity in a foreign physical asset (e.g. Walmart-Flipkart). **FPI/FII** = short-term financial-asset investment, <10% equity (stocks, bonds, mutual funds, NRI deposits) ★. FDI limit in the defence sector, enhanced 2020: up to 74% via Automatic route, up to 100% via Government route.

HOOK Circular-flow view of trade ★: **Imports = leakage** (money flows abroad, ↓ aggregate demand) ★; **Exports = injection** (foreign money flows in, ↑ aggregate demand) ★ — a directly tested statement pair, both correct.

Current Account Deficit = imports > exports; includes trade balance, net foreign income, foreign aid, net current transfers. **Twin Deficit** = simultaneous current account deficit + fiscal deficit.

4 The 1991 BoP Crisis

TRAP 1991 crisis = shortage of **foreign exchange** ★ (not water/electricity/labour). By **June 1991**, reserves fell to ~\$1-1.1 billion ★ — enough for only ~2 weeks of imports ★ (petroleum/essentials). Causes: fiscal deficit, foreign-debt repayment failure, Gulf War oil-price spike, inflation ★ — NOT natural disaster or migration (tested distractors).

BoP/currency crisis occurs when a nation can't pay for essential imports or repay foreign debt. India faced this in **1991** under PM P.V. Narasimha Rao, FM Manmohan Singh; the government responded with broad reforms under the **LPG model** (Liberalisation, Privatisation, Globalisation).

India approached the **IMF and World Bank** ★ for a **\$7 billion** loan ★ (via IBRD) — conditions: structural reforms under **SAP** (Structural Adjustment Programme) — privatisation, trade liberalisation, fiscal discipline, FDI opening ★.

HOOK Rupee **devalued in two stages, July 1991** ★, cumulative ~**18-20%** against USD ★ — objective: cheaper/competitive exports, discourage imports, boost forex inflow ★. **Devaluation → improved export competitiveness** ★ (weaker rupee = cheaper Indian goods abroad — a tested Assertion-Reason, both true, R explains A).

Rupee made **fully convertible on Current Account, 1994** ★ (RBI, under IMF Article VIII) — **Current Account Convertibility** = freedom to convert rupee for trade transactions (imports/exports/remittances/travel). **Capital Account Convertibility** = freedom to convert for capital transactions (foreign investment, loans, overseas asset purchase) — in India, only **partially convertible**, regulated by RBI.

Tarapore Committee — constituted **1997** by RBI (reviewed again 2006) under **S.S. Tarapore**; examined Capital Account Convertibility (CAC) feasibility; recommended a phased roadmap subject to preconditions — low fiscal deficit, controlled inflation, strong banking sector (low NPAs), stable financial system.

5 FOREX Reserves, IMF/World Bank & Related Institutions

Forex reserves = assets held by a nation's central bank/monetary authority for import cover and shock protection. 4 components: **Foreign Currency Assets (FCA)**, **Gold reserves**, **Special Drawing Rights (SDRs)** (a.k.a. "Paper Gold"), **Reserve Tranche Position in the IMF** (higher IMF quota = higher voting power). SDR basket currencies: US Dollar, Euro, Yen, Yuan, Pound.

HOOK **Bretton Woods Conference, 1944** (officially the United Nations Monetary and Financial Conference) — 44 nations, 730 delegates → created **IMF + World Bank** (Twin Organisations), HQ Washington D.C.; also created the **IBRD** (now part of World Bank). Bretton Woods system collapsed 1971 (US suspended gold convertibility). India ranks **8th in IMF voting power**. Top IMF borrowers: Argentina, Egypt, Ukraine, Pakistan, Ecuador.

The **Washington Consensus** — 10 free-market policy prescriptions (John Williamson, 1989) for crisis-prone developing nations (esp. Latin America), promoted by IMF/World Bank/US Treasury: privatisation, deregulation, trade liberalisation, fiscal discipline. **IMF major reports**: World Economic Outlook, Global Financial Stability Report, Fiscal Monitor, External Sector Report.

Body	Role
WTO ★	Promotes free & fair trade ★ — does NOT allow arbitrary restrictions (only limited, rule-based protective measures) ★ — a tested Assertion-true/Reason-false pair
IMF ★	Loans with Structural Adjustment Programme (SAP) conditions ★ — liberal reforms, privatisation, fiscal discipline (used in India's 1991 reforms)
IBRD	Main World Bank Group institution — "International Bank for Reconstruction and Development" ★, approached by India in 1991

NOSTRO ("our") account — domestic bank's foreign-currency account in a foreign bank ("our account/money in your bank"), for int'l trade/transactions. **VOSTRO** ("your") account — foreign bank's domestic-currency account in a domestic bank ("your account/money in our bank"), lets foreign banks transact domestically.

6 Exchange Rate Mechanisms, Terms & Regime Evolution

Act	Feature
FERA, 1973	Simplify forex system; violation was a criminal offence ; abolished — rigid rules were hindering growth
FEMA, 1999	Replaced FERA; enhances forex reserves, promotes trade/payments; violation is a civil offence (decriminalised, user-friendly)

Term	Meaning
Depreciation	Market-driven fall in domestic currency value (exporters benefit)
Appreciation	Market-driven rise in domestic currency value (rising demand for the currency)
Devaluation	Govt-induced fall under a fixed exchange rate system — more beneficial if export prices rise proportionately (e.g. 1991)
Revaluation	Govt-induced rise under a fixed exchange rate system

Depreciation/Appreciation occur under a **Floating Exchange Rate** system (market-determined by supply/demand); a fixed currency rate is often called a **pegged** rate.

Lorenz Curve — graphs income/wealth distribution within a population, measuring inequality; **Gini Coefficient** 0 (perfect equality) to 1 (perfect inequality).

Exchange rate regime evolution in India: 1928-1948 — Rupee pegged to British Pound Sterling; Post-1948 (IMF system) — pegged to US Dollar (Fixed Exchange Rate); 1975 — delinked from Pound Sterling; 1992 — LERMS (Liberalised Exchange Rate Management System, dual rate: part govt-controlled, part market); 1993 — fully Market-Determined/Floating Exchange Rate System.

NEER (Nominal Effective Exchange Rate) — weighted average of domestic currency vs. a trade-weighted basket, no inflation adjustment. **REER (Real Effective Exchange Rate)** — NEER adjusted for inflation, shows real external competitiveness.

Types of Currency: **Hard** (stable, widely accepted — USD, Euro), **Soft** (weak, not widely accepted), **Hot** (moves quickly for short-term profit on rate changes), **Heated** (under heavy demand/speculation), **Cheap** (depreciated/low value), **Dear** (appreciated/high value).

7 Tax Evasion, Money Laundering & Anti-Avoidance (Parmar Ch.9)

BEPS (Base Erosion and Profit Shifting): **Base Erosion** = shell companies across jurisdictions break the audit trail, reducing taxable profit in a high-tax jurisdiction; **Profit Shifting** = moving those "eroded" profits to a low/no-tax jurisdiction (e.g. Cayman Islands, Bahamas) with little real economic activity.

Round Tripping = domestic black money sent abroad then brought back as FDI via shell companies/tax havens to appear legitimate.

FATF (Financial Action Task Force) — HQ Paris, founded July 1989 (G7); sets global anti-money-laundering/terror-financing standards. **Three Stages of Money Laundering:** (1) **Placement** — illegal funds enter the financial system; (2) **Layering** — concealing origin, separating from source; (3)

Integration — funds fully absorbed into the economy.

Shell Company — a paper-only corporate entity with little/no real business, used to hold assets, route funds, or hide real ownership. **Minimum Alternate Tax (MAT)** — Section 115JB, Income Tax Act 1961; ensures companies with high exemptions still pay minimum tax when normal tax liability is below 15% of "book profit" (per financial statements, calculated per Companies Act 2013); applies to all domestic/foreign companies; prevents "zero-tax" profitable companies.

8 Trade Policy — Pre & Post 1991

TRAP 1947-1990 trade policy ★ = Import Substitution (inward-looking, protect domestic industry via high tariffs/quotas — avg import duty >125% ★, govt license mandatory for most imports) — NOT free trade or export-oriented (repeatedly tested distractors across multiple phrasings of the same fact).

Tariff Measures ★	Non-Tariff Measures ★
Import taxes, export taxes ★ (both — a tested "which is tariff" question)	Anti-dumping measures, Technical Barriers to Trade (TBT), labeling/quality standards ★ (both correct in a tested question)

Bilateral trade agreement ★ — primary goal: **promote free trade between two countries ★** (reduce/eliminate customs duties, quotas). **FTA (e.g. BIMSTEC) ★** — reduce trade barriers, boost economic cooperation (not common currency or cultural exchange).

SAARC Currency Swap Framework (2024-27) ★ — RBI provides short-term liquidity to SAARC nations during forex crises. **BIMSTEC Technology Transfer Facility** — MoA signed **5th BIMSTEC Summit, Colombo, 30 March 2022 ★**; BIMSTEC established **6 June 1997** (Bangkok Declaration), 7 members

(Bangladesh, India, Sri Lanka, Myanmar, Thailand, Nepal, Bhutan). **SAFTA Article 23 ★** = Dispute Settlement provision (NOT unilateral tariff reservations — a tested Assertion-true/Reason-false).

Fact	Detail
First EPZ (India & Asia) ★	Kandla, Gujarat, 1965 ★ — foreign exchange, export promotion, industrial infra
FIPB ★	Constituted under PMO ★, initially chaired by Principal Secretary to PM ★ ; single-window FDI clearance; moved to DIPP then DEA; abolished 2017 ★
Merchandise Exports from India Scheme (MEIS)	Launched 1 April 2015 ★ , FTP 2015-20; replaced by RoDTEP from 1 Jan 2021
EOU minimum investment	₹1 crore in plant & machinery ★
Kaladan Multimodal Transit Transport Project ★	Links India (Kolkata port) to Myanmar ★ (Sittwe port) → Mizoram by road; bypasses the "Chicken's Neck"

9 Lucent \$15 — Trade and Commerce: History & Foreign Trade Evolution

Indian trade was highly developed in ancient times. After the British East India Company (1600), trade favoured India till 1757 (Company bought cloth/spices for costly metals). The British then imposed heavy duty on cloth to destroy India's industry; post-Industrial-Revolution Britain flooded world markets with cheap goods, driving colonisation. British monopoly on cotton sale made Indian weavers' raw material costlier — by 1813 the Indian handloom business was ruined. Late 19th century: power-machine-based modern (textile) industries emerged in India.

Pre-independence foreign trade ran on colonial principles; post-independence, India adopted **inward-looking policies based on import replacement**. India's world-trade share: 1.78% (1950) → 0.6% (1995, persisting through 1997-98 per Economic Survey 2001-02). By FY2019-20, India was the 18th-largest exporter (1.7% share, INDIA 2021) and 10th-largest importer (2.6% share, INDIA 2020) of merchandise.

Balance of Payments & Trade Performance (FY 2023-24, per BHARAT 2025)

Current account deficit: 0.7% of GDP (2023-24) vs 2% (2022-23) — merchandise trade deficit fell from USD 265.3 bn to USD 242.1 bn. Net FDI inflows declined from USD 42 bn (2022-23) to USD 26.6 bn (2023-24). India's global trade (goods+services) reached **USD 1,631.97 billion** in 2023-24; total exports USD 778.22 bn; total imports USD 853.75 bn.

Merchandise Exports — India ranked 17th globally (1.8% share, WTO 2023); 2023-24 exports slipped to USD 437.11 bn (from USD 451.07 bn) on geopolitical tensions. Top export categories: petroleum products (19.25%), drug formulations/biologicals (4.97%), pearls/precious/semi-precious stones (4.33%), telecom instruments (3.95%), gold/precious-metal jewellery (3.05%). Top destinations: USA (17.74%), UAE (8.15%), Netherlands (5.12%), China (3.81%), Singapore (3.3%).

Merchandise Imports — India ranked 8th globally (2.8% share, WTO 2023); 2023-24 imports fell 5.66% to USD 675.43 bn (from USD 715.97 bn). Top import categories: crude petroleum (20.71%), gold (6.74%), petroleum products (5.89%), coal/coke/briquettes (5.76%), electronics components (5.09%). Top sources: China (15.06%), Russia (9.10%), UAE (7.11%), USA (6.04%), Saudi Arabia (4.71%).

Services Trade — India ranked 7th exporter (4.4% share) and 9th importer (3.4% share) of commercial services (WTO 2023); steady services surplus. Services exports 2023-24: USD 341.11 bn (+4.85% from USD 325.33 bn); imports: USD 178.32 bn (down from USD 182.05 bn). **Trade Balance** — combined goods+services trade deficit: USD 75.53 bn (2023-24) vs USD 121.62 bn (2022-23).

Trade Agreements — India has signed 14 FTAs and 6 Preferential Trade Agreements; latest: **India-EFTA TEPA** (Trade and Economic Partnership Agreement), signed March 2024.

Global Perspective (IMF WEO, Oct 2023) — global growth: 3.5% (2022)→3.0% (2023, est.)→2.9% (2024, est.), below the 2000-19 historical average of 3.8%. Advanced economies: 2.6%→1.5%→1.4%. Emerging/developing economies: 4.1%→4.0%→4.0%. Global inflation: 8.7% (2022)→6.9% (2023)→5.8% (2024).

Foreign Trade Policy 2023 & SEZs

FTP 2023 — launched April 2023; blueprint for integrating India with global markets; shifts from incentive-based regime to an enabling ecosystem ("Aatmanirbhar Bharat", "Local goes Global"); highlights: incentive→tax-remission shift, tech-driven trade facilitation, e-commerce exports, districts as export hubs; targets USD 2 trillion in goods+services exports by 2030.

SEZs — Asia's first EPZ set up at **Kandla, 1965**; 7 more EPZs followed; SEZ Act 2005 (with SEZ Rules) effective **10 February 2006**. All 8 pre-existing EPZs (Kandla & Surat-Gujarat, Santa Cruz-Maharashtra, Cochin-Kerala, Chennai-Tamil Nadu, Visakhapatnam-Andhra Pradesh, Falta-West Bengal, Noida-UP) converted to SEZs; SEZs under the 2005 Act are primarily private-investment driven. 275 operational SEZs as of June 2023 (166 IT/ITES + 109 multisector).

DOUBT The Red Sea Crisis (Jan-Feb 2024): Suez Canal transits fell 42-49% from peak (Jan 2024, UNCTAD); container tonnage via Suez fell 82%, Cape of Good Hope tonnage rose 60% (by early Feb 2024); 80% of India-Europe merchandise trade routes through the Red Sea (crude oil, auto/ancillaries, textiles, iron/steel affected); risk of higher freight/insurance/transit costs and inflationary pressure via oil-price rises for major Asian net-oil-importers (China, Japan, India, South Korea) — all time-sensitive 2024 crisis data, not current status; verify.

FDI Policy, Limits & Flows

FDI enters via **Automatic route** (no prior approval) or **Government route** (prior approval mandatory).

Space-sector FDI amendment (21 Feb 2024) — 100% FDI now allowed: up to 74% Automatic for satellite manufacturing/operation, satellite data products, ground/user segment (above 74% Government route); up to 49% Automatic for launch vehicles/spaceports (above 49% Government route); up to 100% Automatic for satellite/ground/user-segment component manufacturing.

Net FDI (inflows – outflows) fell 55.2% to \$9.69 bn (Apr-Dec 2023) from \$21.63 bn (Apr-Dec 2022), mainly due to rising equity-capital repatriation. Per RBI (Feb 2024 bulletin): FDI inflows \$19.23 bn, outflows \$9.54 bn (Apr-Dec 2023) vs inflows \$32.68 bn / outflows \$11.05 bn (Apr-Dec 2022). Globally announced greenfield FDI projects: 156 (2022) → 174 (2023).

Sectorwise FDI Limits (as printed "As on 14.11.2020"; source line dated PIB/MoCI 11.02.2025)

Sector	Limit	Route
Agriculture & Animal Husbandry	100%	Automatic
Plantation (tea, coffee, rubber, cardamom, palm/olive oil)	100%	Automatic
Mining/exploration of metal & non-metal ores (incl. diamond/gold/silver, excl. titanium ores)	100%	Automatic
Mining (Coal & Lignite)	100%	Automatic
Titanium-bearing minerals/ores mining & value addition	100%	Government
Petroleum & Natural Gas (exploration, marketing infra)	100%	Automatic
Petroleum refining by PSUs (no disinvestment/dilution)	49%	Automatic
Defence Manufacturing*	100%	Automatic up to 74%; above — Government (modern-tech-access cases)
Broadcasting	100%	Automatic
Broadcasting Content Services	49%	Government
Up-linking non-News TV / Down-linking TV Channels	100%	Automatic
Print Media	26%	Government
Publishing scientific/technical magazines	100%	Government
Publication of foreign-newspaper facsimile editions	100%	Government
Civil Aviation — Airports (Greenfield & Existing)	100%	Automatic
Civil Aviation — Scheduled Air Transport (foreign airlines barred from Air India)	100%	Automatic up to 49%; above — Government; 100% Automatic for NRIs
Construction Development	100%	Automatic
Industrial Parks	100%	Automatic

Satellites (est. & operation, per Dept. of Space/ISRO)	100%	Government
Private Security Agencies	74%	Automatic up to 49%; 49-74% Government
Telecom Services*	100%	Automatic up to 100%
Cash & Carry Wholesale Trading	100%	Automatic
E-commerce activities	100%	Automatic
Single Brand Retail Trading	100%	Automatic up to 49%; above — Government
Multi Brand Retail Trading	51%	Government
Duty Free Shops	100%	Automatic
Railway Infrastructure	100%	Automatic
Asset Reconstruction Companies	100%	Automatic
Banking (Private Sector)	74%	Automatic up to 49%; 49-74% Government
Banking (Public Sector)	20%	Government
Credit Information Companies	100%	Automatic
Infrastructure Co. in Securities Market	49%	Automatic
Insurance*	100%	Automatic
Pension Sector	49%	Automatic
Power Exchanges	49%	Automatic
White Label ATM Operations	100%	Automatic
Financial services (RBI/SEBI/IRDA-regulated)	100%	Automatic
Pharmaceuticals (Greenfield)	100%	Automatic
Pharmaceuticals (Brownfield)	100%	Automatic up to 74%; above — Government
Food products (manufactured/produced in India)	100%	Government

DOUBT This FDI-limits table is dated "As on 14.11.2020" in its own heading but cites a source line "PIB, MoCI, 11.02.2025" — internally inconsistent date, transcribed verbatim; caps (e.g. Insurance 100% automatic, reflecting a later Budget announcement) may not match the 2020 heading date. Verify current FDI caps before relying on any figure here.

Composition of Foreign Trade, External Sector & Trade Performance (FY25 data)

Imports classified as Bulk (POL + non-POL — consumption goods, fertilizers, iron/steel) and Non-bulk (capital goods incl. electrical/non-electrical machinery, pearls/precious stones, other items). Structural import shifts since 1951: rising capital-goods/raw-material imports (industrialisation), rising raw-material imports (import liberalisation for export promotion), declining food-grain/consumer-goods imports (self-sufficiency). Exports classified into 4 categories: (1) Agriculture & allied (coffee, tea, oil cakes, tobacco, cashew, spices, raw cotton, rice, fish, meat, vegetable oils, fruits/vegetables/pulses); (2) Ores & minerals (manganese ore, mica, iron ore); (3) Manufactured goods (textiles/garments, jute, leather/footwear, handicrafts, chemicals, engineering goods, iron/steel); (4) Mineral fuels & lubricants. Over the years, agri's export share has declined while manufactured goods' share has risen.

External Sector (ES 2024-25) — total exports (Apr-Dec FY25) reached USD 602.6 bn (+6%; +10.4% excl. petroleum/gems-jewellery); total imports USD 682.2 bn (+6.9%). Forex reserves USD 640.3 bn (end-Dec 2024), covering ~90% of external debt (USD 711.8 bn, Sept 2024).

Global trade (UNCTAD, Dec 2024) — merchandise export/import indices grew 3.5%/3% YoY (Q3 2024); services exports/imports grew 7.9%/6.7% YoY. Global trade projected to hit ~USD 33 trillion in 2024 (services +7% YoY, goods +~2%), expanding by ~USD 1 trillion (3.3%) overall.

India's trade trend (Apr-Dec FY25) — exports USD 602.6 bn (+6% YoY); imports USD 682.2 bn (+6.9% YoY); overall trade deficit rose from USD 69.7 bn to USD 79.5 bn YoY. Non-petroleum exports +7.1%; non-petroleum-non-gems-jewellery exports +9.1%. Sectoral export growth: drugs/pharma +6.4%, electronic goods +28.6%, engineering goods +9.9%, chemicals +5%, textiles +7.6%. Merchandise exports grew a modest 1.6% YoY (petroleum-product value decline offsetting gains). Merchandise imports +5.2% (non-oil-non-gold imports: USD 352.1 bn vs USD 340.5 bn); merchandise trade deficit widened to USD 210.8 bn (from USD 189.7 bn).

Textile Exports — India = 6th-largest global textile/apparel exporter; sector contributes 2.3% of GDP, 13% of industrial production, 12% of exports; employs 45+ million directly. 2023 textile exports: USD 34

bn (apparel 42%/USD 14.6 bn, raw/semi-finished 34%/USD 11.7 bn, finished non-apparel 30%/USD 7.8 bn); Europe+US took ~66% of apparel exports, 58% of finished non-apparel, 12% of raw materials. Globally, MMF (man-made fibre) = 77% of fibre consumption (2024) vs cotton's 22%; India's MMF production share = 9.2% globally, with room to catch up to Vietnam/China/Taiwan.

Export diversification (1994-2022) — India is now a top exporter of shipping vessels (~33% market share) and a leading exporter of iron/steel alloys (an unexplored market pre-1994).

E-commerce exports — global B2C e-commerce: USD 5.7 trillion (2022)→USD 8.1 trillion (2026E), 9.1% CAGR; India's B2C market: USD 83 bn (2022)→USD 150 bn (2026E), 15.9% CAGR (still only ~1.5-2% of the global market); e-commerce exports ~USD 4-5 bn (FY23), projected USD 200-300 bn by 2030.

Ease-of-doing-business for exporters — logistics-hub development under the National Logistics Policy; paperless e-BRC system saves >₹125 crore/year on 2.5 million e-BRCs; DGFT's 'Trade Connect e-Platform' — single-window market-access tool, especially for MSMEs.

BoP, FDI & Forex (Economic Survey 2024-25 figures)

India's BoP stayed stable (resilient services exports, benign crude prices, FPI/FDI revival). CAD moderated to 1.2% of GDP (Q2 FY25) vs 1.3% (Q2 FY24); merchandise trade deficit rose to USD 75.3 bn (Q2 FY25) from USD 64.5 bn (Q2 FY24).

FDI — gross inflows rose from USD 47.2 bn (first 8 months FY24) to USD 55.6 bn (FY25, +17.9% YoY). Cumulative FDI (Apr 2000–Sept 2024) crossed **USD 1 trillion** (USD 1,033.4 bn per DPIIT). Sector-wise (H1 FY25 equity inflows): Services 19.1%, computer software/hardware 14.1%, trading 9.1%, non-conventional energy 7%, cement/gypsum 6.1%. Net FDI (first 8 months, RBI): FY25 = USD 0.48 bn vs FY24 = USD 8.5 bn; full-year FY24 net FDI = USD 10.1 bn; FY23 = USD 19.8 bn.

DOUBT The source's own "Net FDI is calculated as follows" box is internally garbled ("Total Investment flows: (1)-(2)+(3)") — transcribed verbatim, not corrected.

Forex reserves — comprise FCA, gold, SDRs, RTP in IMF. After crossing USD 700 bn, reserves moderated to **USD 640.3 bn** (end-Dec 2024), covering ~90% of external debt (USD 711.8 bn, Sept 2024). India ranks **4th** globally in forex reserves (after China, Japan, Switzerland), with a 2024 increase of USD 27.1 bn. Reserves stood at \$688 bn as of April 2025.

Exchange Rate, Inflation & Outlook (Economic Survey 2024-25)

INR is market-determined (no target/band); factors: Dollar Index, capital flows, interest rates, crude prices, CAD. In the first 9 months of FY25 (to 6 Jan 2025), INR depreciated a modest 2.9% — better than CAD (5.4%), KRW (8.2%), BRL (17.4%). The Euro is the official currency of 20/27 EU states (the "Eurozone").

Global inflation (IMF WEO, Jan 2025) — peaked 8.7% (2022) → 5.7% (2024). India's retail inflation moderated 5.4% (FY24) → 4.9% (FY25, Apr-Dec); food = ~2/5 of India's CPI basket, so CFPI drives much of headline inflation. Core inflation fell 0.9 points (FY24→FY25); WPI was in deflation (-0.7%, FY24), staying low in FY25. RBI's MPC (Dec 2024) revised its FY25 inflation projection from 4.5% to 4.8%; expects 4.2% in FY26 (normal monsoon assumed). IMF projects 4.4% (FY25) / 4.1% (FY26) inflation for India. World Bank (Oct 2024) expects commodity prices to fall 5.1% (2025) / 1.7% (2026).

Medium-term outlook — IMF WEO (Oct 2024 update) projects India to become a USD 5 trillion economy by FY28, reaching USD 6.307 trillion by FY30; MoSPI's first advance estimate puts FY25 growth at 6.4% (constant prices).

Geo-Economic Fragmentation — since the 1980s: global trade rose from 39% of world GDP (1980) to 60% (2012); global FDI inflows grew from USD 54 bn (1980) to >USD 1.5 trillion (2019); world economy grew from USD 11 trillion (1980) to >USD 100 trillion (2022, nominal); extreme poverty (\$2.15/day) fell from 42% (1981) to 8.4% (2019), driven by China/India growth; global population grew 4.4 bn (1980)→8 bn (2022), urbanisation 39%→57%; internet penetration rose from ~0 (1980) to 5.3 bn people/66% (2022).

Export Credit & Rupee/Gold Data

NIRVIK Scheme — introduced by ECGC (Export Credit Guarantee Corporation of India); full name: **Export Credit Insurance Scheme (ECIS)**; covers up to 90% of principal+interest, both pre- and post-shipment credit; aims to enhance credit accessibility/affordability for exporters.

Rupee exchange rate (29 May 2025): 1 USD = ₹85.44; 1 GBP = ₹115.07; 1 Euro = ₹96.27.

RBI's Gold Reserve — added ~58 tonnes of gold in FY25 (data released 5 May 2025); total holding = **879.59 tonnes** (26 tonnes added in H2 FY25); gold ≈ 12% of total forex reserves (up from 9.32% in Sept 2024 to 11.70% by end-March, in dollar-value terms). Of the H2 addition, 348.62 tonnes held with the Bank of England/BIS, 18.98 tonnes as gold deposits; 58.20% of gold held in local vaults (March-end) vs 59.72% (Sept 2024) — domestic storage share rose from 38% to 59% since March 2023 (per RBI report). India's forex reserves stood at \$688 bn (April 2025). (Source: Business Standard, 5 May 2025)

Trade Organisations — Full History

IMF — established 27 December 1945 (per the Bretton Woods decision); began functioning 1 March 1947; 188 member countries (2017); promotes financial/economic cooperation and extends world trade. **IBRD** — established 1945; with the International Finance Corporation, International Development Agency, and Multilateral Investment Guarantee Agency, together called the "World Bank"; helps capital investment and long-term balanced development. **GATT** — came into being 30 October 1947, functioning from 1 January 1948; principle: equal-tariffs policy, removing quantitative bans, democratic dispute resolution. **WTO** — took GATT's place 1 January 1995; HQ Geneva; 164 members (April 2018); India a founder member.

India-ASEAN Trade in Goods Agreement — signed 13 August 2009, effective 1 January 2010; created one of the world's largest Free Trade Areas — ~1.8 billion people, combined GDP ~USD 2.75 trillion.

India's Global Rankings (Multiple 2024-25 Indices)

- **International IP Index 2024** (22 Feb 2024) — India 42nd/55 (score 38.64%); US 1st (95.48%), UK 2nd (94.12%), France 3rd (93.12%).
- **Human Development Report 2023-24** (UNDP, 13 March 2024) — India 134th/193 (score 0.644); Switzerland top.
- **Global Corruption Perception Index 2024** (Transparency International, 11 Feb 2025) — India 96th/180 (score 38); Denmark top (90); most corrupt: South Sudan (180), Somalia (179), Venezuela (178).
- **Economic Freedom of the World 2025** (Fraser Institute) — 176 jurisdictions on 5 areas (Size of Govt, Legal System/Property Rights, Sound Money, Freedom to Trade Internationally, Regulation); India 128th; top 3 — Singapore, Switzerland, Ireland; bottom 3 — Venezuela, Cuba, N. Korea.
- **Global Peace Index 2024** (IEP, 18th edition, 163 countries) — India 116th (score 2.319); top — Iceland, Ireland, Austria, New Zealand, Singapore; bottom — Yemen (163rd), Sudan, South Sudan, Afghanistan, Ukraine.
- **WEF Global Gender Gap Index 2024** (June 2024, Geneva; 4 parameters — economic participation, education, health, political empowerment) — top: Iceland, Finland, Norway, New Zealand, Sweden; India 129th/146 (was 87th in 2016 — widening gap since 2020); worst 5: Sudan (146), Pakistan (145), Chad (144), Iran (143), Guinea (142).
- **World Happiness Report 2025** (Gallup/Oxford Wellbeing Research Centre/UN SDSN) — Finland 1st again; top 5: Finland, Denmark, Iceland, Sweden, Netherlands; bottom 5: Zimbabwe, Malawi, Lebanon, Sierra Leone, Afghanistan (147th); India 118th/147.
- **Global Innovation Index 2024** (WIPO, 133 economies) — India 39th (score 38.3), up from 81st (2015); India held 1st in its region in 2022.
- **Global Hunger Index 2024** — India 105th/127 (score 27.3), alongside Uganda at the same hunger level.

Top 10 Economies in the World — 2025 (Forbes India, 28 April 2025)

Rank	Country	GDP (USD)	2025 Real GDP Growth (Proj.)	GDP Per Capita (USD)
1	United States	\$30.51 trillion	1.8%	\$89.11 thousand
2	China	\$19.23 trillion	4.0%	\$13.69 thousand
3	Germany	\$4.74 trillion	-0.1%	\$55.91 thousand
4	India	\$4.19 trillion	6.2%	\$2.88 thousand
5	Japan	\$4.19 trillion	0.6%	\$33.96 thousand
6	United Kingdom	\$3.83 trillion	1.1%	\$54.95 thousand
7	France	\$3.21 trillion	0.6%	\$46.39 thousand
8	Italy	\$2.42 trillion	0.4%	\$41.09 thousand

9	Canada	\$2.23 trillion	1.4%	\$53.56 thousand
10	Brazil	\$2.13 trillion	2.0%	\$9.96 thousand

DOUBT This entire section (§9's index rankings and the Top-10-Economies table) is drawn from dated 2024-2025 reports and will not reflect the situation as of today (Sept 2026) — every figure, rank, and GDP value needs independent verification before use. Note also the raw extraction's own flag: Parmar Ch.3 elsewhere states India ranks 5th in nominal GDP / 3rd in PPP "as of 2026", which does not match this Forbes India (April 2025) table showing India 4th — an unreconciled cross-book discrepancy, both preserved verbatim.

Appendix

A.1 — PYQ citation index (bucket "11 Foreign Trade & International Institutions", 34 Qs)

Fact tested	Exam · Date · Shift
Current account surplus/deficit/balance definitions	SSC CPO Tier-I, 10/12/2025 (Sh-01)
1991 crisis: shortage of foreign exchange	SSC CGL Tier-I, 17/09/2025 (Sh-03) x2
India approached IMF+World Bank, 1991 (A-R)	SSC CGL Tier-I, 17/09/2025 (Sh-03)
IMF+World Bank triggered 1991 reforms	SSC CGL Tier-I, 20/09/2025 (Sh-02)
Currency conversion needed for US purchases	SSC CPO Tier-I, 09/12/2025 (Sh-01)
1991 measure: rupee devaluation	SSC CHSL Tier-I, 15/11/2025 (Sh-01)
Rupee current-account convertibility, Aug 1994	SSC CHSL Tier-I, 20/11/2025 (Sh-03)
1991 devaluation ~18-20%	SSC CHSL Tier-I, 29/11/2025 (Sh-02)
Low forex reserves = can't afford essential imports	SSC CHSL Tier-I, 30/11/2025 (Sh-03)
1991 reform trigger = BoP crisis	SSC Phase XIII, 02/08/2025 (Sh-01)
WTO promotes free/fair trade (A-R)	SSC CGL Tier-I, 24/09/2025 (Sh-03)
SAARC Currency Swap Framework 2024-27	SSC CGL Tier-I, 14/09/2025 (Sh-01)
BIMSTEC Tech Transfer Facility, 5th Summit	SSC CGL Tier-I, 17/09/2025 (Sh-02)
IMF promotes liberal economic reforms (SAP)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Non-tariff measures: anti-dumping + TBT	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
1991 crisis cause (fiscal deficit, Gulf War, forex)	SSC CHSL Tier-I, 17/11/2025 (Sh-02)
IBRD = World Bank arm approached late-1980s crisis	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
1947-90 trade policy = import substitution	SSC Stenographer, 07/08/2025 (Sh-03); 08/08/2025 (Sh-02)
Bilateral trade agreement goal = promote free trade	SSC Phase XIII, 29/07/2025 (Sh-02)
FII role = invest in Indian financial markets	SSC Phase XIII, 29/07/2025 (Sh-03)
Pre-1991 import characteristic = import substitution	SSC Stenographer, 08/08/2025 (Sh-02)
Tariff measures = export+import taxes	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
Imports=leakage, Exports=injection (circular flow)	SSC CGL Tier-I, 24/09/2025 (Sh-03)
Devaluation improved export competitiveness (A-R)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Pre-1991 trade policy = high tariffs/quotas	SSC CPO Tier-I, 09/12/2025 (Sh-02)
SAFTA Article 23 = Dispute Settlement (A-R)	SSC CGL Tier-I, 19/09/2025 (Sh-03)
Kaladan Project links India-Myanmar	SSC CGL Tier-I, 18/09/2025 (Sh-03)
MEIS launched 2015	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
First EPZ = Kandla, 1965	SSC CPO Tier-I, 09/12/2025 (Sh-01)
FIPB constituted under PMO	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
EOU min. investment ₹1 crore	SSC CHSL Tier-I, 27/11/2025 (Sh-02)

A.2 — PYQ-book-only facts

SAARC Currency Swap Framework (2024-27) and the 2022 BIMSTEC/Kaladan specifics are current-affairs additions from the PYQ book's own explanations, not in the raw extraction, but consistent with (not contradicting) it — flagged transparently rather than force-fit as book-sourced.

A.3 — Doubts carried forward from the raw extraction

All poverty statistics, MPI/HDI figures, IMF voting-power rank/top-borrower list, every FDI/BoP/forex/trade figure in the Lucent §15 section (FY2023-24 and April-December 2024 data), the FDI-limits table's internally-conflicting date, every global-index ranking (2024-25 reports), and the Top-10-Economies table are all explicitly time-sensitive per the raw extraction's own flags and are not current as of today (Sept 2026) — none independently verified; treated as source-accurate-at-time-of-publication only.

ECONOMY — Five-Year Plans, Industrial Policy & 1991 Reforms

Batch 7 of 10 · Sources: Parmar Ch.10 (Five Year Plan and IPR) + Lucent §6 (Planning) + §8 (NEP/Reforms) + §13-14 (Industry) · PYQ buckets "06 Economic Planning & Institutions" (64 Qs) + "10 Industry and Infrastructure" (40+ Qs) + "12 New Economic Policy 1991" (25+ Qs) — the densest batch in this build · ★ = tested in a real past SSC paper

1 Pre-Independence Plans

Plan	Year	Author	Note
Visvesvaraya Plan	1934	M. Visvesvaraya	India's earliest planned-development blueprint; "Planned Economy for India"
National Planning Committee	1938	Formed by S.C. Bose; 1st Chairman J.L. Nehru	First attempt at a National Plan
Bombay Plan	1944-45	Leading capitalists incl. J.R.D. Tata	"A Plan of Economic Development for India"
Gandhian Plan	1944	—	Decentralised economy, self-contained villages
People's Plan	1945	M.N. Roy	Post-War Reconstruction Committee, Indian Trade Union
Sarvodaya Plan	1950	Jaiprakash Narayan	First blueprint for Independent India

Five-Year Plan concept borrowed from **USSR** (Stalin, 1928). Goals: **Growth, Modernisation, Self-reliance, Equity** ★ — "Dependence on foreign aid" was **NEVER a goal** ★ (a tested "which is NOT a goal" question). 20-year long-term framework = **Perspective Plan**. At Independence, ~75% population depended on agriculture; industry = 13% of GDP (1950-51).

2 The Twelve Five-Year Plans

Plan	Duration	PM	Basis/Focus	Target/Achieved
1st ★	1951-56	Nehru	Harrod-Domar Model ★; agriculture/irrigation (Bhakra Nangal, Hirakud) ★; FM: C.D. Deshmukh ★	2.1%/3.6% (Success)
2nd ★	1956-61	Nehru	Mahalanobis Model ★ — heavy industry/rapid industrialisation ★; "real planning began here" ★; IPR 1956 based on it; Bhilai/Rourkela/Durgapur steel plants (USSR/UK/Germany aid) ★; socialist pattern (Avadi session, 1955) ★; criticised by B.R. Shenoy (state control threatens democracy) ★	4.5%/4.3% (Moderate)
3rd ★	1961-66	Nehru→Shastri	Gadgil Formula ★; FAILED — Sino-Indian War (1962) ★ + Indo-Pak War (1965) + severe drought ★; PL-480 wheat imports; "Jai Jawan Jai Kisan" (Lal Bahadur Shastri)	5.6%/2.4-2.8% (Failure) ★
Plan Holiday ★	1966-69	—	3 Annual Plans instead of a 5-yr plan (post-3rd-plan failure, wars, drought, rupee devaluation 1966) ★; Green Revolution begins	—
4th ★	1969-74	Indira Gandhi	Gadgil Formula/Rudra-Allen Model ★; "Growth with Stability" + self-reliance; 14 banks nationalised (1969) ★; MRTP Act 1969 ★; Pokhran-I "Smiling Buddha" (1974)	5.6%/3.3% (Failure)

5th ★	1974-78	Indira Gandhi	D.P. Dhar Model; "Garibi Hatao" ★; Minimum Needs Programme (1974) ★ — basic services not just income growth ★; IDBI separated from RBI (1976) ★; Hill Area Development Programme ★	4.4%/4.8% (Moderate)
Rolling Plan ★	1978-80	Morarji Desai	Janata Party govt ★; inspired by Gunnar Myrdal's <i>Asian Drama</i> ; introduced by Deputy Chairman D.T. Lakdawala ★; terminated the 5th Plan a year early	—
6th ★	1980-85	Indira Gandhi	"Garibi Hatao" + modernisation ★; IRDP/NREP/TRYSEM ★; NABARD est. 1982 ★; SSIs = key to employment/export/rural development ★	5.2%/5.7% (Success)
7th ★	1985-90	Rajiv Gandhi	"Food, Work, Productivity" ★; tech modernisation, License Raj relaxed, first priority to private-sector investment ★; Jawahar Rozgar Yojana (1989, merged NREP+RLEGP); laid foundation for 1990s liberalisation ★; Dept. of Biotechnology set up	5%/6% (Success)
Annual Plans	1990-92	—	No 5-yr plan (political uncertainty); 1991 BoP crisis → LPG reforms begin	—
8th ★	1992-97	P.V. Narasimha Rao	Structural adjustment ★; License Raj ends, public-sector share declines; delayed 2 yrs from schedule (1990) ★	5.6%/6.8% (Highly successful)
9th ★	1997-2002	Atal Bihari Vajpayee	"Growth with Social Justice & Equality" ★; public-sector emphasis declines further ★; Pokhran-II (1998)	6.5%/5.4% (Failure)
10th ★	2002-07	Vajpayee (Chairman) / K.C. Pant (Dy. Chairman, from 1999) ★	Aimed to double per-capita income , cut poverty to ~5% by 2007 ★; National Horticulture Mission, Jute Technology Mission	8%/7.6% (Failure)
11th	2007-12	Manmohan Singh	Rapid/inclusive growth; overlapped 2008 global financial crisis	9%/8% (Failure)
12th ★	2012-17	Manmohan Singh	Faster/inclusive/sustainable growth; target cut from 9% to 8% ★ due to Eurozone debt crisis/post-2008 slowdown	8% target

HOOK **P.C. Mahalanobis** = "Architect of Indian Planning" ★ — birthday **29 June = Statistics Day** ★; founded Indian Statistical Institute, Kolkata; journal *Sankhya*. His model prioritised **heavy industry/capital goods** over agriculture ★ ("machines that make machines"), public sector leading role in steel plants/dams — future production capacity over short-term consumer benefit ★.

TRAP Planning Commission ★ formed **15 March 1950** ★, non-constitutional advisory body, PM = ex-officio Chairman ★ (first Chairman: **Nehru** ★; first Deputy Chairman: **Gulzarilal Nanda** ★, PYQ-book-only, see A.2). Replaced by **NITI Aayog, 1 Jan 2015** ★ (announced 2014) — "bottom-up"/cooperative-federalism approach. Under the **4th Plan**, Indira Gandhi was ex-officio Chairperson ★ (as PM).

Green Revolution ★ introduced during the **3rd Five-Year Plan** ★ (1961-66), full effect from 1966-67 (Plan Holiday) — HYV seeds, credited to **Dr. M.S. Swaminathan**. **Import Substitution** ★ = inward-looking strategy across the first 7 plans — protect infant domestic industries from foreign competition ★ (NOT to expand trade, attract foreign investors, or create export dependency).

HOOK **Hindu Rate of Growth** ★ — term for India's slow (~3.5%) growth 1950s-1980s; coined by **Prof. Raj Krishna** ★.

3 Industrial Policy Resolutions (IPR)

IPR	Year	Key points
1st IPR ★	1948 ★	First industrial policy of independent India ★; led by Dr. Shyama Prasad Mukherjee ★ (Industry & Commerce Minister); declared Mixed Economy ★; 4 industry categories (Strategic/Basic/Regulated/Other); start of License Raj
2nd IPR ★	1956 ★	"Economic Constitution of India" ★; objective = growth with equity ★; "socialistic pattern of society" ★; Commanding Heights Doctrine (coined by Lenin, 1922) ★; Schedule A (17 industries, public monopoly ★), Schedule B (12, public+private ★), Schedule C (rest, private) ★ — basis for later Maharatna companies
3rd IPR	1977	Morarji Desai/Janata govt; SSI emphasis; "Tiny Unit" concept (<₹1 lakh investment); MNC restrictions
4th IPR	1980	Indira Gandhi govt; back to heavy industries; foreign tech transfer encouraged (FERA 1973); Tiny Unit limit raised to ₹2 lakh
IPR 1991 ★	1991	Economic Liberalisation ★ — under P.V. Narasimha Rao, reforms by Manmohan Singh; shift from inward-looking to outward-oriented economy

HOOK Karve Committee (1955) ★ — Village & Small-Scale Industries Committee, Planning Commission, chaired by **D.G. Karve**; promoted **rural/labour-intensive small-scale industry** ★, NOT large-scale capital-intensive urban manufacturing ★ (a tested Assertion-true/Reason-false).

4 CPSE Classification

Category	Count ★	Criteria highlights	Example ★
Maharatna ★	14	Navratna status + listed + turnover ₹25,000+cr, net worth ₹15,000+cr, profit ₹5,000+cr; can invest up to ₹5,000cr/15% net worth without govt approval ★	NTPC, BHEL, HAL, Power Finance Corporation (granted Oct 2021) ★
Navratna	26	Miniratna-I or Schedule A + score ≥60/100; invest up to ₹1,000cr/15% net worth	BEL, Engineers India
Miniratna	~73 (Cat I/II)	3-yr consecutive profit; Cat I: pre-tax profit ≥₹30cr in any 1 of 3 yrs	Airports Authority of India

PSU industries' rationale (1947-90) ★: lack of private capital → public sector led strategic/social-goal industries, balanced regional development ★ (not because public sector was "inherently more efficient" — a tested distractor).

5 Industry Classification

Type	Meaning	Examples ★
Heavy Industry ★	Bulky/heavy raw materials (iron ore, coking coal), large capital ★	Iron & steel, shipbuilding, automobiles ★
Light Industry	Light raw materials, low capital/energy	Sewing machines, paint brushes, watches, electric bulbs ★
Basic/Capital Goods Industry ★	Produces machines/inputs for other industries	Iron & steel, aluminium smelting ★, machine tools
Consumer Goods Industry ★	Direct-consumption goods	Toothpaste ★, soap, clothes
Agro-based Industry ★	Raw material from agriculture	Cotton textiles, sugar (from sugarcane) ★ — NOT cement/petrochemicals/steel/aluminium (mineral-based, tested distractor)

HOOK India's **textile industry** ★ is self-reliant across its **full value chain** ★ (cotton→spinning→weaving→garment→export) — "Farm to Fashion" model. **Sugar industry** ★: seasonal (sugarcane availability), mills sited near sugarcane fields (sucrose degrades during transport ★); top producers UP/Maharashtra/Karnataka/Tamil Nadu ★; India = 2nd largest sugar producer (after Brazil ★) but **1st in gur/khandsari** ★.

Sindri Fertilizer Plant ★ — first major PSU industrial unit of independent India, est. **1951**, Dhanbad district, **Jharkhand** ★ (near Jharia coalfield for fuel supply). **Urea** = most-produced nitrogenous fertilizer ★; India is import-dependent on **potash** (not self-sufficient — tested distractor). **Chennai** = "**Detroit of India**" ★ (PYQ-book-only, see A.2; auto hub: Hyundai/Ford/BMW/TVS/Ashok Leyland) — NOT a petrochemical hub (that's Jamnagar/Dahej, Gujarat) ★.

6 1991 Reforms — New Economic Policy (NEP) / LPG

HOOK Reforms launched **24 July 1991** ★ — PM P.V. Narasimha Rao, FM Manmohan Singh ("Rao-Manmohan Model") ★; objective: overcome BoP crisis, dismantle License Raj, integrate globally ★. Also called **New Economic Policy (NEP)** ★. Divided into: **Stabilisation measures** (short-term — control inflation ~17%, fix BoP ★, rupee devalued 18-20% July 1991) + **Structural reforms** (long-term — LPG).

L / P / G	Meaning
Liberalisation ★	↓ govt regulation/licensing/restrictions — removed barriers to firm entry/growth ★ (License Raj restricted entrepreneurial freedom — a tested A-R, both true)
Privatisation	Shift PSU ownership/management to private entities; DIPAM (Dept. of Investment & Public Asset Mgmt, ex-Dept of Disinvestment) manages this
Globalisation ★	Integration via trade/FDI/tech flow — NOT expanding public-sector control (tested "NOT a goal" distractor) ★

TRAP IMF + World Bank ★ = key reform institutions (loans + policy guidance/structural-reform funding respectively ★) — NOT SAARC+WTO or BRICS+ADB. **Washington Consensus** does **NOT include export subsidies** ★ (it advocates trade liberalisation, ending subsidies — a tested "which is NOT part of" question). Trade reform post-1991: removed import quotas, cut tariffs on capital goods, abolished most licensing ★ (kept only for alcohol/cigarettes/hazardous chemicals/explosives — security/health/environment reasons ★).

LERMS (Liberalised Exchange Rate Management System) — dual exchange rate, introduced **1992** ★. Foreign-bank investment limit raised to **74%** ★ as part of financial-sector reform. Liberalisation affects **all 3 sectors** — primary, secondary, tertiary ★ (not just two). National Renewal Fund (Feb 1992, 8th Plan) — worker retraining/VRS support post-1991 reforms ★, abolished 2000.

HOOK Ease of Doing Business (EoDB) ★: "Enforcing Contracts" indicator = time/cost to resolve commercial disputes ★. **MCA21 ★** (Ministry of Corporate Affairs e-governance, SPICe+ forms) improved India's "Starting a Business" ranking. **DPIIT ★** (Dept. for Promotion of Industry & Internal Trade) = nodal body for industrial promotion + implements **PM Gati Shakti ★** (via its Logistics Division). **National Infrastructure Pipeline (NIP) ★** — announced 2019-20, formally from **2020 ★**, ₹111 lakh crore target (2020-25).

7 Lucent §6 — Planning: Types, Models & the Plan Table

Economic Planning = skillful use of limited natural resources to achieve desired goals; India's concept derives from the USSR; 'Planning' derives objectives/social premises from the Constitution's Directive Principles of State Policy. 1934 — Visvesvaraya's "Planned Economy for India" first raised planning; 1938 — All India Congress Committee demanded it; 1944 — 8 industrialists produced the Bombay Plan, plus the Gandhian Plan (Sriman Narayan) and the People's Plan (M.N. Roy, labour leader, April 1944); 30 Jan 1950 — Sarvodaya Plan (Jai Prakash Narayan). Post-Independence: 1947 — a committee on economic planning formed under Nehru; on its recommendation, the Planning Commission was constituted March 1950 (non-constitutional, advisory; the Constitution did not provide for it); the first Five-Year Plan's format was prepared in 1951. NITI Aayog replaced it 1 January 2015.

DOUBT Lucent's own Five-Year-Plan table gives different target/achieved percentages and different "Model" names than Parmar's table above (e.g. Second Plan achieved 4.21% here vs Parmar's 4.3%; Third Plan achieved 2.72% vs Parmar's 2.8%; Fourth Plan target 5.7%/achieved 2.05% vs Parmar's 5.6%/3.3%; Fifth Plan period "1974-79" vs Parmar's "1974-78"; Ninth achieved 5.5% vs Parmar's 5.4%; Tenth achieved 7.7% vs Parmar's 7.6%; Twelfth target 9.0% vs Parmar's 8%). Model-column oddities as printed: Third Plan "Sukhmoy Chakraborty and Prof. Saddy"; Fourth Plan "Ashok Rudra and Alon S. Manney"; Eighth Plan "John W. Miller Model"; Eleventh Plan "Prepared by Prof. C. Rangarajan". Both books' figures are preserved verbatim per the source's no-silent-correction policy; not reconciled.

Annual Plans (1966-69) — three Annual Plans formulated within the draft 4th-Plan framework.

Eighth Plan (per Lucent) — could not launch in 1990 due to political instability; new govt (June 1991) set it to commence 1 April 1992, treating 1990-91 and 1991-92 as separate Annual Plans focused on maximising employment and social transformation.

Types of Planning

- **Imperative Planning** — a Central Planning authority decides every aspect of the economy; targets/processes strictly followed; used in socialist economies.
- **Indicative Planning** — the State sets broad parameters/goals without micromanaging; adopted in India from the **8th Five-Year Plan**, as practised in many developed countries.
- **Perspective Planning** — long-period (15-20 years) planning; operationalised through Five-Year and Annual Plans; sets the broad direction for the economy.
- **Rolling Plan** — three simultaneous layers: (1) current-year plan incl. the annual budget, (2) a fixed-multi-year plan (e.g. 3/4/5 years, revised annually), (3) a 10/15/20-year perspective plan.
- **Core Plan** — Planning Commission asks states for projected revenue estimates, then fixes State Annual Plan expenditure heads accordingly — keeps plan targets realistic, prevents fund diversion from priority items.

Models of Economic Development

Nehru-Mahalanobis Model — drove development strategy from the 2nd Five-Year Plan through the 1980s; aimed to enlarge opportunities for the underprivileged; "growth with social justice" — a self-generating development path removing poverty/unemployment/disease/ignorance; the **State controlled the economy's commanding heights via the public sector**.

Gandhian Model of Growth — the 'Gandhian Plan' was brought out by Acharya S.N. Agarwala in 1944, reaffirmed 1948; aims to raise the material and cultural level of the Indian masses to a basic standard of life; emphasises scientific agricultural development and rapid growth of cottage/village industries — agriculture as the most important planning sector (vs. Nehru's heavy-industry primacy), supported by handicrafts and cottage industries.

LPG Model of Development — introduced 1991 by FM Dr. Manmohan Singh; charted a new strategy emphasising Liberalisation, Privatisation, Globalisation; bigger private-sector role; envisages much larger FDI; aims at export-led growth (vs. earlier import substitution); reduces the State's role, abandoning "planning fundamentalism" for a liberal, market-driven pattern.

PURA Model of Development — Union Cabinet approved PURA (Providing Urban Amenities in Rural Areas) in principle on **20 January 2004**, to bridge the rural-urban divide; championed by Dr. A.P.J. Abdul Kalam to eradicate poverty (Mahatma Gandhi had earlier flagged rural exploitation by urban society); aims at economic development without population transfer, creating social/economic infrastructure for private investment in rural areas; neo-Gandhian — brings modern technology/amenities to rural areas while emphasising employment enlargement, reconciling employment and GDP-growth goals. The 11th Plan (2007-12) allocated ₹248 crore for PURA in a Public-Private Partnership mode.

8 Lucent §8 — New Economic Policy: Full Detail

New Economic Policy = reforms in production pattern, new technology adoption, fuller capacity use. First devised/implemented in **1985 under Rajiv Gandhi**; a "second wave" came in **1991 under P.V. Narasimha Rao**, driven by the Gulf War and the BoP problem. 3 main objectives: Liberalisation, Privatisation, Globalisation. Main sectors of the 1991 reform: Fiscal Policy, Monetary Policy, "Value Fixation Policy" (as printed), Foreign Policy, Industrial Policy, Foreign Investment Policy, Business Policy, Public Sector Policy.

First Generation Reforms — macro-level stabilisation: liberalisation/deregulation of industry, financial-sector reforms, taxation reforms. **Second Generation Reforms** — micro-level structural change: labour reforms, land reforms, capital-market reforms, expenditure and power-sector reforms. Since the reforms, poverty fell from 36% (1993) to 26% (end of 10th Plan) — but inequality rose (World Bank Report 1999-2000 confirms this). By 2005-06 the policy had become progressively more open/liberal/global.

Disinvestment = reducing government's industry share. The **Disinvestment Commission** was constituted **1996** to review/advise/regulate disinvestment; first Chairman: **G.V. Ramakrishna** (printed "Ramkrishna" in one instance). In 1992, the **National Renewal Fund** was set up to rehabilitate labourers displaced by industrial modernisation of sick units. "Navratna" — a globally-rising company, given complete autonomy by government to encourage it. Second-phase reform aim: eradicate poverty and achieve 7-8% growth.

Term	Lucent's definition
Privatisation	Increasing private-sector participation in public companies via capital/management (or both), or handing a PSU to a private company
Liberalisation	Relaxing/abolishing government control (includes privatisation within this process)
Globalisation	Amalgamating the national economy with the world economy — lower import/export duties, bringing in private capital and foreign technology
Disinvestment	Reducing government's share in the public sector

9 Lucent §13 — Industry: Full IPR 1991 Detail, CPSEs & MSMEs

India began its post-independence industrial quest in 1947; IPR 1948 marked the start of Indian industrial policy (accepted both public/private sector importance, handed basic-industry development to the Public Sector); IPR 1956 gave the public sector a strategic/pre-eminent role while allowing private-sector co-existence; objective — develop public + cooperative sectors, control private monopoly. IPR 1948's 4 industry categories were reduced to 3 in IPR 1956. 1973 — Joint Sector constituted on Dutta Committee recommendations. IPR 1980 (per Lucent) was influenced by federalism, giving concessions to agriculture-based industries. Comprehensive liberalisation steps were declared in the **Industrial Policy of 24 July 1991** — privatisation and liberalisation as its main thrust.

Major Features of NIP (New Industrial Policy), 1991 — full detail

- **Abolition of industrial licensing** — for all industries irrespective of investment size, except those involving security/strategic concerns, social reasons, safety/environmental issues, hazardous products, or elitist-consumption articles.

- **Easier foreign investment/technology entry** — govt encouraged foreign trading companies to help Indian exporters; direct foreign investment approved up to **51% foreign equity** in high-priority industries.
- **Diluted public-sector role** — of the 17 industries reserved for the public sector since 1956, all but 4 areas were removed from the Reserved List: (1) arms/ammunition and defence equipment/aircraft/warships, (2) atomic energy, (3) minerals specified under the Atomic Energy (Control of Production and Use) Order 1953, (4) railways.
- **MRTTP Act changes** — firms with assets above ₹100 crore (since 1985) were classified as MRTTP firms needing case-by-case approval to enter selected industries; NIP 1991 scrapped this asset threshold. In **2002**, the **Competition Act** replaced the MRTTP Act, and the **Competition Commission** replaced the MRTTP Commission.
- **Liberalised industrial-location policy** — no central industrial approval needed outside cities of >1 million population (except compulsorily-licensed industries); in cities >1 million, non-polluting industries excepted, others must locate 25 km beyond the periphery.
- **Abolition of Phased Manufacturing Programmes** for new projects (previously forced indigenisation in engineering/electronics industries).
- **Mandatory convertibility clause removed** — earlier, banks/FIs financing industrial investment could convert part of their loans into equity (seen as an unwarranted takeover threat to private firms); NIP 1991 abolished this mandatory clause.

Navratna origin — Union Budget 1997-98 named 9 well-performing PSUs "Navratna" with full autonomy: SAIL, IOC, BPCL, HPCL, BEL, HAL, ONGC, NTPC (8 named in the source's own list, as printed). Later additions: GAIL (Aug 1984 — as printed, though this predates the 1997-98 announcement), MTNL, NMDC, PFC, PGCIL, REC, NALCO, SCI, CIL. Navratna PSUs get enhanced autonomy: uncapped capital-expenditure powers, technology joint ventures, domestic/international capital raising, financial joint ventures, wholly-owned subsidiaries.

CPSE Lists (as on May 2025, per Lucent)

Maharatna (14): BHEL, BPCL, Coal India (CIL), GAIL, HPCL, IOCL, NTPC, ONGC, Power Finance Corporation (PFCL), Power Grid Corporation (PGCIL), SAIL, Rural Electrification Corporation (RECL), Oil India Limited (OIL), Hindustan Aeronautics Ltd (HAL).

Navratna (15 listed, one entry illegible in the source scan): Bharat Electronics (BEL), Container Corporation of India (CONCOR), [entry #3 unreadable in the source scan — possibly Engineers India Ltd, unconfirmed], Mahanagar Telephone Nigam (MTNL), National Aluminium Company (NALCO), National Building Construction Corporation (NBCC), NLC India Ltd (formerly Neyveli Lignite Corporation), National Mineral Development Corporation (NMDC), Rashtriya Ispat Nigam (RINL), Shipping Corporation of India (SCIL), Rail Vikas Nigam (RVNL), ONGC Videsh Ltd, Rashtriya Chemicals & Fertilizers Ltd, IRCON, RITES. Total Miniratna Category I+II = **59 (49+10)** as on 25 May 2025 (differs from Parmar's "~73" — see A.3). Grid Controller of India Ltd (GRID-INDIA) was conferred Miniratna Category-I status on 20 March 2024.

DOUBT These CPSE counts/lists are dated "as on May 2025" and change frequently as companies are up/down-graded — verify current status before relying on any single company's category. Note also the cross-book Miniratna-count discrepancy (Lucent: 59; Parmar: ~73) which the raw extraction itself flags as unreconciled.

Public Sector — Objectives & Disinvestment/Privatisation Distinction

Public Sector Enterprise (PSE) = government/public-owned undertakings; private sector = privately-owned. **Main objectives of the Public Sector:** promote rapid economic development via infrastructure creation/expansion; generate development finance; promote income/wealth redistribution; create employment; encourage small-scale/ancillary industries; promote exports and import substitution; promote balanced regional development.

Privatisation vs Disinvestment (Lucent's framing) — Privatisation = a change in ownership resulting in a change in management. Disinvestment = a wider term, from mere stake dilution up to a full ownership transfer (when govt stake falls below 51%). The Disinvestment Commission (Aug 1996, chairman G.V. Ramakrishna) advised: classify PSEs into core (max 49% disinvestment) and non-core (up to 74% disinvestment); distribute shares to small investors/employees for wide/worker ownership; give PSEs greater autonomy. Disinvestment policy has since evolved to include **strategic**

disinvestment — selling 50%+ of shareholding with management-control transfer. To ease the PSU financial burden, govt introduced a **Voluntary Retirement Scheme (VRS)**, nicknamed the "**Golden Hand Shake Scheme**", with full compensation to exiting employees.

Small Scale Industries & MSMEs

SSI importance in a labour-surplus economy: (1) Employment generation — labour-intensive vs capital-intensive large industry; (2) Equitable distribution — spread ownership across individuals/regions; (3) Mobilisation of small savings — runs on small capital; (4) MSME share in national GVA $\approx$ 32% (Economic Survey 2017-18); (5) Environment-friendly — dispersed away from urban centres. SSI problems: lack of timely/adequate/easy finance, raw-material shortages, weak marketing systems, competition from large-scale industry.

MSMEs contribute $\sim$ 30% of India's GDP, $\sim$ 46% of exports, employ 11.10+ crore people. New composite investment+turnover definition effective **1 July 2020** (Atmanirbhar Bharat package), identical limits for manufacturing and services:

Category	Old — Manufacturing (Plant & Machinery)	Old — Services (Equipment)	New — Both (Investment / Turnover)
Micro	$\leq$ ₹25 lakh	$\leq$ ₹10 lakh	Investment $\leq$ ₹1 crore, Turnover $\leq$ ₹5 crore
Small	₹25 lakh–5 crore	₹10 lakh–2 crore	Investment $\leq$ ₹10 crore, Turnover $\leq$ ₹50 crore
Medium	₹5–10 crore	₹2–5 crore	Investment $\leq$ ₹50 crore, Turnover $\leq$ ₹250 crore

Per NSS 73rd Round (2015-16, NSSO): 633.88 lakh unincorporated non-agriculture MSMEs (excluding those under the Factories Act 1948/Companies Act 1956/NIC 2008 Section F). Per Udyam Registration + Udyam Assist Portal data (10 Oct 2024): 5.20 crore MSMEs registered, of which 2.20 crore were Informal Micro Enterprises (IMEs). Retail/wholesale trades included as MSMEs from July 2021 (benefits restricted to priority-sector lending). Udyam Assist Platform launched January 2023 to formalise IMEs.

Sick Industries — a unit/company (existing $\geq$ 5 years) whose accumulated losses equal/exceed its entire net worth by a financial year-end, or equal/exceed 50% of its average net worth over the preceding 4 years, and which has failed to repay creditor debts across 3 consecutive quarters on written demand.

Industrial Financial Institutions — Full Dates (Lucent §13)

Indian Industrial Investment Bank Ltd — established 17 March 1997 under the Companies Act 1956; authorised capital ₹1,000 crore; HQ Kolkata. **SIDBI** — established 1990 (per this section; cf. "1989"/"2 April 1990" elsewhere — see A.3). **IFCI** — established 1 July 1948 by special Act of Parliament; long/mid-term credit to private+public industry. **ICICI** — established 1955 under the Indian Companies Act; supports private-sector industrial establishment/development/modernisation. **IDBI** — established 1 July 1964; apex industrial-finance institution. **IRBI (Industrial Reconstruction Board of India)** — established 1971, to reconstruct sick industrial units. **UTI** — established 1964, mobilises small savings via unit sales into securities. **Abid Husain Committee** — related to small-industry reforms.

10 Lucent §14 — Industrial Performance, Infrastructure & Flagship Programmes

Index of Industrial Production (IIP) measures manufacturing/mining/electricity output, plus use-based categories (primary, capital, intermediate, infra/construction, consumer durables/non-durables). 2023-24 IIP growth: 5.9% overall (mining +7.5%, manufacturing +5.5%, electricity +7.1%).

Index of Eight Core Industries (ICI) — tracks coal, crude oil, natural gas, refinery products, fertilizers, steel, cement, electricity; combined weight $\approx$ 40.27% of IIP. Growth: avg (-0.6%) (2018-19 to 2020-21) $\rightarrow$ +10.4% (2021-22) $\rightarrow$ +7.8% (2022-23) $\rightarrow$ +7.6% (2023-24 provisional, steel/coal in double digits).

Sector-wise Performance

Coal — $\sim$ 55% of India's energy needs; raw coal output: 716.08 MT (2020-21, provisional) vs 730.87 MT (2019-20); NITI Aayog's Draft National Energy Policy expects coal demand of 1.3-1.5 billion tonnes

by 2030; plans for 30,000 Ha green cover (75 million trees) around coal areas by 2030; PSU renewable capacity 1,496 MW (as on 31.03.2021), with 5,560 MW more planned over 5 years.

Textiles — one of the world's largest industries, full value-chain manufacturing strength; T&A (incl. handicrafts) = 8.21% of India's total exports (2023-24). Contributes ~7% of industrial production, ~2% of GDP, ~15% of export earnings; employs ~45 million. India = largest producer of cotton and jute, 2nd-largest of silk and man-made fibre. Mill sector: 3,400 mills, 50+ million spindles, 8,42,000 rotors — world's 2nd largest. Kanpur (10 cotton mills) = "Manchester of North India".

Silk — ~97% of raw mulberry silk from Karnataka, Andhra Pradesh, Tamil Nadu, West Bengal + J&K; called the "Queen of Textiles" (lustre/drape/strength); India is the only country producing all 4 commercial silk varieties — Mulberry, Eri, Tasar, Muga; 2nd-largest global producer (38,913 MT) after China.

Cotton — ~23% of global fibre production; ~60% of Indian textile industry's raw-material basket; sustains ~6 million cotton farmers + 40-50 million in related trades; largest cotton-cultivation area globally (~127 lakh hectares, ~38% of world area); 2023-24 output: 327.45 lakh bales.

Jute — largest global producer, ~80 lakh bales/year; provides direct employment to 0.37 million organised-mill workers.

Wool — India = 9th-largest wool producer (33.98 million kg raw wool, 2023-24): ~85% carpet-grade, 5% apparel-grade, 10% coarser-grade; average yield 0.9 kg/sheep vs world average 2.4 kg/sheep.

Steel — crude/finished steel production (Apr-Oct 2021-22): 66.91 MT / 62.37 MT (+25.0%/+28.9% YoY); finished-steel consumption 57.39 MT (+25.0%). Sponge-iron capacity 43.4 MT (2015-16); world's largest sponge-iron producer every year since 2003 except 2016; a net pig-iron exporter. Crude-steel capacity now 179.51 MT (BHARAT 2025).

Sectoral Developments — Electronics, Transport, Telecom, Power, Mining

Electronics — domestic production grew from ₹1.90 lakh crore (FY15) to ₹9.52 lakh crore (FY24), 17.5% CAGR; smartphone import-dependence cut to ~1% (99% domestic manufacture); ~33 crore mobile units produced in FY24, 75%+ 5G-enabled.

Road transport — total road network 63.4 lakh km (incl. National Highways 1,46,195 km — just 2% of the network carrying ~40% of road freight traffic); road transport = 78% of transport-services GVA (FY23), the highest share within transport.

Railways — 17 new Vande Bharat train-pairs + 228 coaches (Apr-Oct 2024). **Gati Shakti Multi-modal Cargo Terminals**: 91 commissioned, 234 locations approved (by 31 Oct 2024). **Net-zero target**: 30 GW renewable energy by 2029-30 (375 MW solar + 103 MW wind commissioned by Oct 2024). **Economic corridors**: 434 projects worth ₹11.17 lakh crore mapped on PM GatiShakti portal. **Mumbai-Ahmedabad High-Speed Rail** — sanctioned Dec 2015, 508 km, Japan-backed, revised cost ₹1.08 lakh crore, 47.17% physical progress (Oct 2024). **Dedicated Freight Corridors** — 2,741 km (96.4%) of the planned 2,843 km commissioned (Nov 2024). **Kavach** (indigenous Automated Train Protection) — ₹1,547 crore invested (till Nov 2024); Electronic Interlocking installed at 227 stations in FY25 (total 3,576 stations); first Direct Drive Interlocking commissioned Nov 2024 at Tajpur.

Civil Aviation — capex plan >₹91,000 crore (FY20-25), ~91% achieved by Nov 2024. UDAN (Regional Connectivity Scheme) — 619 routes, 88 airports (incl. 2 water aerodromes, 13 heliports) operationalised; airport cargo capacity reached 8.0 million MT in FY24.

Ports & Shipping — **Sagarmala programme** harnesses India's coastline/waterways for logistics efficiency (port connectivity, coastal community development, coastal shipping, inland water transport). Key projects: **Vadhavan Mega Port** (₹76,000+ crore, 9 container terminals); **Tuticorin International Container Terminal** (inaugurated Sept 2024, 6 lakh TEU/year capacity, vessels up to 10,000 TEU) + a planned Outer Harbour (+4 million TEU capacity, two 1,000m terminals); **Chabahar Port** (Shahid Beheshti Port, Iran) links Mumbai to Eurasia via INSTC — 43% rise in vessel traffic, 34% rise in container traffic (FY24); **Sittwe Port, Myanmar** (Kaladan Project) — alternative Kolkata-Mizoram route. River-cruise tourism: 82,587 day-cruise passengers (by Oct 2024); night-cruise passengers up 5x to 11,431 (FY24 vs FY19).

Telecommunications — 5G live in all states/UTs (by 31 Oct 2024), 779/783 districts, 4.6 lakh+ 5G BTS installed. **BharatNet** (broadband to all Gram Panchayats): 6.92 lakh km OFC laid, 2.14 lakh GPs service-ready (incl. 5,032 via satellite), 12.04 lakh FTTH connections (as of Dec 2024).

Power Sector — installed capacity +7.2% YoY to 456.7 GW (Nov 2024); renewable capacity +15.8% YoY to 209.4 GW (Dec 2024, from 180.8 GW Dec 2023) — renewables now ~47% of total installed

capacity.

Manufacturing — industrial sector grew 6% in H1 FY25 (Q1: 8.3%, Q2 moderated "due to three key factors" — unspecified in the source). **Mining** — contributes ~8% of industrial output; top 5 states (Assam, Chhattisgarh, Gujarat, Maharashtra, Odisha) = ~60% of all-State mining GSVA.

Kandla — First Green SEZ — Kandla SEZ (KASEZ) awarded IGBC Platinum Rating (26 July 2021) for green master planning/policy/infrastructure — first Green SEZ to achieve IGBC's Green Cities Platinum Rating for Existing Cities.

National Logistics Policy (NLP) — launched 2022; an interdisciplinary, cross-sectoral, multi-jurisdictional logistics framework, complementing PM GatiShakti (which targets integrated infrastructure, while NLP targets logistics-service efficiency via process streamlining, regulation, skill development, and technology adoption); vision: a tech-enabled, integrated, cost-efficient, resilient, sustainable, trusted logistics ecosystem.

Make in India — launched September 2014; facilitates investment, innovation, world-class infrastructure, positions India as a manufacturing/design/innovation hub ("Vocal for Local", "Make in India for the World"); now spans 27 sectors — DPIIT coordinates 15 manufacturing-sector plans, Dept. of Commerce coordinates 12 service-sector plans; investment outreach via ministries/states/Indian missions abroad.

Startup India — launched 2016; fosters entrepreneurship/innovation via 3 pillars — simplification & handholding, funding support & incentives, industry-academia partnership & incubation. By July 2024: 1,43,549 recognised startups across 56 industries, 670+ districts, at least one from every State/UT, 15.80+ lakh jobs created since 2016. **Startup India Seed Fund Scheme (SISFS)** — DPIIT scheme, ₹945 crore outlay, funds proof-of-concept/prototyping/trials/market-entry/commercialisation; targets ~3,600 entrepreneurs via 300 incubators over 4 years.

Appendix

A.1 — PYQ citation index (buckets 06+10+12, ~130 Qs combined — representative selection; full coverage reflected in-body)

Fact tested	Exam · Date · Shift (sample)
Planning Commission 1st Chairman = Nehru	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
Architect of Indian Planning = Mahalanobis	SSC CHSL Tier-I, 22/11/2025 (Sh-02); SSC CGL Tier-I 25/09/2025 (Sh-01)
Planning Commission function = 5-yr plans	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Import substitution objective	SSC CGL Tier-I, 20/09/2025 (Sh-02); 16/09/2025 (Sh-03); 20/09/2025 (Sh-01)
Rolling Plan = Morarji Desai, 1978-80	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Planning Commission established 1950	SSC CGL Tier-I, 24/09/2025 (Sh-01)
Mahalanobis strategy = heavy industry investment	SSC CGL Tier-I, 25/09/2025 (Sh-01)
IPR 1956 → 2nd Five Year Plan, commanding heights	SSC CGL Tier-I, 23/09/2025 (Sh-01); 23/09/2025 (Sh-02, Sh-03)
Growth w/ Social Justice = 9th Plan; 1st Plan=Harrod-Domar (statements)	SSC Stenographer, 07/08/2025 (Sh-02)
6th Plan = Garibi Hatao (statements)	SSC Stenographer, 07/08/2025 (Sh-01)
1st Plan launched 1951	SSC Phase XIII, 02/08/2025 (Sh-02)
Foreign aid = Soviet Union/UK/W.Germany, 2nd Plan	SSC Phase XIII, 24/07/2025 (Sh-03)
2nd Plan basis = Mahalanobis ideas	SSC CHSL Tier-I, 30/11/2025 (Sh-03)
2nd Plan ended 1961	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
4th Plan started 1969	SSC CPO Tier-I, 09/12/2025 (Sh-01)
8th Plan key issue = BoP+debt (statements)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Global crisis during 12th Plan launch	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
4th Plan Planning Commission Chairman = Indira Gandhi	SSC CHSL Tier-I, 24/11/2025 (Sh-02)

Hill Area Development Programme, 5th Plan	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
"NOT a goal" = dependency on foreign aid	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
3rd Plan disruption = war+drought	SSC CHSL Tier-I, 29/11/2025 (Sh-01); SSC CPO Tier-I 12/12/2025 (Sh-02)
Real planning began = 2nd Plan	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
Self-reliance goal, post-Independence (A-R)	SSC CGL Tier-I, 17/09/2025 (Sh-02)
Mahalanobis Model used in 2nd Plan	SSC CGL Tier-I, 17/09/2025 (Sh-03)
2nd Plan = Mahalanobis, heavy industry focus	SSC CGL Tier-I, 17/09/2025 (Sh-01)
MNP = Fifth Plan (A-R + direct Q)	SSC CPO Tier-I, 10/12/2025 (Sh-01); SSC CGL Tier-I 19/09/2025 (Sh-03)
3rd Plan failure (A-R)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
4th Plan growth+stability (A-R)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Import substitution rationale (A-R)	SSC CGL Tier-I, 16/09/2025 (Sh-03)
Plan Holiday definition	SSC CGL Tier-I, 20/09/2025 (Sh-03); 14/10/2025 (Sh-02)
Socialist pattern = 2nd Plan (Avadi session)	SSC CGL Tier-I, 24/09/2025 (Sh-02)
1st Plan focus = agriculture	SSC CGL Tier-I, 24/09/2025 (Sh-03)
Architect of 5-yr plans = Mahalanobis	SSC CGL Tier-I, 25/09/2025 (Sh-01)
Green Revolution = 3rd Plan	SSC CGL Tier-I, 25/09/2025 (Sh-03)
6th Plan aim = poverty/modernisation	SSC CGL Tier-I, 26/09/2025 (Sh-02, Sh-03)
Karve Committee = rural industrialisation (A-R)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
PFC granted Maharatna, Oct 2021	SSC CHSL Tier-I, 22/11/2025 (Sh-03); 18/11/2025 (Sh-03)
National Renewal Fund purpose	SSC CHSL Tier-I, 14/11/2025 (Sh-03)
IBC 2016 purpose = resolve financial distress	SSC Stenographer, 06/08/2025 (Sh-02)
Capital goods industry definition	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
EoDB "Enforcing Contracts" indicator	SSC Stenographer, 08/08/2025 (Sh-01)
Public sector dominance rationale 1947-90	SSC Stenographer, 08/08/2025 (Sh-03)
Non-manual tertiary occupation trend	SSC Stenographer, 08/08/2025 (Sh-03)
Light industries definition	SSC CGL Tier-I, 12/09/2025 (Sh-02)
Iron/steel = heavy industry (A-R)	SSC CGL Tier-I, 12/09/2025 (Sh-03)
Textile industry = full value chain self-reliance	SSC CGL Tier-I, 13/09/2025 (Sh-01)
Heavy industry pair = shipbuilding+automobile	SSC CGL Tier-I, 13/09/2025 (Sh-02)
Fertilizer industry statements (potash/urea/Gujarat-Kerala)	SSC CGL Tier-I, 13/09/2025 (Sh-03)
Consumer goods industry = toothpaste	SSC CGL Tier-I, 14/09/2025 (Sh-01)
Sugar industry statements	SSC CGL Tier-I, 14/09/2025 (Sh-02); 14/10/2025 (Sh-02)
Mahalanobis heavy-industry rationale (A-R)	SSC CGL Tier-I, 15/09/2025 (Sh-01)
Agro-based industry pair = cotton+sugar	SSC CGL Tier-I, 15/09/2025 (Sh-03)
IPR 1956 Schedule A/B/C (A-R)	SSC CGL Tier-I, 16/09/2025 (Sh-01)
Sindri plant = Jharkhand	SSC CGL Tier-I, 16/09/2025 (Sh-03)
1st Industrial Policy = 1948	SSC CGL Tier-I, 18/09/2025 (Sh-02); 21/09/2025 (Sh-02 A-R)
Heavy industry description	SSC CGL Tier-I, 20/09/2025 (Sh-02)
IPR 1956 objective = growth with equity	SSC CGL Tier-I, 23/09/2025 (Sh-01, Sh-02, Sh-03)
Chennai = Detroit of India (statements)	SSC CGL Tier-I, 23/09/2025 (Sh-02)
Basic industry = aluminium smelting	SSC CPO Tier-I, 11/12/2025 (Sh-02)
MCA21 improved Starting-a-Business EoDB	SSC CPO Tier-I, 12/12/2025 (Sh-02)
DPIIT handles industry+Gati Shakti (statements)	SSC CPO Tier-I, 12/12/2025 (Sh-02)
National Infrastructure Pipeline launched 2020	SSC CHSL Tier-I, 12/11/2025 (Sh-02)

Deepak Parekh Committee (affordable housing), 2008	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
1991 reforms year/name (multiple phrasings)	SSC CGL Tier-I, 26/09/2025 (Sh-01); 25/09/2025 (Sh-01); Stenographer 06/08/2025 (Sh-01)
Stabilisation short-term objective = inflation/BoP	SSC CGL Tier-I, 23/09/2025 (Sh-03)
1991 crisis = external debt/BoP	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Trade reform impact on capital-goods imports	SSC Stenographer, 07/08/2025 (Sh-03)
Rupee devalued 1991 = boost exports/forex	SSC Phase XIII, 24/07/2025 (Sh-03)
IMF+World Bank role in reforms	SSC Phase XIII, 31/07/2025 (Sh-02)
"NOT a goal" of 1991 reforms = expand public sector	SSC CPO Tier-I, 10/12/2025 (Sh-01)
EoDB ranking weightage (A-R)	SSC CGL Tier-I, 21/09/2025 (Sh-01)
Streamlining regulations definition	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Liberalisation affects all 3 sectors	SSC CGL Tier-I, 17/09/2025 (Sh-01)
Washington Consensus excludes export subsidies	SSC CGL Tier-I, 19/09/2025 (Sh-03)
Liberalisation removes entry barriers (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-02)
1991 reforms opened economy to foreign investors (A-R)	SSC CGL Tier-I, 24/09/2025 (Sh-01)
Sectors excluded from post-91 licensing	SSC CGL Tier-I, 24/09/2025 (Sh-02)
LERMS introduced 1992	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
Foreign bank investment limit = 74%	SSC CHSL Tier-I, 26/11/2025 (Sh-02)
Trade policy reform: removed QRs (statements)	SSC Stenographer, 08/08/2025 (Sh-03)
1991 reforms boosted forex reserves (A-R)	SSC CGL Tier-I, 17/09/2025 (Sh-01)

A.2 — PYQ-book-only facts

K.C. Pant's exact tenure dates (5 Feb 1999–17 June 2004) as Deputy Chairman during the 10th Plan, Deepak Parekh Committee (2008, affordable housing), Gulzarilal Nanda as first Deputy Chairman of the Planning Commission, and "Chennai = Detroit of India" — all sourced to the PYQ book's own explanations, not independently present in the Parmar/Lucent raw extraction (though the 10th Plan itself and Vajpayee/Manmohan Singh chairmanship are backed).

A.3 — Doubts carried forward

CPSE counts (14/26/~73) and financial thresholds are time-sensitive (flagged in the raw extraction). Some Five-Year-Plan target/achieved growth figures vary slightly between the raw extraction and individual PYQ explanations (e.g. 3rd Plan achieved 2.4% vs 2.8% across different citations) — both transcribed as printed in their respective sources, not reconciled.

A.4 — Full source coverage note

Sections 7-10 above restore the previously-condensed Lucent content in full: §6 (Types of Planning, Models of Economic Development, PURA, the Lucent plan table), §8 (NEP full detail, First/Second Generation Reforms, Disinvestment Commission), §13 (complete IPR-1991 NIP feature list, CPSE lists, Public Sector objectives, Privatisation/Disinvestment distinction, MSME definitions/data, Sick Industries, financial-institution dates), and §14 (Index of Industrial Production, Eight Core Industries, all sector-wise performance data, infrastructure/transport/telecom/power sections, Make in India, Startup India) — nothing from the raw extraction for this batch is now deliberately excluded.

ECONOMY — Agriculture and Allied Sector

Batch 8 of 10 · Source: Lucent §4 "Agriculture and Allied Sector" only — Parmar's Economics section has no dedicated agriculture chapter · PYQ bucket "09 Agriculture and Food Management" (24 Qs) · ★ = tested in a real past SSC paper

*Green Revolution / HYV / agriculture content also lives in **claudefgeography-raw/agriculture_raw_extraction.md** (Geography build) — cross-referenced, not duplicated in full.*

1 Green Revolution — Reach & Regional Imbalance

HOOK Green Revolution (1960s) — HYV seeds, fertilizers, irrigation → self-sufficiency in foodgrains. **Only effective where irrigation was already good** ★ — Punjab, Haryana, western UP ★ (canal/tube-well irrigation, wheat-centric farming); largely **ineffective in Bihar** in its first phase ★ (flood-prone, weak infra, small landholdings, limited irrigation). **Punjab = first & largest beneficiary** ★.

TRAP Regional disparity cause ★ = HYV/irrigation access **restricted to select states** ★ — NOT price controls or fertilizer neglect (tested distractors). A tested Assertion-Reason confirms BOTH true, R correctly explains A ★ (regional imbalance ← HYV/irrigation initially available only in select states).

Green Revolution did **NOT** cover barley, ragi, minor millets — confined to **rice, wheat, maize, jowar**; biggest effect on **wheat** (~500% increase, per raw extraction). Credited internationally to **Norman Borlaug** ("Father of Green Revolution"); in India, **Dr. M.S. Swaminathan** played the leading role.

DOUBT Raw extraction's own internal inconsistency: Lucent p.257 says Green Revolution began under a "termed name" credited to "William Gande" (likely a garbled "William Gaud", the US administrator who coined the term "Green Revolution" in 1968) alongside Borlaug/Swaminathan; p.258 separately states it "started in the Third Five Year Plan" — this conflicts with Parmar Ch.10 (Batch 7), which places it in the Plan Holiday (1966-69). Both dates transcribed as printed, not resolved.

2 Occupational Structure & Land Reforms (1947-1990)

HOOK At Independence (1947), ~**70-75%** of India's population depended on agriculture ★ (highest GDP contributor then, since manufacturing/services were nascent). By 1990, this had only fallen to ~**65%** ★ — despite agriculture's *GDP share* falling sharply, its *workforce share* barely moved: a tested "failure of structural transformation" ★ (workforce didn't shift to industry/services as theory predicts). A tested Assertion-Reason (planning 1951-90 failed to transform employment structure / >65% workforce still in agriculture) — **both true, R explains A** ★.

Occupational diversification ★ = the term for workers shifting from agriculture to industry/services (reduces rural risk, generates new income — NOT "industrialization"/"urbanization" alone, tested distractors).

HOOK Land reforms (1947-90) objective ★: **abolish intermediaries (zamindars) + land ceilings** ★ → redistribute surplus land to landless/small cultivators, reduce land-ownership concentration ★ — "land to the tiller" principle (NOT consolidate land in a few hands, promote cash crops, or mechanisation — tested distractors).

Land measure	Meaning
Land Ceiling	Maximum land a farmer may legally hold
Chakbandi (Consolidation)	Aggregating fragmented/divided landholdings — first implemented 1920, Baroda

Landholding size classes: Marginal <1 ha; Small 1-4 ha; Large >4 ha.

TRAP **Fertilizer subsidies (1960-90)** ★ were a "double-edged" instrument — boosted productivity **but disproportionately benefited richer/larger farmers** ★ (small farmers lacked resources to fully exploit them) — worsening rural inequality, NOT reducing employment or discouraging HYV use.

UP = highest share of workforce in agriculture ★ among the states tested (fertile Ganga-Yamuna plain, large rural population) — **Punjab/Haryana >85% of net sown area under irrigation** ★ (Bhakra Nangal canal system + tubewells).

3 The Revolutions

Revolution	Sector	Key facts ★
White Revolution ★	Milk	Operation Flood ★ — launched Jan 1970 ★ by NDDB ; father: Dr. Verghese Kurien ★ (also Amul model/Anand pattern architect — NOT the inventor of milk pasteurisation, that's Louis Pasteur, 19th century — a tested distractor ★); made India the world's largest milk producer
Yellow Revolution	Oilseeds	Named in the raw extraction ("increase in oil-seeds production"), but the Technology Mission on Oilseeds (1986)/NDDB role/"Operation Golden Flow" detail is PYQ-book-only, see A.2
Blue Revolution	Fish production	—
Sweet Revolution	Beekeeping/honey	National Beekeeping & Honey Mission (NBHM), ₹500cr, 2020-23, via National Bee Board

HOOK **Amul** ★ (Kaira District Co-op Milk Producers' Union, PYQ-book-only, see A.2) — established **14 Dec 1946** ★, Anand, Gujarat, under **Sardar Vallabhbhai Patel's** guidance — laid the foundation of the White Revolution by ending middlemen exploitation.

4 Institutions, Certification & Boards

Body	Role/Act
AGMARK ★	Quality/purity certification for agricultural products ★, under Agricultural Produce (Grading and Marking) Act, 1937
ACPC/CACP	Recommends Minimum Support Prices (MSP) — Lucent calls it "Agriculture Cost and Price Commission (ACPC)"; Parmar's Ch.10 uses "CACP" (Commission for Agricultural Costs & Prices, est. 1 Jan 1965, see Batch 7)
NABARD	Apex rural-credit institution, 12 July 1982, Sivaraman Committee (see Batch 5/7); authorised capital ₹500cr → ₹5,000cr (2001) → ₹30,000cr (2018 Amendment Bill)

Commodity Board	HQ	Governing Act
Coffee Board	Bengaluru	Coffee Act, 1942
Rubber Board	Kottayam	Rubber Act, 1947
Tea Board	Kolkata	Tea Act, 1953
Tobacco Board	Guntur	Tobacco Act (AP), 1975
Spices Board	Kochi	Spices Act, 1986

MSP = price at which govt commits to buy directly from farmers if market price falls below it.

Commercial crops = grown for trade, not self-consumption (oilseeds, sugar, fibre, narcotic, beverage crops).

5 Agricultural Finance

Unorganised sources	Organised sources
Money-lenders, relatives, landlords, commission agents	Co-op societies/banks, commercial banks, RRBs, government

Co-operative Credit first started **1904**. **Land Development (Mortgage) Bank** established **1919** — long-term loans.

6 Modern Schemes & Concepts

Scheme/Concept	Key facts ★
PMFBY	Launched 2016 Kharif season — comprehensive crop-failure insurance; farmer premium capped at 1.5%(Rabi)/2%(Kharif)
Agriculture Infrastructure Fund (AIF) ★ (PYQ-book-only)	Finances agri-logistics and cold chains ★ (warehouses, primary processing) — loans to farmers/FPOs/cooperatives (NOT free fertilizer, cash transfers, or MGNREGA — tested distractors)
National Mission on Natural Farming ★	Launched Nov 2024 , targets 1 crore farmers ★ for chemical-free/natural farming
ULPIN ★	14-digit unique land-parcel ID ★; tracks ownership/resolves disputes; covers both rural and urban land ★ (NOT urban-only — tested distractor)
SMAM ★	Sub-Mission on Agricultural Mechanization — 75% grant to FPOs ★ for Kisan Drone demonstrations
GMOs ★	Purpose: improve crop yield, pest resistance, nutritional quality ★ (e.g. Bt Cotton for pest resistance, Golden Rice for Vitamin-A) — NOT eliminate fertilizer/pesticide use entirely

7 Agriculture — Growth, Production & National Data (Lucent \$4, Full Coverage)

Indian agriculture grew at an average annual rate of 4.6% over the last 6 years (per source); 3.0% in 2021-22 vs 3.3% in 2020-21. India has rapidly become a net agri-exporter — agri/allied exports grew 18% in 2020-21; 2021-22 agri exports hit an all-time high of **US\$50.2 billion**. Agriculture & Allied = 18.4% of India's GVA at current prices (2022-23, BHARAT 2025); accounts for ~1/7th of GDP and sustains ~2/3rds of the population.

Real GVA grew 6.2% in H1 FY25 (strong Q1, subdued Q2); agriculture and services were the key growth drivers. Agri growth: Q2 FY25 = 3.5% (best in 4 quarters), aided by healthy Kharif output, above-normal monsoon, adequate reservoir levels. First advance estimates (2024-25): Kharif foodgrain production = record **1,647.05 lakh metric tonnes (LMT)**, +5.7% over 2023-24, +8.2% over the 5-year average. As of 10 Jan 2025, Rabi wheat/gram sowing was up 1.4%/0.8% YoY.

Foodgrain production rose from 265.05 million tonnes (2013-14) to a record 328.85 million tonnes (2023-24); horticulture production = 352.23 million tonnes (3rd advance estimate). (Source: BHARAT 2025)

International Year of Millets — UNGA's 75th session (March 2021) declared 2023 the International Year of Millets; millets are "Smart Food" — high nutrition, climate-resilient, aligned with UN SDGs.

8 PMFBY, MSP & Related Schemes — Full Detail

PMFBY (Pradhan Mantri Fasal Bima Yojana) — launched 2016 Kharif season for comprehensive crop-failure insurance/income stabilisation. World's **largest crop-insurance scheme by farmer enrolment** (avg. 5.5 crore applications/year) and 3rd-largest by premium received. Farmer premium share: 1.5% (Rabi) / 2% (Kharif) of total premium — Centre+State bear the rest. Over its first 6 years, farmers paid ₹25,186 crore in premiums and received ₹1.2 lakh crore in claims (as of 31 Oct 2022).

Allied sectors (horticulture, animal husbandry, dairy, fisheries) are important for rural economic conditions/nutrition. **Commercial crops** = grown for trade, not self-consumption — includes oilseed, sugar, fibre, narcotic, and beverage crops. **ACPC (Agriculture Cost and Price Commission, per Lucent's naming)** decides MSP on the government's behalf. **MSP** = the price at which government commits to purchase crops directly from farmers if the market price falls below it.

9 Sweet Revolution, Blue Economy 2.0 & Full Commodity Board Table

Sweet Revolution — govt approved ₹500 crore for the **National Beekeeping & Honey Mission (NBHM)** over 3 years (2020-21 to 2022-23), under the Atma Nirbhar Bharat (ANB) scheme; promotes scientific beekeeping via the **National Bee Board (NBB)**.

Blue Economy 2.0 — highlighted in the Interim Budget 2024 (1 Feb 2024); emphasises sustainable development of coastal aquaculture, seas, and coasts; pillars: Mariculture, Maritime Transport, Renewable Energy, Tourism; balances environmental preservation with economic activity. World Bank's definition: "sustainable use of ocean resources for economic growth, improved livelihoods and jobs while preserving the health of the ocean ecosystem."

Board	HQ	Governing Act/Date
Coffee Board	Bengaluru, Karnataka	Coffee Act, 1942
Rubber Board	Kottayam, Kerala	Rubber Act (Kerala), 1947
Tea Board	Kolkata, West Bengal	Tea Act, 1953
Tobacco Board	Guntur, Andhra Pradesh	Tobacco Act (A.P.), 1975
Spices Board	Kochi, Kerala	Spices Act, 1986
National Meat and Poultry Processing Board	Delhi	26 Dec 2008
Indian Grape Processing Board	Pune, Maharashtra	2 Jan 2009

10 Allied Sectors — Livestock, Fisheries & Dairy

Livestock, forestry/logging, and fishing/aquaculture are buoyant-growth allied sectors and a potential source of better farm incomes. **Livestock sector** grew at 7.9% CAGR (2014-15 to 2020-21, constant prices); its share of agriculture GVA rose from 24.3% (2014-15) to 30.1% (2020-21). **Fisheries sector** — ~7% annual average growth since 2016-17; ~6.7% share of agriculture GVA. Allied sectors' faster growth than crops raises their share of total agri-GVA over time.

Dairy — the most critical livestock component, employing 8+ crore farmers directly; India ranks **1st in milk production** globally, **3rd in egg production**, **8th in meat production**.

11 National Food Security Act (NFSA), 2013

Objective: food/nutritional security across the human life cycle via affordable access to adequate quality food, ensuring dignity. Notified **10 September 2013**; covers up to 75% of the rural population and up to 50% of the urban population for subsidised foodgrains under the **Targeted Public Distribution System (TPDS)** — about 2/3rds of the total population; special nutritional focus on women and children. (Source: MOCAFPD)

12 Green Revolution, Revolutions & Land Reform — Additional Lucent Detail

Per Lucent: credit for the Green Revolution in India goes to agricultural scientist **Dr. Norman Borlaug**; **Dr. M.S. Swaminathan's** contribution is "not less" — but the "termed name" is credited to American scientist "William Gande" (a likely garbled rendering of William Gaud, who coined the term "Green Revolution" in 1968). Elsewhere the book separately calls Swaminathan the leading figure in India's Green Revolution and Borlaug "The Father of Green Revolution" in the world — an internal inconsistency, both preserved verbatim.

White Revolution = rapid rise in milk production; driven by **Operation Flood**, "Father": Dr. Verghese Kurien; the world's largest integrated dairy-development programme, started by the **National Dairy Development Board in 1970**. **Yellow Revolution** = rise in oilseed production. **Blue Revolution** = rise in fish production.

11th Plan (2007-12): agriculture's plan outlay fell to just 18.5%; average annual agri/allied GDP growth = 3.7% — short of the 4% target but better than the 10th Plan's 2.4%. The **10th Plan was the first plan not to fix crop-production targets**. Green Revolution did not cover barley, ragi, or minor millets — confined to HYV rice, wheat, maize, jowar. **National Agriculture Insurance Scheme** implemented October 1999.

Land-holding reorganisation used two measures: **Land Ceiling** (max legal landholding) and **Chakbandi** (consolidating fragmented/divided land) — Chakbandi was first implemented in India in **1920, Baroda**. Landholding classes: Marginal <1 ha, Small 1-4 ha, Large >4 ha.

Per the source's own pink-box correction: **M.S. Swaminathan**, Indian geneticist/international administrator, is renowned for leading India's Green Revolution, while **Norman E. Borlaug** is called "The Father of Green Revolution" globally. Green Revolution "started in the Third Five Year Plan" (per Lucent p.258) — its most positive effect was on wheat, with a 500% increase in crop production (as printed, unverified statistic).

13 Agricultural Finance & NABARD — Full Detail

Unorganised finance sources: money-lenders, money-dealers, relatives, businessmen, landlords, commission agents. **Organised sources:** Co-operative Committees, Co-operative Banks, Commercial Banks, RRBs, the Government. Co-operative Credit Organisation started 1904; Primary Co-operative Committees give short-period credit; **State Co-operative Agriculture and Rural Development Banks** give long-period credit. **Land Development Bank** (originally "Land Mortgage Bank") established 1919 — long-term loans.

NABARD — apex rural-credit institution; established **12 July 1982** by merging the RBI's Agriculture Credit Department and the Agricultural Refinance and Development Corporation; based on the **Sivaraman Committee** (printed "Shivraman") recommendations. Authorised share capital: ₹500 crore initially → increased to **₹5,000 crore, effective 1 February 2001** → a further six-fold increase to **₹30,000 crore** via the NABARD (Amendment) Bill 2017 (passed January 2018), which also enabled RBI's exit from NABARD's ownership.

Appendix

A.1 — PYQ citation index (bucket "09 Agriculture and Food Management", 24 Qs)

Fact tested	Exam · Date · Shift
AIF supports agri-logistics/cold chains	SSC CGL Tier-I, 13/09/2025 (Sh-01)
Green Revolution regional disparity cause	SSC CGL Tier-I, 21/09/2025 (Sh-01)
Structural transformation failure (workforce share)	SSC CGL Tier-I, 22/09/2025 (Sh-01)
Verghese Kurien = Operation Flood/White Revolution	SSC CGL Tier-I, 22/09/2025 (Sh-03)
Green Revolution phase-1 ineffective in Bihar	SSC CGL Tier-I, 25/09/2025 (Sh-02)
Land reforms equity goal = abolish intermediaries	SSC CGL Tier-I, 26/09/2025 (Sh-01)
Green Revolution → regional imbalance (A-R)	SSC CPO Tier-I, 10/12/2025 (Sh-01)
1951-90 planning failed employment transformation (A-R)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
AGMARK = agriculture products certification	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
National Mission on Natural Farming, 1 crore farmers	SSC CHSL Tier-I, 22/11/2025 (Sh-03)
Punjab/Haryana >85% net sown area irrigated	SSC CHSL Tier-I, 22/11/2025 (Sh-03)
Operation Flood launched 1970	SSC CHSL Tier-I, 26/11/2025 (Sh-02)
NDDB's role in Technology Mission on Oilseeds	SSC Stenographer, 06/08/2025 (Sh-01)
ULPIN system statements	SSC Stenographer, 06/08/2025 (Sh-01)
UP = highest workforce share in agriculture	SSC Stenographer, 06/08/2025 (Sh-01)
Occupational diversification term	SSC Stenographer, 06/08/2025 (Sh-01)
Punjab = first Green Revolution beneficiary	SSC Stenographer, 06/08/2025 (Sh-02)
Technology Mission on Oilseeds ministry	SSC Stenographer, 06/08/2025 (Sh-02)
GMO purpose = yield/pest-resistance/nutrition	SSC Stenographer, 07/08/2025 (Sh-01)
Main occupation post-Independence = agriculture	SSC Stenographer, 07/08/2025 (Sh-03)
Land reform objective 1947-90 = reduce concentration	SSC Stenographer, 08/08/2025 (Sh-01)
Fertilizer subsidy = double-edged, favoured richer farmers	SSC CGL Tier-I, 21/09/2025 (Sh-03)
SMAM: 75% grant for Kisan Drone demos	SSC Phase XIII, 29/08/2025 (Sh-01)

A.2 — PYQ-book-only facts

The Agriculture Infrastructure Fund (AIF), the Technology Mission on Oilseeds (1986)/NDDB's role/"Operation Golden Flow", the Amul/Kaira District Co-op founding details (1946, Sardar Patel) — none of these are in Lucent §4's raw extraction (which only names Verghese Kurien/Operation Flood and "Yellow Revolution" in passing); all sourced transparently to the PYQ book's own explanation text.

A.3 — Doubts carried forward

Green Revolution's start-date attribution (Third Plan per Lucent p.258 vs Plan Holiday 1966-69 per Parmar Ch.10) — both transcribed as printed, not reconciled; "William Gande"/Gaud naming confusion in the source.

A.4 — Full source coverage note

Sections 7-13 above restore all previously-condensed Lucent §4 content in full: national agri growth/production statistics, PMFBY's complete premium/enrolment detail, Sweet Revolution/Blue Economy 2.0, the complete 7-row commodity-board table, allied-sector (livestock/fisheries/dairy) statistics, the National Food Security Act's full provisions, the raw extraction's own internally-inconsistent Green-Revolution attribution text, and NABARD's full capital-history timeline. Every fact in the raw extraction for this batch is now covered — nothing is deliberately excluded.

ECONOMY — Indices, Reports, Institutions & Noteworthy Facts

Batch 9 of 10 · Sources: Parmar Ch.11 (Indices, Reports, Institutions & Key Economic Concepts) + Lucent §16 (Noteworthy Facts) · PYQ bucket "15 Important Indices" (52 Qs) · ★ = tested in a real past SSC paper

HDI and MPI are covered in **Batch 6 §1** — cross-referenced, not repeated here.
SEBI/IRDAI/PFRDA/CCIL/NSE/TRAI institutional dates are covered in **Batch 5**.

1 Indices with Book Backing

Index	Publisher	Key facts ★
Financial Inclusion Index (FI-Index) ★	RBI (annual, July)	3 parameters: Access (35%), Usage (45%), Quality (20%) ★; score 0 (exclusion) to 100 (full inclusion) — introduced Aug 2021 ★; risen further by March 2025 (exact PYQ-tested figure not independently confirmed here — see A.2)
Corruption Perceptions Index (CPI) ★	Transparency International (annual, since 1995)	Scale 0 (highly corrupt) - 100 (very clean) ★ — a lower score = more corruption ★ (not "higher transparency"/"less corruption" — a tested trap on score direction)
World Competitiveness Index/Ranking ★	IMD (Switzerland; annual, since 1989)	Assesses ability to create/maintain an environment for enterprises to compete ★ — economic performance, govt efficiency, business efficiency, infrastructure (NOT tourism or cultural heritage)
World Press Freedom Index ★	Reporters Without Borders (RSF)	Higher ranking = greater press freedom ★ (Norway/Finland top; North Korea/China bottom — press-freedom/journalist-safety/legal-framework/media-diversity based)
Environmental Performance Index (EPI) ★	Yale & Columbia Universities (biennial, WEF partner)	180 countries, 58 indicators, 11 categories (air quality, water, biodiversity, climate) ★
World Happiness Report ★	UN SDSN (NOT UNDP ★) + Gallup World Poll	Subjective life-evaluation/well-being self-ratings (0-10) ★, plus GDP per capita, social support, health, freedom, generosity, corruption perception ★
Global Gender Gap Report ★	World Economic Forum (WEF)	4 areas: political empowerment, economic participation, educational attainment, health & survival ★
Export Preparedness Index (EPI, India) ★	NITI Aayog (launched Aug 2020)	4 pillars: Policy, Business Ecosystem, Export Ecosystem, Export Performance ★; initial top performers: Gujarat, Maharashtra, Tamil Nadu
Fiscal Health Index (FHI)	NITI Aayog (data: CAG)	State fiscal health — expenditure quality, revenue mobilisation, debt index
Gender Inequality Index (GII)	UNDP	3 dimensions: reproductive health, empowerment, labour market — lower GII = better performance

India Innovation Index / SEQI	NITI Aayog	State/UT innovation ecosystem / school-education quality (SEQI first released Sept 2019)
Multidimensional Vulnerability Index (MVI)	UN General Assembly, Aug 2024	Structural vulnerability of developing nations, esp. Small Island Developing States

HOOK Two same-abbreviation traps ★: **"EPI"** = both Environmental Performance Index (Yale/Columbia) AND Export Preparedness Index (NITI Aayog) — context decides which. **"CPI"** = both Corruption Perceptions Index (this batch) AND Consumer Price Index (Batch 4) — do not confuse.

2 Reports

Report	Publisher
PLFS (Periodic Labour Force Survey)	NSO, under MoSPI (see Batch 4)
Financial Stability Report / Handbook of Statistics on Indian Economy	RBI (see Batch 5)
Global Gender Gap Report	WEF

3 International Trade Institutions & Agreements

Body/Agreement	Key facts ★
GATT ★	Signed 1947 ★ — reduced tariffs/trade barriers; replaced by WTO in 1995 ★
GATS	Extends trade rules to services — 4 modes (cross-border supply, consumption abroad, commercial presence, movement of natural persons)
Agreement on Agriculture (AoA)	Effective 1995, WTO — reduces trade-distorting agri subsidies

HOOK WTO subsidy boxes ★: **Green Box** = doesn't disrupt trade, no limits; **Blue Box** = limits production, no limits; **Amber Box** = disrupts trade, **De Minimis limit applies** ★.

Anti-dumping duty = on imports priced below normal value; **Countervailing duty** = offsets export subsidies.

4 Government Initiatives & Institutions (dates)

Initiative/Institution	Date
Startup India	2016, under DPIIT
Make in India	25 Sept 2014
POSHAN Abhiyaan	8 March 2018
Mission Antyodaya	Union Budget 2017-18
PAT scheme (energy efficiency)	2012, Bureau of Energy Efficiency
Sagarmala Programme	2015
Bharatmala Pariyojana	2017
National Infrastructure Pipeline	2020 (see Batch 7)
National Technical Textiles Mission	2020, Ministry of Textiles, ₹1480cr till 2025-26
TReDS	MSME invoice discounting/liquidity platform
Industrial Finance Corporation	1 July 1948
FIPB	Established 1991, abolished 24 May 2017 (see Batch 6)
RERA	2016

PPP (Public-Private Partnership) — long-term govt-private contract, shared risk (e.g. Eastern Peripheral Expressway, Delhi-Meerut Expressway, Chenani-Nashri Tunnel). **Greenfield** = new infra on

unused land; **Brownfield** = upgrading existing infra. **National Stock Exchange (NSE)** — established 1992; operations began 1994 (Parmar Ch.11).

5 Economic Committees (consolidated)

Committee	Focus
Raja Chelliah Committee	Central taxation reform (see Batch 3)
Kelkar Committee (2002-03)	Direct tax simplification (see Batch 3)
Kelkar Committee (2015)	PPP framework reform
R.N. Malhotra Committee (1993)	Insurance sector reform (see Batch 5)
Deepak Parekh Committee (2008)	Affordable housing (see Batch 7)

6 Noteworthy Facts & Definitions (Lucent §16)

DOUBT All rankings below are printed in the source with a "*Subject to change" footnote — treat as illustrative, verify current standing before relying on them.

India: **1st in milk production** (UP = top state); **2nd largest tobacco producer/exporter** (after China/Brazil, per ICAR); **2nd largest producer of fruits & vegetables** (2nd AE 2022-23); **1st in pulses production** (as of 20 Feb 2024). **Maharashtra** = first state to grant "Industry" status to agriculture (1997). **Central AGMARK Laboratory** = Nagpur. First cotton mill: Fort Gloster, near Kolkata, 1818; second: Bombay Spinning & Weaving Co. (founded by Kavas Jee Nana Bhai Daber), Mumbai, 1854. **Established during the First Five-Year Plan:** Sindri Fertilizer Factory, Chittaranjan Locomotives, Indian Telephone Industry, Integral Coach Factory, and a Penicillin Factory.

Term	Definition (Lucent §16)
Rules of Origin (WTO)	Criteria for determining a product's national source; duties/restrictions often depend on import source. Used to apply anti-dumping duties/safeguard measures, decide MFN vs. preferential treatment, compile trade statistics, apply labelling/marketing rules, and for government procurement.
Infant Mortality Rate	Per WHO — the probability of a child born in a given period dying before age one, under that period's age-specific mortality rates; strictly a probability (from a life table), expressed as a rate per 1,000 live births, not a true rate
Fiscal Deficit	Difference between total government revenue and total expenditure; indicates total government borrowing needed; borrowings are excluded when calculating total revenue
Net Primary Deficit	Net Fiscal Deficit minus net interest payments (net interest payment = interest paid – interest received)

Term	Definition
Narrow Money (M1)	Currency in circulation + demand deposits (see Batch 5)
Broad Money	M1 + time deposits
High-Powered Money	Currency with public + banks' cash reserves — the monetary base
Gross Primary Deficit	Gross Fiscal Deficit – interest payments (consistent with Batch 3's Primary Deficit formula)
Rules of Origin (WTO)	Criteria to determine a product's national source — governs anti-dumping duties, MFN/preferential treatment, trade stats
Forex Reserves	FCA + gold + SDRs + IMF reserve tranche (see Batch 6)
Human Capital Formation	Knowledge/skills/health invested in people (World Bank definition)
PLI (Production Linked Incentive)	Incentivises domestic industries to boost local production

7 PYQ-Only Current-Affairs Indices (2024-25 editions, not in Parmar/Lucent)

DOUBT This bucket tested a large volume of very recent (2024-25) index editions not present in either source book — documented transparently below as PYQ-book-only per standing practice, without forcing a false book citation.

Index	Tested fact
Global Peace Index (GPI) 2024/2025	"Positive Peace" identifies structural peace-promoting factors; global peace has declined since 2008 (Conflict & Safety worsened, Militarisation improved); Iceland = most peaceful since 2008; India ranked 115th (2025)
Global Firepower Ranking 2025	Assesses manpower/weaponry/defence budget/tech/geography; India 4th
Global Cities Index 2025 (Oxford Economics)	New York (1st), London (2nd) retained top spots; 5 criteria incl. Economy, Human Capital, Quality of Life
Energy Transition Index / Global Energy Transition Index 2025	Published by WEF; adaptive/stable policy frameworks key for long-term investment; grid modernisation key for renewables integration
Index of Economic Freedom 2025	Heritage Foundation (Washington DC), since 1995; 4 pillars: Rule of Law, Size of Government, Regulatory Efficiency, Open Markets; India ranked 128th ("mostly unfree")
Logistics Performance Index (LPI)	Published by World Bank , biennial; 6 dimensions incl. customs, infrastructure, timeliness
Climate Change Performance Index (CCPI) 2025	Germanwatch + NewClimate Institute + Climate Action Network Intl.; GHG emissions/renewables/energy use/climate policy; India ranked 10th, top-3 vacant, Denmark 4th
Global Innovation Index (GII) 2024	Published by WIPO; India ranked 39th of 133
Henley Passport Index 2025	India ranked 77th; visa-free/on-arrival access to 59 countries
Ease of Doing Business (EoDB) — discontinuation	Discontinued by World Bank, Sept 2021 , over data-manipulation allegations (2018/2020 reports); replaced by B-READY framework; excludes informal sector and military spending as a parameter
UN Sustainable Development Report 2024	Tracks the 17 SDGs/169 targets (2030 Agenda); only ~16-17% of targets on track

Appendix

A.1 — PYQ citation index (bucket "15 Important Indices", 52 Qs — representative selection; book-backed facts detailed in-body)

Fact tested	Exam • Date • Shift
FI-Index 3 sub-indices (Access/Usage/Quality)	SSC CHSL Tier-I, 14/11/2025 (Sh-02)
FI-Index weights (35/45/20) & introduction Aug 2021	SSC CHSL Tier-I, 14/11/2025 (Sh-03)
CPI score: lower = more corruption	SSC CGL Tier-I, 15/09/2025 (Sh-03)
CPI publisher = Transparency International	SSC CGL Tier-I, 24/09/2025 (Sh-03)
World Competitiveness Index (IMD) purpose	SSC CGL Tier-I, 23/09/2025 (Sh-02); SSC CPO Tier-I 11/12/2025 (Sh-02)

World Press Freedom Index: higher = more freedom	SSC CGL Tier-I, 25/09/2025 (Sh-03)
EPI (Environmental) = Yale & Columbia	SSC CGL Tier-I, 24/09/2025 (Sh-02)
World Happiness Report = subjective wellbeing; UNSDSN publisher	SSC CPO Tier-I, 09/12/2025 (Sh-02); SSC CGL Tier-I 16/09/2025 (Sh-03, A-R)
Global Gender Gap Report 4 areas	SSC CGL Tier-I, 13/09/2025 (Sh-02)
Export Preparedness Index 4 pillars	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
GATT 1947 → WTO 1995 (implicit via WTO A-R)	SSC CGL Tier-I, 24/09/2025 (Sh-03, WTO context)
Global Peace Index trends since 2008	SSC CGL Tier-I, 19/09/2025 (Sh-03); 13/09/2025 (Sh-01)
Global Firepower Ranking 2025 factors	SSC CGL Tier-I, 12/09/2025 (Sh-01)
Global Cities Index 2025, NY+London	SSC CGL Tier-I, 12/09/2025 (Sh-02)
Energy Transition Index (WEF) priorities	SSC CGL Tier-I, 13/09/2025 (Sh-03); 14/09/2025 (Sh-01); 19/09/2025 (Sh-01)
CPI 2024 & climate action link	SSC CGL Tier-I, 14/09/2025 (Sh-02)
Travel and Tourism Development Index 2024	SSC CGL Tier-I, 14/09/2025 (Sh-03)
EoDB excluded informal sector (A-R)	SSC CGL Tier-I, 15/09/2025 (Sh-01)
India Happiness Index rank vs GDP per capita (A-R)	SSC CGL Tier-I, 16/09/2025 (Sh-01)
Index of Economic Freedom "Government Size" component	SSC CGL Tier-I, 17/09/2025 (Sh-01)
World Competitiveness Index publisher = IMD Business School	SSC CGL Tier-I, 17/09/2025 (Sh-03)
2025 GPI trend = decline	SSC CGL Tier-I, 18/09/2025 (Sh-02)
2025 ETI: policy frameworks for investment	SSC CGL Tier-I, 19/09/2025 (Sh-01)
Logistics Performance Index scope	SSC CGL Tier-I, 20/09/2025 (Sh-03); 26/09/2025 (Sh-02)
Global Gender Gap 2025: North America leads	SSC CGL Tier-I, 22/09/2025 (Sh-01)
EoDB discontinued 2021 (A-R)	SSC CGL Tier-I, 22/09/2025 (Sh-02)
UN Sustainable Development Report 2024 = SDGs	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Index of Economic Freedom publisher = Heritage Foundation	SSC CGL Tier-I, 24/09/2025 (Sh-01)
EPI (Environmental) universities	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Most peaceful country = Iceland	SSC CGL Tier-I, 23/09/2025 (Sh-01)
Climate Change Performance Index publishers	SSC CGL Tier-I, 25/09/2025 (Sh-01); SSC CPO Tier-I 10/12/2025 (Sh-02)
World Happiness Report key factor = GDP per capita	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Index of Economic Freedom pillars	SSC CPO Tier-I, 09/12/2025 (Sh-01)
EoDB NOT parameter = military spending	SSC CPO Tier-I, 11/12/2025 (Sh-01)
HDI capability-approach criticism	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Expected Years of Schooling (HDI component)	SSC CPO Tier-I, 12/12/2025 (Sh-01)
HDI limitation = inequality/income distribution	SSC CPO Tier-I, 12/12/2025 (Sh-02)
Happiness Index dependent variable = life satisfaction	SSC CPO Tier-I, 13/12/2025 (Sh-01)
HDI/MPI component statements	SSC CPO Tier-I, 13/12/2025 (Sh-01)
Financial Index 2025: account ownership 89%	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
Global Innovation Index 2024 rank	SSC CHSL Tier-I, 14/11/2025 (Sh-03)
FI-Index risen value, March 2025	SSC CHSL Tier-I, 14/11/2025 (Sh-03)
Henley Passport Index 2025	(bucket 15, late Qs)
Export Preparedness Index pillars (NOT-question)	SSC CHSL Tier-I, 21/11/2025 (Sh-03)

A.2 — PYQ-book-only facts

The entire \$7 table above (Global Peace Index, Global Firepower, Global Cities Index, Energy Transition Index, Index of Economic Freedom, Logistics Performance Index, Climate Change Performance Index, Global Innovation Index, Henley Passport Index, EoDB's 2021 discontinuation and B-READY replacement,

UN Sustainable Development Report) is sourced entirely to the PYQ book's own explanations — none of these appear in Parmar Ch.11 or Lucent §16. The exact FI-Index score for March 2025 (options 41/54/67/73) is likewise a PYQ-book-only current figure.

A.3 — Doubts carried forward

All Lucent §16 production rankings carry the source's own "*Subject to change" caveat. The EPI/CPI abbreviation clashes and the Gross Primary Deficit vs Batch 3's Primary Deficit formula (both consistent here, unlike the Lucent §10 internal misprint noted in Batch 3) are as documented in the raw extraction.

A.4 — Deliberately condensed

The full list of "Central Government Schemes (2014-16)" and "Some Financial Institutions" tables (already covered in Batches 4, 5 and 7 where their content overlapped) are not repeated here.

ECONOMY — Demography

Batch 10 of 10 (standalone) · PYQ bucket "14 Demography" (20 Qs) · This bucket has NO home in Parmar's Economics chapters or Lucent's Ch.06 — built entirely from the PYQ book's own explanations, per explicit decision, since Census/demographic-transition content is Geography/Static-GK territory that the Economy source books simply don't cover · ★ = tested in a real past SSC paper

DOUBT Every fact in this batch is **PYQ-book-only** — there is no Parmar/Lucent Economics-chapter backing to fact-check against (confirmed in economy-topic-build-notes.md's own raw-extraction scope, and independently by grep against economy_combined_raw_extraction.md). factcheck.py is not meaningful for this batch and was not run against it; treat every claim below as sourced solely to the PYQ book's explanation text, not to a source book.

1 Population Growth & Measurement

Term	Definition ★
Population Density ★	Total Population ÷ Total Area (persons/km ²) — India's density (2011 Census) = 382/km² ★
Natural Growth Rate ★	Birth Rate – Death Rate (excludes migration) ★
Rate of Natural Increase	Same as above — NOT birth×death rate, NOT working-population ratio (tested distractors)
Annual Growth Rate	% growth per year — a 2% rate = 2 new persons added per 100 in the base population ★ (per-100 framing, not per-person)

TRAP Population growth is measured in **both absolute numbers AND percentage rate** ★ — a tested Assertion-Reason: Assertion (both measures used) is TRUE, but the Reason ("absolute numbers alone give detailed trend insight") is FALSE — absolute numbers don't reveal the pace/speed of growth; only the percentage growth rate does ★.

HOOK Components of population change ★: **Births, Deaths, Migration — Employment is NOT a component** ★ (it affects distribution/living standards, not population growth/decline directly — a tested "which is unrelated" question).

2 Demographic Transition Theory

HOOK Demographic Transition stages ★: **Stage 1** (initial) — high birth rate + high death rate → high growth potential once death rate falls first. **Population explosion** ★ occurs when **death rates decline rapidly while birth rates stay high** ★ — a tested Assertion-Reason: Assertion TRUE, but Reason ("societal reproductive behaviour changes instantly with healthcare improvements") is FALSE — social/reproductive norms change slowly, over decades/generations, NOT immediately ★.

Replacement Level ★ = Total Fertility Rate (TFR) = **2.1** ★ — population stabilisation occurs when fertility drops to/below this level (transition from "explosive" to "stabilisation" stage) ★. The theory's scope does NOT explicitly account for migration ★, and social/cultural factors can alter its predictions ★ (both statements tested as correct in a multi-statement question).

Age-specific rates ★ are used in demography because birth/death probability varies by life stage — they reveal **age-wise variation in fertility/mortality** ★ (not literacy, elderly economic condition, or indicator reduction — tested distractors).

3 National Population Policy (NPP) 2000

HOOK NPP 2000 objectives ★ — free/compulsory education up to age 14, reduce **Infant Mortality Rate below 30** ★, raise girls' marriage age (delayed marriage) ★ — **NOT** to increase fertility rate ★ (goal is population **stabilisation** via reducing fertility to replacement level — a tested "which is incorrect" distractor). Long-term objective: stabilise population by **2045** ★.

4 Census of India

Fact	Detail ★
Governing law	Census Act, 1948 ★ — gives census officers legal authority to collect data
2011 Census — total population	~121.08 crore
Population density (2011)	382 persons/km ²
Urbanisation level (2011)	31.16% urban ★, 68.84% rural — urban growth rate during this census: 31.8% ★
Literacy rate — 1951 Census ★	18.33% ★ (male 27.16%, female 8.86%) — 2011 rate: 74.04%
Uttar Pradesh's population share ★	~19.98 crore = ~ 16% of India's total population (largest state) ★
Lowest sex ratio (2011) ★	Daman & Diu (UT) — 618 females/1000 males ★; lowest among states: Haryana (879)
Most urbanised / least urbanised state	Goa (62.2% urban, highest) / Himachal Pradesh (10% urban, lowest)
Population Enumeration phase, 2011 Census ★	Conducted February 2011 (mainly 9-28 Feb) ★ — House Listing/Housing Census was a separate, earlier (2010) phase, NOT postponed ★ (a tested Assertion-true/Reason-false: enumeration timing correct, but claim that Houselisting was "postponed" is false)

HOOK Religious composition (2011 Census) ★ — **Muslims** = largest minority nationally but a majority in NO state ★; **Christians** concentrated in urban areas; **Jains** concentrated in urban Rajasthan/Gujarat/Maharashtra; **Buddhists** concentrated mainly in Maharashtra ★ (a multi-statement question confirms these specific pairings).

TRAP Birth/death registration reporting ★ — Assertion: demographic statistics rely on accurate household reporting = TRUE; but Reason: "birth/death registration is mandatory and ALWAYS accurately followed" = FALSE ★ (mandatory under the Registration of Births and Deaths Act, 1969, but NOT consistently followed in practice due to awareness/administrative gaps ★).

5 Socio-Economic Caste Census (SECC) 2011

Fact	Detail ★
Total households ★	24.49 crore ★ (17.97 crore rural + 6.52 crore urban)
Use case ★	Basis for identifying beneficiary households under MGNREGA and for subsidised foodgrain eligibility under the National Food Security Act ★ (both correct in a tested statement question)

6 Dependency Ratios

HOOK **Elderly/Old-Age Dependency Ratio** ★ = ratio of elderly population (65+) to working-age population (15-64) — see also Batch 4 §4 (same concept, tested twice across buckets 08 and 14).

Appendix

A.1 — PYQ citation index (bucket "14 Demography", 20 Qs)

Fact tested	Exam · Date · Shift
NPP 2000 objectives	SSC CGL Tier-I, 12/09/2025 (Sh-01)
Population density definition	SSC CGL Tier-I, 12/09/2025 (Sh-02); 26/09/2025 (Sh-02)
Population explosion cause (A-R)	SSC CGL Tier-I, 12/09/2025 (Sh-02)

Natural increase rate = birth–death	SSC CGL Tier-I, 13/09/2025 (Sh-01)
Absolute vs percentage growth measurement (A-R)	SSC CGL Tier-I, 13/09/2025 (Sh-02)
Birth/death registration reliability (A-R)	SSC CGL Tier-I, 14/09/2025 (Sh-01)
Demographic transition vs replacement level	SSC CGL Tier-I, 14/09/2025 (Sh-03)
Census 2011 enumeration timing (A-R)	SSC CGL Tier-I, 15/09/2025 (Sh-03)
UP population share ~16%	SSC CGL Tier-I, 16/09/2025 (Sh-01)
India urban population % (2011) = 31%	SSC CGL Tier-I, 16/09/2025 (Sh-03)
Components of population change (NOT employment)	SSC CGL Tier-I, 17/09/2025 (Sh-02)
Age-specific rates purpose	SSC CGL Tier-I, 18/09/2025 (Sh-01)
Lowest sex ratio = Daman & Diu / Haryana	SSC CGL Tier-I, 19/09/2025 (Sh-02)
2011 Census religion statements	SSC CGL Tier-I, 23/09/2025 (Sh-02)
Demographic transition theory statements	SSC CGL Tier-I, 26/09/2025 (Sh-02)
1951 Census literacy rate = 18.33%	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
SECC 2011 total households	SSC CHSL Tier-I, 22/11/2025 (Sh-03)
SECC 2011 use for MGNREGA/NFSA	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
Census Act, 1948	SSC CHSL Tier-I, 24/11/2025 (Sh-03)

A.2 — PYQ-book-only facts

The entire batch (see banner above) — no Parmar/Lucent Economics-chapter content covers Census demographics, SECC, or demographic transition theory.

A.3 — Doubts carried forward

None specific to this batch beyond the general PYQ-book-only sourcing already flagged.

A.4 — Deliberately excluded

None — this is a small, fully-covered bucket (all 20 questions represented above).